

ASEAN Financials

When facts change.... 7 rating changes

We are downgrading 5 stocks and upgrading 2 stocks across our coverage as we revise earnings to factor in second order effects of higher for longer energy prices, to the extent possible. This will likely be the first of many shifts in EPS forecasts over the next few quarters, as the situation evolves. The focus here is to understand stock level differentiation on earnings, AQ and multiples leading to tactical shifts in views. We are downgrading CIMB and BBL to N from OW, OCBC and SCB to UW from N and KTB to UW from OW. We are upgrading Tisco to N from UW and BCA to OW from N. We have reduced our PT for DBS, and increased our PT for SGX, while maintaining OW on both stocks. For KBank, we reduce our PT while for TTB, we increase our PT and maintain Neutral on both stocks.

- In this note, we build on our sector-level analysis** across metrics like liquidity, growth, energy dependence, capital adequacy, debt servicing, et al for APAC Financials. Click [here](#) and [here](#) for details. Our equity strategy team is highlighting a higher likelihood of drying up energy product flows ([link](#)), while our Asia energy team is looking at the possibility of force majeure to varying degrees ([link](#)), as well as tracking increased introductions of emergency fuel-saving measures. These events have negative implications for economic growth, while nudging inflation higher. Our economics team is highlighting the risk of non-linear outcomes, as energy shortage becomes a binding constraint ([link](#)). Across markets, the Philippines appears to be one of the most impacted, where we downgraded BPI ([link](#)). Thailand is also facing stagflationary conditions, and we expect 44bps lower NIM y/y (Big4 avg), while credit costs stay elevated. Hence, as we come closer to dividend ex-dates (~6%, late April), we expect a sharp decline in stock prices. In this scenario, banks with active buybacks should outperform. In Singapore, we have limited changes in forecasts, but larger shifts in valuations as even a small shift in stage 2 loans and SORA can lead to large changes in multiples. In Indonesia, the possibility of coal related CA upside, combined with GFC level valuations for BCA, are key reasons for our upgrade. Malaysia remains our preferred banking market in Asean, but CIMB's ID and TH exposure limits immediate upside.
- Singapore:** DBS, OCBC and SGX are trading close to 10Y high PEs (UOB lower), as SG has a relatively better ability to manage energy impact and the WM center should continue to benefit from flows. Yet, Singapore loans are just 44-50% of total loans, with credit risk spread across the globe, more so in GCC and ASEAN. This poses AQ risks. Further, weaker capital market activity should weigh on WM fees, as well as ECM/DCM/IB revenues. NNM growth, though, should remain a bright spot across OCBC and DBS. On credit costs, we nudge up our forecasts to the upper end of guidance for OCBC and DBS, while we stay above guidance for UOB. SGX is trading below mean dynamic PE, hence we increase our PT and maintain OW. For DBS, we remain quite confident on the bank's ability to keep up dividends at least till 2028, even with the recent tech disruption likely delaying the potential 40bps CET1 release for next few years. Resumption of buyback should mark a low for the stock. OCBC has re-rated on back of growth outlook by the incoming CEO, as well as by

APAC Banks

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offering GARP vs. peers (DBS is expensive and UOB has AQ risks). The stock is now trading at levels above fair, hence our tactical downgrade. We expect the bank to focus on capital conservation, rather than increasing payout this year; which will be a catalyst for underperformance in the near term. Our medium-term outlook for OCBC stays steady.

- Thailand:** The growth/inflation trade-off is quite tough. Hence, we do not rule out further measures to improve transmission and lower rates. Big4 banks will face NIM compression while TTB, Tisco and Fincos should benefit from lower CoF. AQ is a risk for Fincos, due to higher inflation. Amongst banks, Tisco and TTB (post merger) have better credit track record, which should lead to resilience. TTB has the added advantage of returning 40% of MCap as dividends and buybacks over next 3Y, as per our forecasts. Yet, the recent rally should limit immediate upside. Gulf has increased its stake in KBank close to 10%, beyond which BoT approval is needed. We are unsure of the timeline for approval, but the fact that Gulf has nominated two independent directors to the KBank board suggests the likelihood of buyer looking to increase stake. Hence, we expect KBank to continue buying back shares (JPMe 3% of outstanding this year, and 2% next year). Yet, an 82% CASA ratio should lead to lower NIM and negative revisions, hence we stay N. SCB is at 80% payout (we forecast 85% for 2026), which limits further DPS upside, especially as we forecast 23% y/y EPS decline at the bank in 2026. KTB downgrade is a function of valuation (close to book), which limits buyback; combined with NIM compression and lower gains from Thai Air. BBL payout increase was impressive, and we expect it to be sustained. Yet, in the course of 2026, a more conservative view on payout and provisions is not impossible, hence our tactical downgrade.
- Malaysia:** This banking market is the most resilient in ASEAN, due to better energy balance, CA surplus, as well as adequate system liquidity. We forecast ~16bps of provisions (+2bps y/y), 4-6% loan gr and 60-80% payout. PBK remains our top pick on expectations of higher payout post Basel 3.5 adoption in July. MAY is a close second on high payout, though with a risk of delayed communication on capital management. Bursa, RHB and AMMB stay OW as well. We are downgrading CIMB to N, as we worry about delays in capital release from Thailand operations, as well as higher risk of growth, NIM and AQ deterioration at Niaga. We forecast 11.3%/11.6% RoE for the bank in 2026/27. The medium-term thesis for the stock remains positive.
- Indonesia:** We stay cautious on the back of tighter liquidity, especially as we enter the seasonally crucial month of April. Yet, the energy crisis has opened up the possibility of coal-related upside for current account, partly alleviating the system liquidity issues. SRBI yields are up ~60bps in last 3M, 70bps above the policy rate in the last auction. SRBI outstanding balance of Rp822tn (\$48bn) is 46/8% of M0/M2. These metrics suggest tight system liquidity, which along with seasonality is the likely logic behind Rp100tn ([link](#)) injection of 1M liquidity by the government. In the course of the month, we expect further stock price weakness. Yet, BCA stands out at 13.6x PE, at GFC multiples. Hence, despite near-term concerns, we upgrade the stock to OW with no change in estimates. BRI and BMRI stay UW, while we hold N on BNI and OW on Jago.
- Philippines and Vietnam:** We downgraded BPI to Neutral ([link](#)), as the AQ and growth risks are increasing. Further, the bank has lower coverage ratio (95%), which increases the likelihood of higher credit costs vs. peers. BDO and MBT will also have a beta impact from weaker PHP, as well as sharper growth and inflation delta due to significant energy dependence, which should allow a better entry point. Vietnam's growth is also at risk of slowing down, and deposit rates have moved up. This could lead to asset quality risks, particularly at VPB, which has lower coverage (55%) while coming off a rapid growth phase (35% credit growth in 2025) with exposures across customer segments including micro. ACB could see funding costs move up given its low CASA. VCB ([link](#)) remains better positioned fundamentally, but could see near-term beta to the broader market given its position as a large, liquid name in the market.

Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
DBS Group Holdings	DBS SP	127,550	SGD	57.55	OW	n/c	63.00	Dec-26	70.00	n/c
OCBC Bank	OCBC SP	78,266	SGD	22.38	UW	N	20.00	Dec-26	20.50	n/c
Singapore Exchange	SGX SP	16,674	SGD	20.00	OW	n/c	22.00	Dec-26	20.00	n/c
Bank Central Asia (BCA)	BBCA IJ	47,724.23	IDR	6,575	OW	N	7,600	Dec-26	7,500	n/c
Bangkok Bank	BBL TB	9,804	THB	167.50	N	OW	180.00	Dec-26	200.00	n/c
SCB X PCL	SCB TB	15,022	THB	145.50	UW	N	115.00	Dec-26	150.00	n/c
Kasikornbank PCL	KBANK TB	13,841	THB	192.00	N	n/c	200.00	Dec-26	210.00	n/c
Krung Thai Bank	KTB TB	15,213	THB	35.50	UW	OW	32.00	Dec-26	31.00	n/c
Tisco Financial Group PCL	TISCO TB	2,786	THB	113.50	N	UW	105.00	Dec-26	100.00	n/c
TMBThanachart Bank PCL	TTB TB	6,530	THB	2.32	N	n/c	2.40	Dec-26	2.00	n/c
CIMB Group Holdings	CIMB MK	20,365	MYR	7.59	N	OW	8.00	Dec-26	9.30	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 02 Apr 26.

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Table 1: ASEAN Banks: PT and rating changes

LC	Old PT	New PT	Old rating	New rating
DBS	70.0	63.0	OW	OW
OCBC	20.5	20.0	N	UW
SGX	20.0	22.0	OW	OW
BBCA	7,500	7,600	N	OW
BBL	200.0	180.0	OW	N
SCB	150.0	115.0	N	UW
KBANK	210.0	200.0	N	N
KTB	31.0	32.0	OW	UW
TISCO	100.0	105.0	UW	N
TTB	2.0	2.4	N	N
CIMB	9.3	8.0	OW	N

Source: J.P. Morgan estimates.

Table 2: ASEAN Banks: EPS revisions

Banks	JPM revisions			EPS vs Street		
	2026E	2027E	2028E	2026E	2027E	2028E
DBS	-1%	-2%	-1%	0%	-1%	0%
OCBC	2%	1%	n.a	-3%	-3%	-1%
SGX	4%	5%	5%	3%	8%	8%
BBCA	1%	0%	n.a	-3%	-6%	-7%
KBANK	-10%	-19%	-4%	-10%	-14%	4%
SCB	-18%	-19%	-20%	-17%	-13%	-13%
BBL	-11%	-8%	0%	-3%	2%	12%
KTB	-26%	-16%	n.a	-5%	-3%	4%
TTB	2%	10%	11%	2%	6%	20%
TISCO	-1%	1%	3%	0%	5%	7%
CIMB	-6%	-6%	n.a	-2%	-1%	5%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Singapore

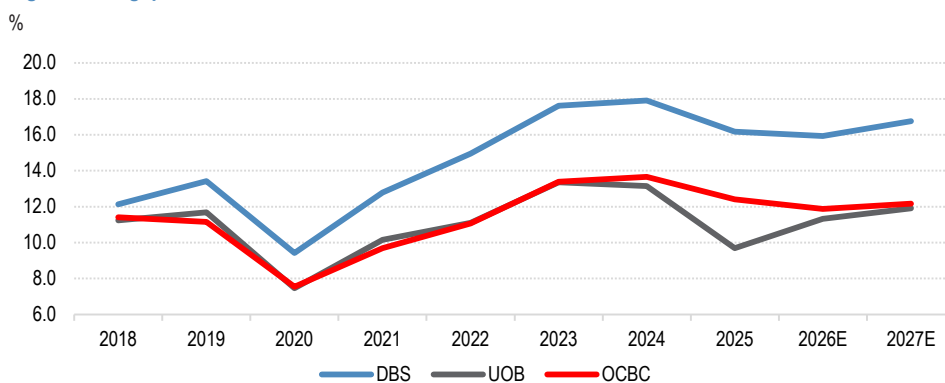
DBS, OCBC and SGX are trading close to 10Y high PEs (UOB lower), as SG has a relatively better ability to manage energy impact and the WM center should continue to benefit from flows. Yet, Singapore loans are just 44-50% of total loans, with credit risk spread across the globe, more so in GCC and ASEAN. This poses AQ risks. Further, weaker capital market activity should weigh on WM fees, as well as ECM/DCM/IB revenues. NNM growth, though, should remain a bright spot across OCBC and DBS. On credit costs, we nudge up our forecasts to the upper end of guidance for OCBC and DBS, while we stay above guidance for UOB. SGX is trading below mean dynamic PE, hence we increase our PT and maintain OW. For DBS, we remain quite confident on the bank's ability to keep up dividends at least till 2028, even with the recent tech disruption likely delaying the potential 40bps CET1 release for next few years. Resumption of buyback should mark a low for the stock. OCBC has re-rated on back of growth outlook by the incoming CEO, as well as by offering GARP vs. peers (DBS is expensive and UOB has AQ risks). The stock is now trading at levels above fair, hence our tactical downgrade. We expect the bank to focus on capital conservation, rather than increasing payout this year; which will be a catalyst for underperformance in the near term. Our medium-term outlook for OCBC stays steady.

Table 3: Singapore Banks: Singapore loans composition

S\$ mn	DBS	OCBC	UOB
SG loans	202,317	149,086	176,830
Total loans	450,916	341,120	352,180
% of total	45%	44%	50%

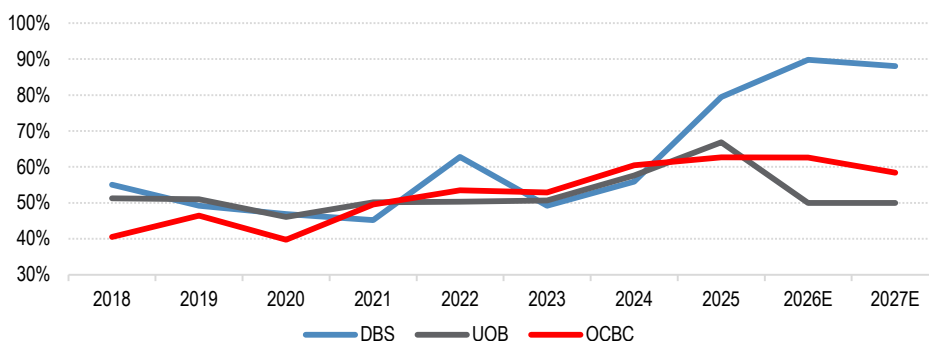
Source: Company reports.

Figure 1: Singapore Banks: RoE



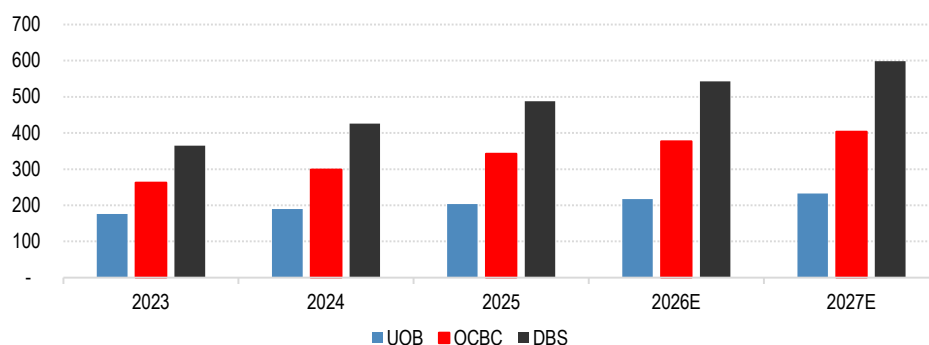
Source: Company reports and J.P. Morgan estimates.

Figure 2: Singapore Banks: Payout trends



Source: Company reports and J.P. Morgan estimates.

Figure 3: Singapore Banks: AuM trends



Source: Company reports. J.P. Morgan estimates.

Table 4: Singapore Banks: Valuation

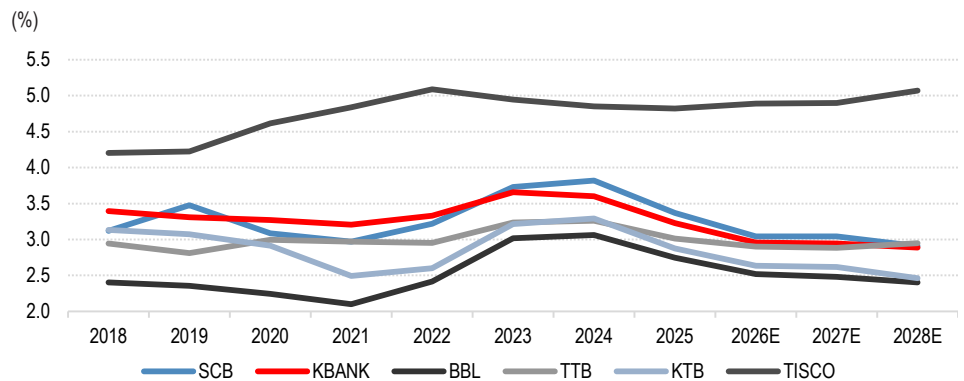
Bank	Price (\$S)	Rating	PT (\$S)	PE (x)		PB (x)		Div. Yield (%)		RoE (%)	
				2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
DBS	57.55	OW	63.00	14.6	13.8	2.32	2.29	6.1	6.4	16.0	16.7
OCBC	22.38	UW	20.00	13.7	12.9	1.59	1.51	4.4	4.7	11.9	12.1
UOB	36.91	UW	34.00	11.2	10.0	1.23	1.16	4.5	5.0	11.3	11.9
Sector				13.7	12.8	1.89	1.84	5.3	5.6	13.9	14.4

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 2nd Apr, 2026.

Thailand

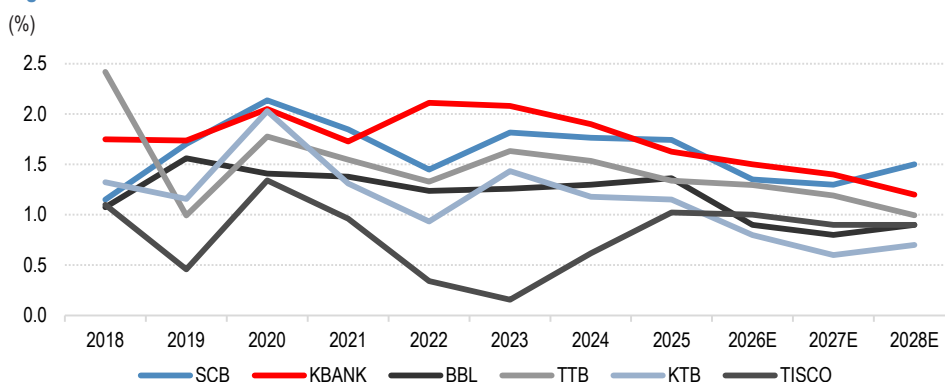
The growth/inflation trade-off is quite tough. Hence, we do not rule out further measures to improve transmission and lower rates. Big4 banks will face NIM compression while TTB, Tisco and Fincos should benefit from lower CoF. AQ is a risk for Fincos, due to higher inflation. Amongst banks, Tisco and TTB (post merger) have better credit track record, which should lead to resilience. TTB has the added advantage of returning 40% of MCap as dividends and buybacks over next 3Y, as per our forecasts. Yet, the recent rally should limit immediate upside. Gulf has increased its stake in KBank close to 10%, beyond which BoT approval is needed. We are unsure of the timeline for approval, but the fact that Gulf has nominated two independent directors to the KBank board suggests the likelihood of buyer looking to increase stake. Hence, we expect KBank to continue buying back shares (JPMe 3% of outstanding this year, and 2% next year). Yet, an 82% CASA ratio should lead to lower NIM and negative revisions, hence we stay N. SCB is at 80% payout (we forecast 85% for 2026), which limits further DPS upside, especially as we forecast 23% y/y EPS decline at the bank in 2026. KTB downgrade is a function of valuation (close to book), which limits buyback; combined with NIM compression and lower gains from Thai Air. BBL payout increase was impressive, and we expect it to be sustained. Yet, in the course of 2026, a more conservative view on payout and provisions is not impossible, hence our tactical downgrade.

Figure 4: Thailand Banks: NIM trends



Source: Company reports and J.P. Morgan estimates.

Figure 5: Thailand Banks: Credit costs trend



Source: Company reports and J.P. Morgan estimates.

Figure 6: Thailand Banks: DPS and Payout forecasts

	BBL		KBANK		KTB		SCB		TTB		TISCO	
	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
Regular DPS	10.00	11.00	11.50	11.50	2.67	2.67	9.83	10.22	0.15	0.17	7.75	8.00
Special DPS	-	-	2.50	3.50	-	-	-	-	-	-	-	-
Total DPS	10.00	11.00	14.00	15.00	2.67	2.67	9.83	10.22	0.15	0.17	7.75	8.00
Yield												
Regular DPS	6.0%	6.6%	6.0%	6.0%	7.5%	7.5%	6.8%	7.0%	6.5%	7.3%	6.8%	7.0%
Special DPS	0.0%	0.0%	1.3%	1.8%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Total DPS	6.0%	6.6%	7.3%	7.8%	7.5%	7.5%	6.8%	7.0%	6.5%	7.3%	6.8%	7.0%
Payout												
Regular	47%	47%	65%	52%	98%	81%	90%	85%	70%	74%	91%	87%
Regular + Special	47%	47%	80%	67%	98%	81%	90%	85%	70%	74%	91%	87%
Regular + Special + Buyback	47%	47%	117%	84%	101%	84%	90%	85%	146%	129%	91%	87%
Total Buyback (THB mn)	-	-	15,384	9,000	1,258	1,342	-	-	15,897	12,500	-	-
Buyback amt per share	-	-	6.49	3.80	0.09	0.10	-	-	0.16	0.13	-	-
Yield on Buyback	0.0%	0.0%	3.4%	2.0%	0.3%	0.3%	0.0%	0.0%	7.0%	5.5%	0.0%	0.0%
Total Yields	6.0%	6.6%	10.7%	9.8%	7.8%	7.8%	6.8%	7.0%	13.5%	12.9%	6.8%	7.0%

Source: Company reports and J.P. Morgan estimates.

Table 5: Thailand Banks: Valuation

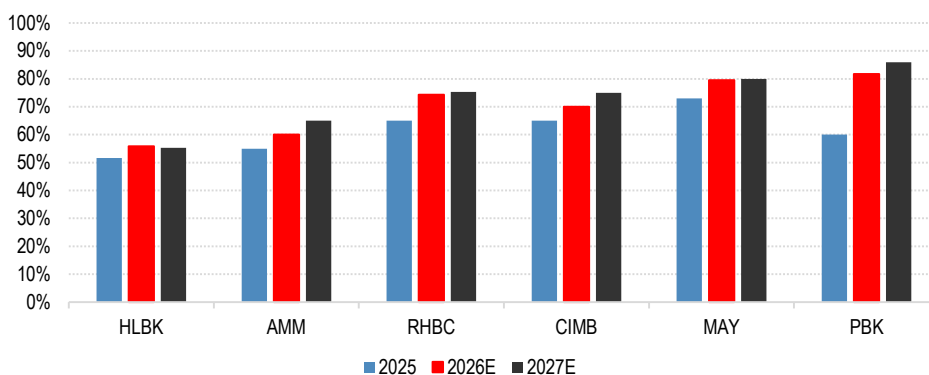
Bank	Price (THB)	Rating	PT (THB)	PE (x)		PB (x)		Dividend Yield (%)		RoE (%)	
				2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
KBANK	192.00	N	200.00	10.9	8.6	0.78	0.75	7.3	7.8	7.4	9.0
SCB	145.50	UW	115.00	10.3	12.1	0.99	0.98	7.8	7.0	9.7	8.1
BBL	167.50	N	180.00	6.9	7.1	0.56	0.49	6.0	6.6	8.3	7.1
KTB	35.50	UW	32.00	11.5	10.8	1.06	1.04	7.5	7.5	9.2	9.7
TTB	2.32	N	2.40	10.8	10.1	0.89	0.87	6.5	7.3	8.4	8.7
TISCO	113.50	N	105.00	13.4	12.3	2.07	2.01	6.8	7.0	15.5	16.6
Banks				10.4	10.1	0.93	0.90	7.1	7.3	9.0	9.0

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 2nd Apr, 2026.

Malaysia

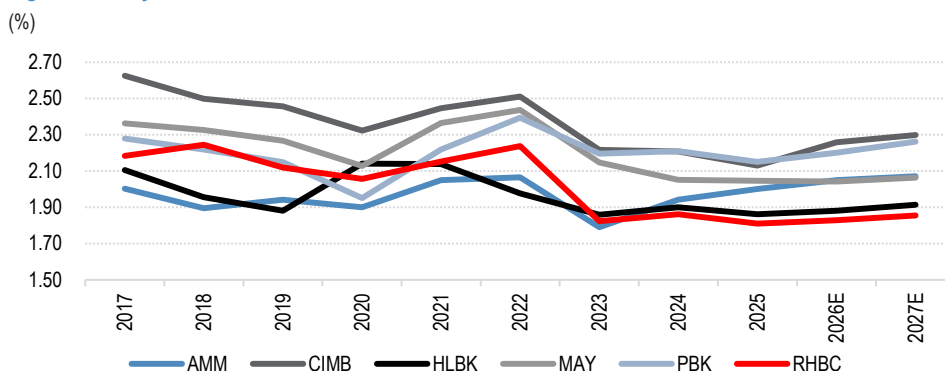
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Figure 7: Malaysia Banks: Dividend payout forecasts



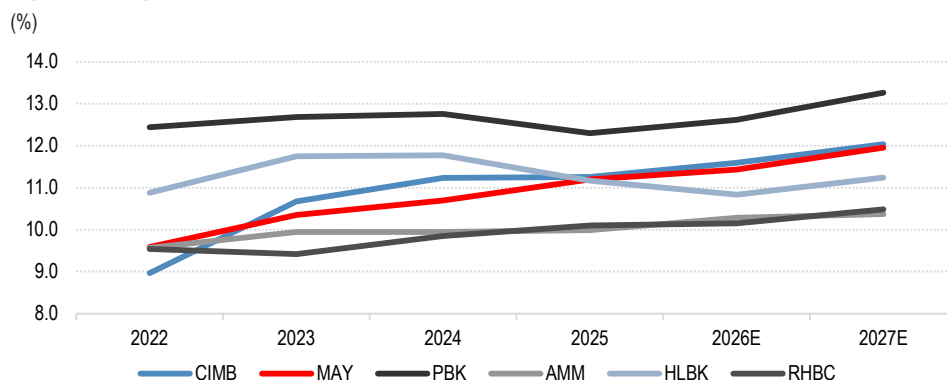
Source: Company reports and J.P. Morgan estimates.

Figure 8: Malaysia Banks: NIM trends



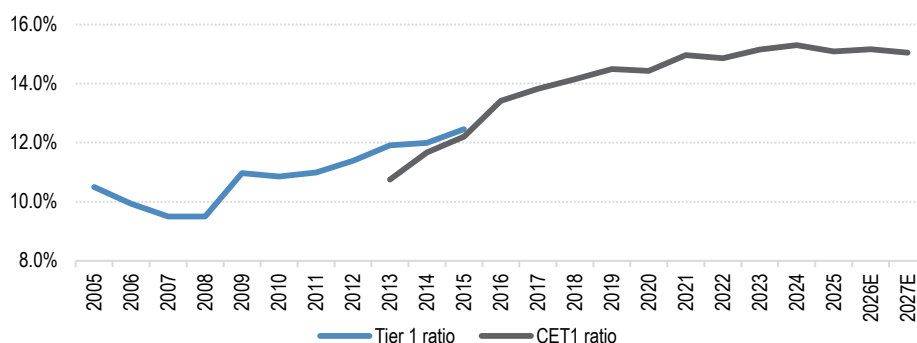
Source: Company reports and J.P. Morgan estimates.

Figure 9: Malaysia Banks: RoE trends



Source: Company reports and J.P. Morgan estimates.

Figure 10: Malaysia Banks: CET1 trends



Source: Company reports.

Table 6: Malaysia Banks: Valuation

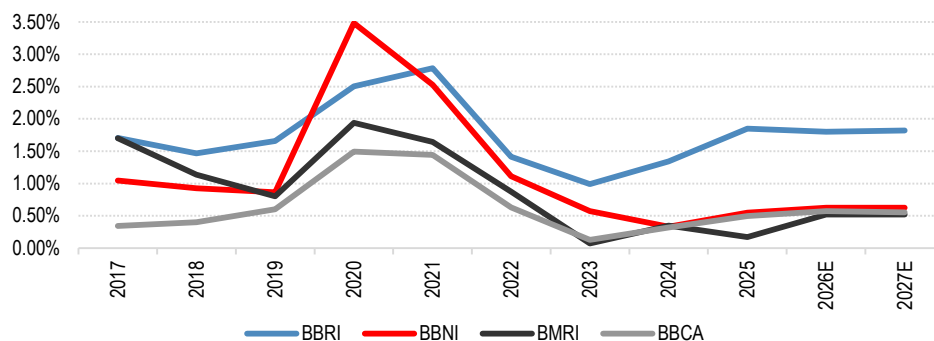
Bank	Price (RM)	Rating	PT (RM)	PE (x)		PB (x)		Div. Yield (%)		RoE (%)	
				2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
AMM	6.50	OW	7.20	9.9	9.4	1.00	0.96	5.5	6.4	10.3	10.4
CIMB	7.59	N	8.00	10.1	9.4	1.12	1.07	6.9	8.0	11.3	11.6
HLBK	22.00	N	25.00	10.3	9.4	1.09	1.04	5.0	5.9	10.8	11.2
PBK	4.71	OW	6.00	11.7	10.7	1.44	1.39	7.0	8.1	12.6	13.3
MAY	11.46	OW	13.00	12.3	11.5	1.39	1.35	6.5	7.0	11.4	12.0
RHB	8.54	OW	9.50	10.6	9.9	1.05	1.02	7.0	7.6	10.2	10.5
Sector				11.2	10.4	1.26	1.22	6.5	7.3	11.4	11.9

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 2nd Apr, 2026.

Indonesia

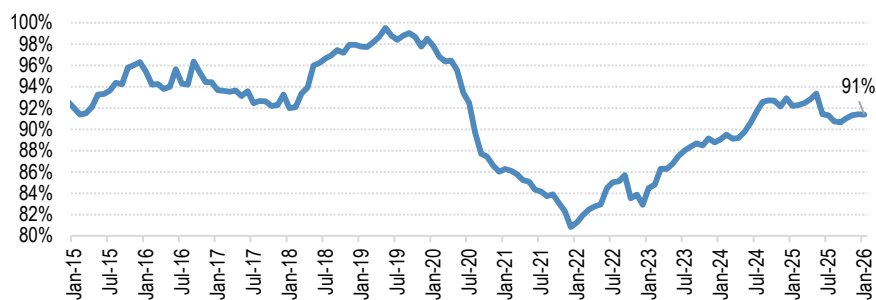
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Figure 11: Indonesia Banks: Credit costs trends



Source: Company reports and J.P. Morgan estimates.

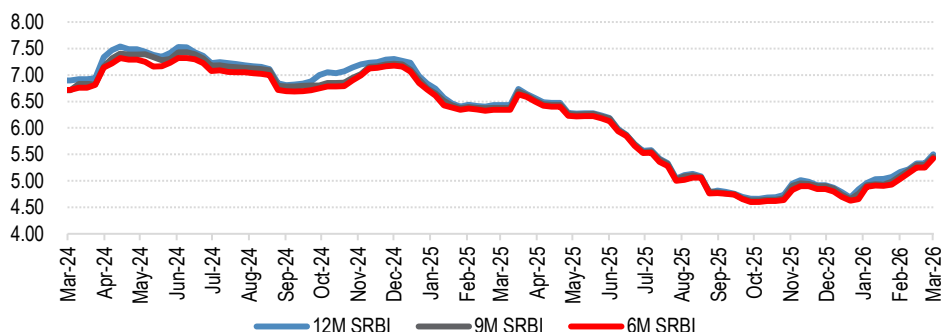
Figure 12: Indonesia: IDR LDR



Source: CEIC.

SRBI yields saw ~60bps uptick YTD

Figure 13: Indonesia: SRBI yields



Source: Bloomberg Finance L.P.

Table 7: Indonesia: SRBI summary

Indonesia SRBI tracker						
Week ending	27-Mar-26					
	12M	9M	6M	Total	Policy rate	10Y treasury
Current yields	5.50	5.45	5.42		4.75	6.86
Change in yields (bps)						
1 week	17	15	17		-	(1)
4 weeks	33	36	39		-	43
12 weeks	63	60	63		-	81
52 weeks	(93)	(93)	(92)		(100)	(15)
Bids tendered (Rp tn)	5.5	1.4	4.1	11.1		
Issuances (Rp tn)	4.8	1.3	3.0	9.0		
Bid-Cover ratio (x)	1.17	1.15	1.37	1.23		
Change in issuances						
MoM	-23%	108%	140%	13%		
YoY	-44%	1%	126%	-18%		
Outstanding (Rp tn)	822	-	-	822		
As % of M0				45.7%		
Change in outstanding						
WoW	-1%	n.a	n.a	-1%		
MoM	-2%	n.a	n.a	-2%		
YoY	-2%	n.a	n.a	-8%		

Source: Bloomberg Finance L.P.

Figure 14: BBCA: Share price vs valuation multiples



Source: Bloomberg Finance L.P.

Table 8: Indonesia Banks: Valuation

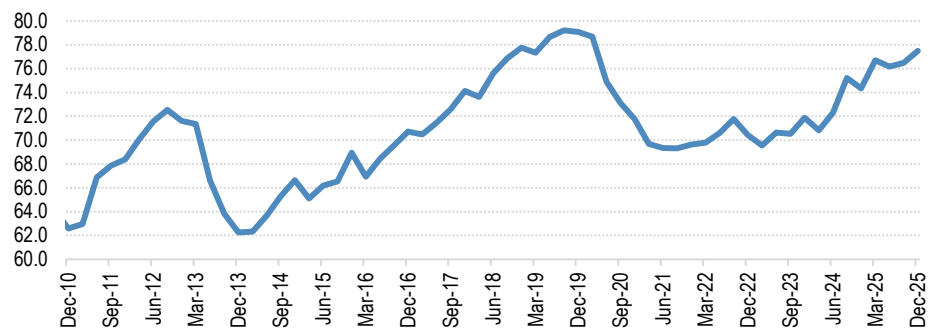
Bank	Price (Rp)	Rating	PT (Rp)	PE (x)		PB (x)		Div. Yield (%)		RoE (%)	
				2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
BBCA	6,575	OW	7,600	13.6	12.9	2.71	2.56	5.5	6.1	20.5	20.4
BBRI	3,320	UW	3,200	8.8	8.9	1.53	1.52	10.4	10.3	17.5	17.2
BMRI	4,650	UW	3,600	8.6	8.5	1.45	1.40	8.1	8.2	17.0	16.7
BBNI	3,700	N	4,000	6.7	6.7	0.78	0.75	9.6	9.7	11.8	11.5
ARTO	1,295	OW	2,300	34.0	17.2	1.92	1.73	-	0.6	5.8	10.6
Sector				10.9	10.4	1.96	1.88	7.6	7.9	18.1	18.0
Sector ex Jago				10.7	10.4	1.96	1.88	7.7	8.0	18.2	18.0

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 2nd Apr, 2026.

Philippines and Vietnam

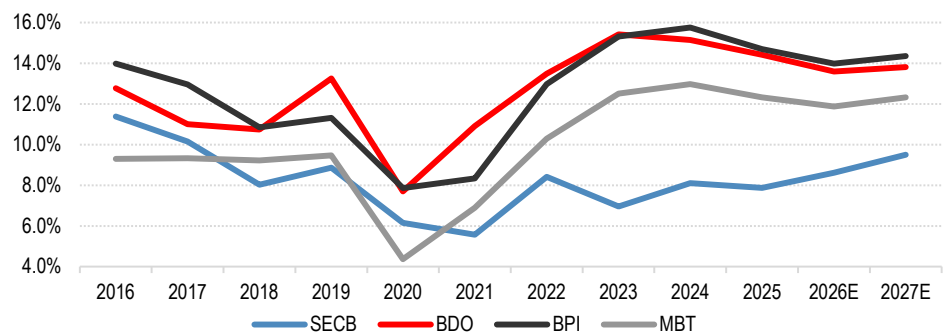
We downgraded BPI to Neutral ([link](#)), as the AQ and growth risks are increasing. Further, the bank has lower coverage ratio (95%), which increases the likelihood of higher credit costs vs. peers. BDO and MBT will also have a beta impact from weaker PHP, as well as sharper growth and inflation delta due to significant energy dependence, which should allow a better entry point. Vietnam's growth is also at risk of slowing down, and deposit rates have moved up. This could lead to asset quality risks, particularly at VPB, which has lower coverage (55%) while coming off a rapid growth phase (35% credit growth in 2025) with exposures across customer segments including micro. ACB could see funding costs move up given its low CASA. VCB ([link](#)) remains better positioned fundamentally, but could see near-term beta to the broader market given its position as a large, liquid name in the market.

Figure 15: Philippines: LDR trends



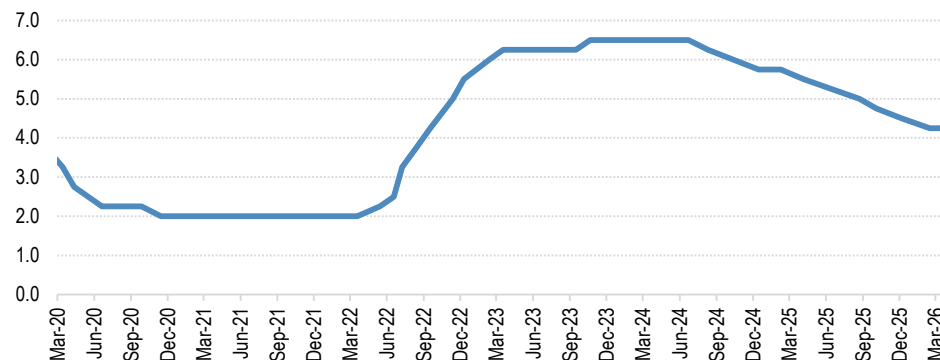
Source: CEIC.

Figure 16: Philippine Banks: RoE trends



Source: Company reports and J.P. Morgan estimates.

Figure 17: Philippines: Policy rate trends



Source: Bloomberg Finance L.P.

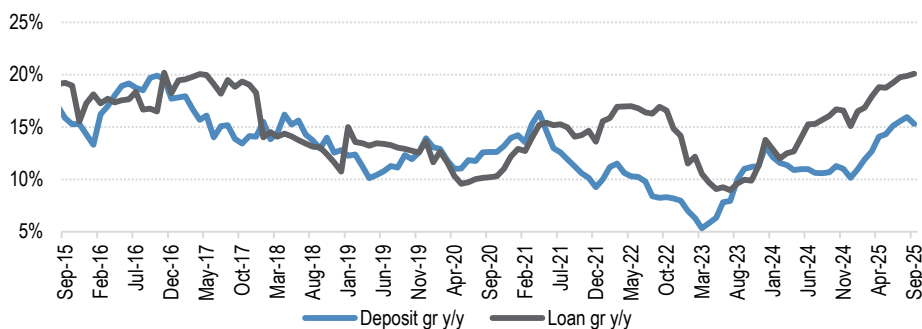
Table 9: Philippine Banks: Valuation

Bank	Price (Php)	Rating	PT (Php)	PE (x)		PB (x)		Div. Yield (%)		RoE (%)	
				2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
BPI	101.60	N	105.00	8.6	7.1	1.04	0.95	4.4	4.6	12.6	14.0
BDO	119.00	OW	175.00	7.0	6.2	0.90	0.81	3.7	3.7	13.6	13.8
MBT	63.00	N	75.00	5.7	5.2	0.67	0.61	7.9	4.8	11.9	12.3
SECB	65.80	OW	110.00	3.6	3.0	0.30	0.28	4.6	4.6	8.6	9.5
Sector				7.2	6.2	0.89	0.81	4.8	4.3	12.8	13.5

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 1st Apr, 2026.

Vietnam system loans and deposits growth is at 20% and 15% y/y respectively

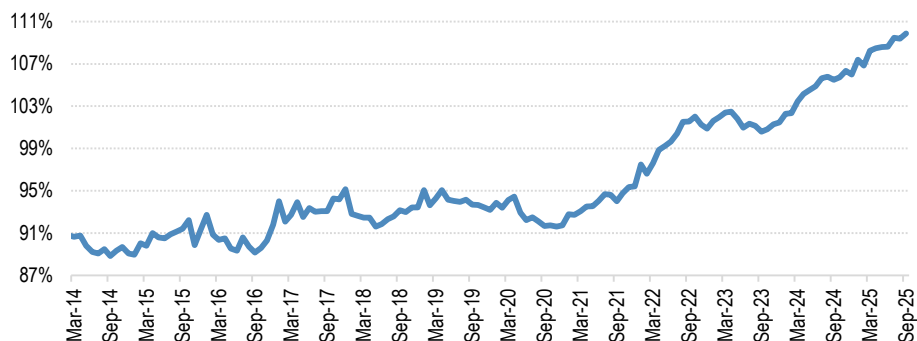
Figure 18: Vietnam: Credit and deposit growth



Source: CEIC.

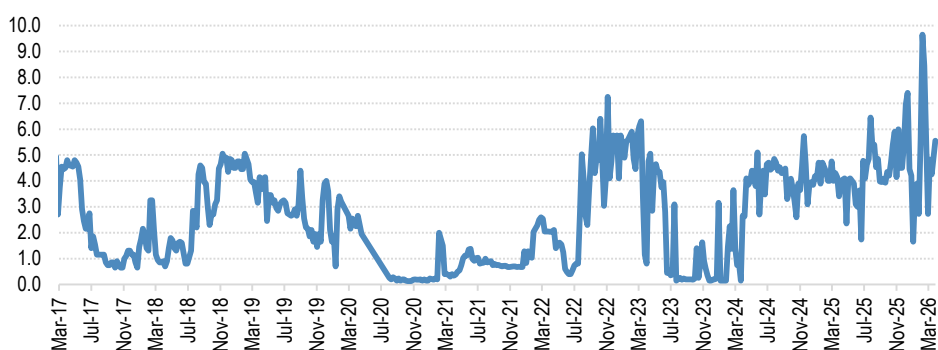
Vietnam system LDR is at 110%

Figure 19: Vietnam: LDR trends



Source: CEIC.

Figure 20: Vietnam: Overnight rate trends



Source: Bloomberg Finance L.P.

Table 10: Vietnam Banks: Valuation

Bank	Price (VND)	Rating	PT (VND)	PE (x)		PB (x)		Div. Yield (%)		RoE (%)	
				2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
ACB	23,800	N	26,000	6.5	5.5	1.13	0.98	4.2	5.0	18.5	19.0
TCB	30,800	OW	45,000	7.3	6.0	1.17	1.01	3.2	3.2	17.1	18.2
VCB	59,000	OW	72,000	13.7	11.3	1.87	1.60	-	-	14.7	15.3
VPB	26,800	N	30,000	8.4	7.4	1.12	0.99	1.9	1.9	14.2	14.2
Sector				10.4	8.7	1.49	1.28	1.5	1.6	15.6	16.1

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 2nd Apr, 2026.

Overweight

DBSM.SI, DBS SP

Price (02 Apr 26): S\$57.55

▼ **Price Target (Dec-26): S\$63.00**

Prior (Dec-26): S\$70.00

APAC Banks

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J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)

	2025A	2026E	2027E
Q1	1.02	1.01	
Q2	1.00	0.96	
Q3	1.04	0.98	
Q4	0.80	0.94	
FY	3.85	3.89	4.13

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	16	10	10	10	13
Growth	7	13	13	28	4
Momentum	43	25	13	16	1
Quality	7	4	4	13	22
Low Vol	43	49	13	25	13
ESGQ	93	86	87	22	20

DBS Group Holdings

Dividend intact; AQ and NIM-related weakness could provide attractive entry point

We are reducing our DBS PT to S\$63 (Dec-26, prev S\$70, 2-stage DDM derived), as risks of weaker AQ and lower NIM may postpone significant multiple expansion. Yet, the capital return at the bank should remain intact. We expect the bank to pay S\$3.5/share DPS in FY26 (including 60c capital return and 20c special partially in lieu of buyback), along with S\$750mn buyback, which appears sustainable over next 3Y despite provisions at high end of guidance (~20bps). NNM flows should accelerate (with possible flows from Middle East), but overall fee growth should be slower this year on capital market related weakness (ECM/DCM/IB). We expect the resumption of buybacks to mark a bottom for the stock. Hence, in case of a broader market weakness, DBS should outperform. Accordingly, we maintain OW on the stock.

Valuation

Table 11: DBS: Valuation

	Core Net (\$ mn)	Core EPS (\$)	P/E (x)	BVPS (\$)	P/B (x)	Dividend (\$)	Div Yld (%)	Core RoA (%)	Core RoRWA (%)	Core RoE (%)
2021	6,801	2.41	23.8	19.5	2.95	1.09	1.9%	1.01%	2.02%	12.6%
2022	8,193	2.89	19.9	19.2	2.99	1.82	3.2%	1.13%	2.35%	14.8%
2023	10,286	3.63	15.9	21.0	2.73	1.75	3.0%	1.38%	2.85%	17.9%
2024	11,408	4.01	14.3	23.4	2.46	2.22	3.9%	1.45%	3.14%	18.0%
2025	11,033	3.89	14.8	24.3	2.37	3.06	5.3%	1.27%	3.05%	16.2%
2026E	11,113	3.93	14.6	24.8	2.32	3.50	6.1%	1.20%	2.93%	16.0%
2027E	11,728	4.17	13.8	25.2	2.29	3.68	6.4%	1.19%	2.90%	16.7%
2028E	12,452	4.44	12.9	25.8	2.23	3.68	6.4%	1.21%	2.93%	17.4%

Price (\$)	57.51	Number of shares (mn)	2,837	Market Cap (\$ mn)	163,175
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Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	1.57%	Risk-free rate	3.85%	Fair PE	14.6x
Non-IR/revenues	38.9%	Cost of capital	9.4%	12m Rolling EPS	S\$3.99
Cost/income	40.4%	Long term growth	4.30%	PE based Fair Value	S\$58.4
Operating RoA	1.53%	Fair PB	2.41x	Implied Value of Growth	
LLP/Loans	-0.20%	PV of Terminal Value	S\$54.7	12m Rolling EPS	S\$3.99
Net RoAA	1.21%	PV of Dividends	S\$3.2	Capitalized Value (\$)	\$42.7
Equity/Assets	7.3%	PV of today's Fair Value	S\$57.9	Value of Growth (\$)	\$14.8
Normalised RoE	16.5%	PB based Dec-26 Fair Value	S\$63.3	Attributable to Growth	25.8%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 2nd Apr, 2026.

Annual Earnings

Table 12: DBS: Annual P&L

S\$ in mn	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Interest Income	13,798	15,592	12,208	10,185	15,927	27,862	30,927	28,268	27,331	28,248	29,628
Interest Expense	(4,843)	(5,967)	(3,132)	(1,745)	(4,986)	(14,220)	(16,503)	(13,768)	(12,776)	(12,863)	(13,470)
Net Interest Income	8,955	9,625	9,076	8,440	10,941	13,642	14,424	14,500	14,555	15,386	16,158
Non-Interest Income	4,137	4,919	5,516	5,857	5,768	6,752	8,123	8,662	9,230	9,776	10,359
Net Fee income	2,780	3,052	3,058	3,524	3,091	3,384	4,168	4,898	5,192	5,607	6,056
Trading income	1,178	1,459	1,405	1,791	2,313	1,369	1,541	1,368	1,546	1,577	1,608
Other operating income	179	408	1,053	542	364	1,999	2,414	2,396	2,492	2,592	2,695
Total Revenues	13,092	14,544	14,592	14,297	16,709	20,394	22,547	23,162	23,784	25,161	26,517
Costs	(5,798)	(6,258)	(6,158)	(6,469)	(7,090)	(8,056)	(8,895)	(9,249)	(9,649)	(10,100)	(10,701)
PPOP	7,294	8,286	8,434	7,828	9,619	12,338	13,652	13,913	14,136	15,061	15,816
Loan loss provisions	(708)	(704)	(3,063)	(51)	(234)	(591)	(623)	(791)	(931)	(1,131)	(1,029)
Other provisions	(2)	1	(3)	(1)	(3)	(8)	(22)	(23)	(12)	(6)	(3)
Other income	0	0	0	0	0	0	0	0	0	0	0
Pre-Tax	6,584	7,583	5,368	7,776	9,382	11,739	13,007	13,099	13,194	13,925	14,784
Tax	(974)	(1,116)	(612)	(973)	(1,188)	(1,452)	(1,598)	(2,065)	(2,080)	(2,195)	(2,331)
MI & EO	(76)	(38)	(35)	(2)	(1)	(1)	(1)	(1)	(1)	(1)	(1)
Core profit	5,534	6,429	4,721	6,801	8,193	10,286	11,408	11,033	11,113	11,728	12,452
Attributable profit	5,577	6,391	4,721	6,801	8,193	10,062	11,289	10,933	11,013	11,628	12,352

Source: Company reports and J.P. Morgan estimates.

Table 13: DBS: Annual DuPont

	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
NIM (% of avg. IEA)	1.85%	1.89%	1.62%	1.45%	1.75%	2.15%	2.13%	2.01%	1.90%	1.89%	1.89%
IEA/Assets	90.5%	90.2%	91.0%	87.2%	87.4%	85.6%	86.3%	83.7%	82.5%	82.6%	82.8%
Margins (% of avg. Assets)	1.68%	1.70%	1.48%	1.26%	1.53%	1.84%	1.84%	1.68%	1.57%	1.57%	1.57%
Non-IR contribution	31.6%	33.8%	37.8%	41.0%	34.5%	33.1%	36.0%	37.4%	38.8%	38.9%	39.1%
Non-IR/Avg. Assets	0.77%	0.87%	0.90%	0.88%	0.81%	0.91%	1.04%	1.00%	0.99%	0.99%	1.00%
Revenue/Assets	2.45%	2.57%	2.37%	2.14%	2.34%	2.75%	2.88%	2.69%	2.56%	2.56%	2.57%
Cost/Income	44.3%	43.0%	42.2%	45.2%	42.4%	39.5%	39.5%	39.9%	40.6%	40.1%	40.4%
C/Assets	1.09%	1.11%	1.00%	0.97%	0.99%	1.09%	1.14%	1.07%	1.04%	1.03%	1.04%
Pre-Provision ROA	1.37%	1.47%	1.37%	1.17%	1.35%	1.66%	1.74%	1.61%	1.52%	1.53%	1.53%
LLP/Loans	-0.21%	-0.20%	-0.83%	-0.01%	-0.06%	-0.14%	-0.15%	-0.18%	-0.20%	-0.24%	-0.20%
Loan/Assets	63.4%	63.0%	60.2%	59.3%	58.4%	56.8%	54.8%	51.5%	49.4%	48.7%	48.8%
Other Income/Assets	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Operating ROA	1.23%	1.34%	0.87%	1.16%	1.31%	1.58%	1.66%	1.52%	1.42%	1.42%	1.43%
Pre-Tax ROA	1.23%	1.34%	0.87%	1.16%	1.31%	1.58%	1.66%	1.52%	1.42%	1.42%	1.43%
Tax Rate	-14.8%	-14.7%	-11.4%	-12.5%	-12.7%	-12.4%	-12.3%	-15.8%	-15.8%	-15.8%	-15.8%
Minorities & Outside Int.	-0.01%	-0.01%	-0.01%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
ROA	1.03%	1.12%	0.75%	1.01%	1.13%	1.35%	1.43%	1.26%	1.19%	1.18%	1.20%
RoRWA	1.90%	2.13%	1.47%	2.02%	2.35%	2.79%	3.11%	3.02%	2.91%	2.88%	2.91%
Equity/Assets	8.60%	8.43%	8.15%	7.96%	7.67%	7.70%	8.05%	7.84%	7.48%	7.16%	6.93%
ROE	12.0%	13.3%	9.2%	12.6%	14.8%	17.5%	17.8%	16.0%	15.9%	16.5%	17.3%

Source: Company reports and J.P. Morgan estimates.

Quarterly Earnings

Table 14: DBS: Quarterly P&L

S\$ in mn	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	7,726	7,741	7,713	7,747	7,457	7,084	6,913	6,814	6,702	6,762	6,843	7,023
Interest Expense	(4,221)	(4,147)	(4,116)	(4,019)	(3,776)	(3,436)	(3,335)	(3,221)	(3,172)	(3,149)	(3,184)	(3,272)
Net Interest Income	3,505	3,594	3,597	3,728	3,681	3,648	3,578	3,593	3,530	3,614	3,660	3,751
Non-Interest Income	2,103	1,951	2,222	1,847	2,301	2,149	2,421	1,791	2,453	2,248	2,354	2,175
Net Fee income	1,043	1,048	1,109	968	1,275	1,167	1,357	1,099	1,374	1,264	1,340	1,215
Trading income	388	362	530	261	401	395	419	153	459	358	376	353
Other operating income	672	541	583	618	625	587	645	539	620	626	639	607
Total Revenues	5,608	5,545	5,819	5,575	5,982	5,797	5,999	5,384	5,983	5,862	6,014	5,926
Costs	(2,079)	(2,172)	(2,249)	(2,395)	(2,214)	(2,270)	(2,393)	(2,372)	(2,320)	(2,381)	(2,459)	(2,487)
PPOP	3,529	3,373	3,570	3,180	3,768	3,527	3,606	3,012	3,662	3,480	3,555	3,438
Loan loss provisions	(135)	(128)	(130)	(230)	(325)	(130)	(124)	(212)	(227)	(229)	(231)	(244)
Other provisions	0	(32)	(6)	16	(6)	(9)	(6)	(2)	(3)	(3)	(3)	(3)
Other income	0	0	0	0	0	0	0	0	0	0	0	0
Pre-Tax	3,394	3,213	3,434	2,966	3,437	3,388	3,476	2,798	3,433	3,248	3,321	3,192
Tax	(432)	(416)	(414)	(336)	(531)	(573)	(531)	(430)	(549)	(520)	(531)	(480)
MI and EO	(6)	6	7	(8)	(9)	9	9	(10)	(13)	(12)	(12)	36
Core profit	2,956	2,803	3,027	2,622	2,897	2,824	2,954	2,358	2,871	2,716	2,777	2,748
Attributable profit	2,951	2,789	3,027	2,522	2,897	2,824	2,954	2,258	2,871	2,716	2,777	2,648

Source: Company reports and J.P. Morgan estimates.

Table 15: DBS: Quarterly DuPont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	2.14%	2.14%	2.11%	2.15%	2.12%	2.05%	1.96%	1.93%	1.90%	1.89%	1.88%	1.88%
IEA/Assets	86.7%	86.0%	85.9%	85.3%	84.4%	85.0%	84.0%	83.0%	83.1%	83.2%	83.2%	83.3%
Margins (% of avg. Ass)	1.85%	1.84%	1.81%	1.83%	1.79%	1.74%	1.65%	1.60%	1.58%	1.57%	1.57%	1.56%
Non-IR contribution	37.5%	35.2%	38.2%	33.1%	38.5%	37.1%	40.4%	33.3%	41.0%	38.3%	39.1%	36.7%
Non-IR/Avg. Assets	1.11%	0.99%	1.13%	0.91%	1.10%	1.02%	1.12%	0.81%	1.08%	0.98%	1.01%	0.91%
Revenue/Assets	2.95%	2.82%	2.95%	2.76%	2.87%	2.76%	2.78%	2.42%	2.64%	2.55%	2.57%	2.49%
Cost/Income	37.1%	39.2%	38.6%	43.0%	37.0%	39.2%	39.9%	44.1%	38.8%	40.6%	40.9%	42.0%
C/Assets	1.09%	1.10%	1.14%	1.19%	1.06%	1.08%	1.11%	1.07%	1.03%	1.03%	1.05%	1.05%
Pre-Provision ROA	1.9%	1.7%	1.8%	1.6%	1.8%	1.7%	1.7%	1.4%	1.6%	1.5%	1.5%	1.4%
LLP/Loans	-0.13%	-0.12%	-0.12%	-0.21%	-0.30%	-0.12%	-0.11%	-0.19%	-0.20%	-0.20%	-0.20%	-0.21%
Loan/Assets	56.0%	54.8%	54.1%	53.2%	52.7%	52.4%	51.2%	50.3%	49.9%	49.5%	49.1%	48.8%
Other Income/Assets	0.00%	-0.02%	0.00%	0.01%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Operating ROA	1.78%	1.65%	1.74%	1.46%	1.65%	1.62%	1.62%	1.26%	1.52%	1.41%	1.42%	1.34%
Pre-Tax ROA	1.78%	1.63%	1.74%	1.47%	1.65%	1.61%	1.61%	1.26%	1.52%	1.41%	1.42%	1.34%
Tax Rate	-12.7%	-13.0%	-12.1%	-11.3%	-15.4%	-16.9%	-15.3%	-15.4%	-16.0%	-16.0%	-16.0%	-15.0%
Minorities & Outside Int	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	-0.01%	-0.01%	-0.01%	0.02%
ROA	1.55%	1.42%	1.53%	1.25%	1.39%	1.34%	1.37%	1.02%	1.27%	1.18%	1.19%	1.11%
RoRWA	3.16%	2.91%	3.34%	2.92%	3.29%	3.19%	3.27%	2.47%	3.12%	2.90%	2.91%	2.73%
Equity/Assets	7.95%	7.89%	8.09%	8.12%	8.04%	8.04%	7.82%	7.65%	7.64%	7.55%	7.45%	7.35%
ROE	19.5%	17.9%	18.9%	15.3%	17.3%	16.7%	17.5%	13.3%	16.6%	15.6%	15.9%	15.2%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	2.1%	3.4%	2.0%	25.0%
Rel	-4.4%	2.3%	-4.2%	-0.1%

Company Data

Shares O/S (mn)	2,844
52-week range (\$\$)	60.00-36.30
Market cap (\$ mn)	127,550
Exchange rate	1.28
Free float (%)	71.6%
3M ADV (mn)	5.38
3M ADV (\$ mn)	240.1
Volatility (90 Day)	14
Index	FTSTI
BBG ANR (Buy Hold Sell)	8 7 2

Key Metrics (FYE Dec)

\$S in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	14,500	14,555	15,386	16,158
Non interest income	8,662	9,230	9,776	10,359
Operating expenses	(9,249)	(9,649)	(10,100)	(10,701)
Adj. PPOP	13,913	14,136	15,061	15,816
Provision for loan losses	(791)	(931)	(1,131)	(1,029)
Adj. PBT	12,999	13,094	13,825	14,684
Adj. net income	10,933	11,013	11,628	12,352
Adj. EPS	3.85	3.89	4.13	4.40
BBG EPS	3.96	3.94	4.20	4.46
DPS	3.06	3.51	3.69	3.69
Loans	445,011	459,240	485,268	507,732
Deposits	610,023	656,480	691,375	724,502
Total Assets	897,488	957,850	1,007,179	1,056,057
Margins and Growth				
NIM	2.0%	1.9%	1.9%	1.9%
Ratios				
Loan/ Deposit ratio	72.9%	70.0%	70.2%	70.1%
NPL / Loans	1.0%	1.2%	1.3%	1.3%
Coverage	130.8%	111.1%	102.6%	98.9%
CET 1	-	-	-	-
Non-int. income/ Income	37.4%	38.8%	38.9%	39.1%
Cost/Income	39.9%	40.6%	40.1%	40.4%
LLP/Loans	(0.2%)	(0.2%)	(0.2%)	(0.2%)
ROA	1.3%	1.2%	1.2%	1.2%
ROE	16.2%	15.9%	16.5%	17.3%
Valuation				
Dividend yield	5.3%	6.1%	6.4%	6.4%
Adj. P/E	14.9	14.8	13.9	13.1
P/ BV	2.37	2.32	2.29	2.23

Summary Investment Thesis and Valuation

Investment Thesis

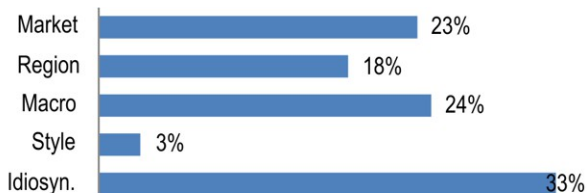
We are OW on DBS.

- DBS has delivered one of the best RoE expansions in the last decade as technology and process-led changes across the franchise have resulted in better growth, efficiency and returns. The bank's digital strength is driving gains in loan market share, WM, as well as underwriting, which had previously seen challenges at the bank.
- The bank's commitment to and delivery of payouts in numerous forms (progressively increasing regular dividends, special dividends and buyback) allows investors to pay a multiple for the income stream.
- The bank has restructured to lower its loan intensity (48% loans to assets in 2028E vs. 63% in 2017), with the WM business contributing an increasingly larger share. We expect S\$40bn NNM in 2026E, but fee growth could be lower in a period of market volatility.

Valuation

Our Dec-26 PT of S\$63 is based on a fair P/B of 2.4x, assuming a normalized RoE of 16.5%, a risk-free rate of 3.85%, a cost of capital of 9.4% and a growth rate of 4.3%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.37	0.59
Region: Singapore	0.72	0.62
Macro:		
HSI Volatility Index	0.01	-0.34
JP Morgan EMBI Global Spread	0.03	-0.28
JPM Global Equity Sentiment	0.11	0.20
Quant Styles:		
Size	-0.33	-0.21
Value	0.08	0.21
LowVol	0.22	0.20

DBS Group Holdings (Overweight; Price Target: S\$63.00)

Investment Thesis

We are OW on DBS.

- DBS has delivered one of the best RoE expansions in the last decade as technology and process-led changes across the franchise have resulted in better growth, efficiency and returns. The bank's digital strength is driving gains in loan market share, WM, as well as underwriting.
- The bank's commitment to and delivery of payouts in numerous forms (progressively increasing regular dividends, special dividends and buyback) allows investors to pay a multiple for the income stream.
- The bank has restructured to lower its loan intensity (48% loans to assets in 2028E vs. 63% in 2017), with the WM business contributing an increasingly larger share. We expect S\$40bn NNM in 2026E (flat vs. 2025, which was record), but fee growth could be lower in a period of market volatility.
- The shifts in oil prices could lead to asset quality issues across the sector. We expect higher NPL formation at 38bps in FY26, at par with 2020 highs. We expect the bank to book provisions at higher end of guidance at 20bps. Any indication of a sharp pick-up in NPL formation would be a catalyst for de-rating. A key risk area could be trade-related exposure. Stage 2 loans are likely to move up in 1Q26, with NPLs following in 2Q/3Q.
- We expect 2026 EPS to mark a low for the next 5Y. Hence, the regular DPS of S\$3.06 and part of the special can stay intact. We estimate the bank can potentially pay over \$3.50 DPS (2026E) for years to come.
- Overall, risk-reward is positive with the stock trading at 2.3x 2026E PB and 6.1% dividend yield.

Valuation

Our Dec-26 PT of S\$63 is based on a fair P/B of 2.4x, assuming a normalized RoE of 16.5%, a risk-free rate of 3.85%, a cost of capital of 9.4% and a growth rate of 4.3%.

Risks to Rating and Price Target

Upside catalysts include: (1) further increases in DPS; (2) resilient GDP growth, leading to better-than-expected growth and asset quality; (3) sustained improvements in underwriting and monitoring, leading to lower-than-expected credit costs; (4) better-than-expected efficiency gains due to digital investments; and (5) better-than-expected WM performance on sustained inflows into SG.

Downside risks include: (1) dividend disappointment; (2) asset quality deterioration, potentially from trade-related exposure or CRE; and (3) faster and/or larger Fed rate cuts or decline in SORA, which would drive a larger than expected NIM compression. Any acquisition would come with two-sided risks.

DBS Group Holdings: Summary of Financials

Income Statement						Balance Sheet					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	30,927	28,268	27,331	28,248	29,628	Cash and cash equivalents	0	0	0	0	0
Interest expense	(16,503)	(13,768)	(12,776)	(12,863)	(13,470)	Deposits with banks	139,061	149,725	153,472	158,212	165,003
Net interest income	14,424	14,500	14,555	15,386	16,158	Net loans	430,594	445,011	459,240	485,268	507,732
Non interest income	8,123	8,662	9,230	9,776	10,359	PP&E	3,873	3,486	3,591	3,698	3,809
o/w Fee income	4,168	4,898	5,192	5,607	6,056	Net intangibles	6,372	6,314	6,314	6,314	6,314
o/w Trading income	1,541	1,368	1,546	1,577	1,608	LT investments	189,665	239,231	279,900	296,694	314,496
Net revenues	22,547	23,162	23,784	25,161	26,517	Other assets	57,654	53,721	55,333	56,993	58,702
Non interest expense	(8,895)	(9,249)	(9,649)	(10,100)	(10,701)	Total assets	827,219	897,488	957,850	1,007,179	1,056,057
o/w Employee costs	0	0	0	0	0	Interest earning assets	765,410	840,021	898,760	946,567	993,881
Pre-Prov. Profits	13,652	13,913	14,136	15,061	15,816	Deposits	561,730	610,023	656,480	691,375	724,502
Provisions	(623)	(791)	(931)	(1,131)	(1,029)	Borrowings	133,343	158,846	168,104	177,903	188,276
Adj. PBT	12,888	12,999	13,094	13,825	14,684	Other liabilities	65,705	59,703	63,285	67,082	71,107
Income taxes	(1,598)	(2,065)	(2,080)	(2,195)	(2,331)	Total liabilities	760,778	828,572	887,869	936,360	983,885
Minority interest	(1)	(1)	(1)	(1)	(1)	Shareholder equity	66,394	68,867	69,932	70,769	72,123
Adj. Net profit	11,289	10,933	11,013	11,628	12,352	Minority interests	47	49	49	49	49
PPOP per share	4.80	4.90	5.00	5.36	5.65	Total liabilities and Shareholder equity	827,219	897,488	957,850	1,007,179	1,056,057
Reported EPS	3.97	3.85	3.89	4.13	4.40	Interest bearing liabilities	638,689	686,090	748,923	796,115	837,566
Adj. EPS	3.97	3.85	3.89	4.13	4.40	Book Value Per Share	23.38	24.27	24.75	25.17	25.77
DPS	2.22	3.06	3.51	3.69	3.69	Tangible Book Value Per Share	23.38	24.27	24.75	25.17	25.77
Diluted shares outstanding	2,843	2,838	2,832	2,819	2,806						
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	76.7%	72.9%	70.0%	70.2%	70.1%	Loan loss reserves/Loans	(1.4%)	(1.3%)	(1.3%)	(1.3%)	(1.3%)
Investment/Assets	22.0%	24.9%	28.0%	29.3%	29.6%	NPLs/Loans	1.1%	1.0%	1.2%	1.3%	1.3%
Loan/Assets	54.8%	51.5%	49.4%	48.7%	48.8%	Loan loss reserves/NPLs	127.5%	129.1%	120.1%	106.6%	100.7%
Customer deposits/Liabilities	73.8%	73.6%	73.9%	73.8%	73.6%	NPL y/y growth	1.8%	(3.2%)	19.5%	12.6%	7.9%
LT debt/Liabilities	15.9%	18.4%	19.0%	19.0%	19.1%	Tier 1 ratio	17.7%	17.0%	16.1%	15.4%	15.0%
						CAR	18.6%	17.9%	16.9%	16.2%	15.7%
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	2.1%	2.0%	1.9%	1.9%	1.9%	Return on equity (ROE)	17.9%	16.2%	15.9%	16.5%	17.3%
Non interest income/Net revenue	36.0%	37.4%	38.8%	38.9%	39.1%	Return on assets (ROA)	1.4%	1.3%	1.2%	1.2%	1.2%
Non interest income/Avg. Assets	1.0%	1.0%	1.0%	1.0%	1.0%	Operating ROA	1.7%	1.5%	1.4%	1.4%	1.4%
Efficiency ratio	39.5%	39.9%	40.6%	40.1%	40.4%	Pre-Tax ROA	1.6%	1.5%	1.4%	1.4%	1.4%
Leverage ratio	8.0%	7.2%	6.8%	6.5%	6.3%	Pre-Provision ROA	1.7%	1.6%	1.5%	1.5%	1.5%
Revenue/Assets	2.9%	2.7%	2.6%	2.6%	2.6%	Tax rate	12.4%	15.9%	15.9%	15.9%	15.9%
RORWA	3.1%	3.0%	2.9%	2.9%	2.9%						
RWA	352,002	365,381	392,718	414,958	435,095	Net loans y/y growth	3.5%	3.3%	3.2%	5.7%	4.6%
Avg. RWA	360,183	358,692	379,050	403,838	425,026	Assets y/y growth	11.9%	8.5%	6.7%	5.1%	4.9%
Avg. IEA	676,148	721,393	765,063	811,943	853,797	RWA y/y growth	(4.4%)	3.8%	7.5%	5.7%	4.9%
Gross Loans	436,684	451,065	465,388	491,661	514,382	Deposits y/y growth	5.0%	8.6%	7.6%	5.3%	4.8%
Avg. IBL	638,689	686,090	748,923	796,115	837,566	Net interest income y/y growth	5.7%	0.5%	0.4%	5.7%	5.0%
LLR	(6,090)	(6,054)	(6,147)	(6,393)	(6,650)	Revenues y/y growth	10.6%	2.7%	2.7%	5.8%	5.4%
NPLs	4,780	4,629	5,531	6,229	6,721	Adj. EPS y/y growth	11.9%	(3.0%)	1.0%	6.1%	6.7%
P/BV (x)	2.46	2.37	2.32	2.29	2.23	BVPS y/y growth	11.1%	3.8%	2.0%	1.7%	2.4%
Adj. P/E (x)	14.5	14.9	14.8	13.9	13.1	IE assets/Assets	86.3%	83.7%	82.5%	82.6%	82.8%
Dividend yield	3.9%	5.3%	6.1%	6.4%	6.4%	Margins (as % of Avg. Assets)	1.7%	1.5%	1.4%	1.4%	1.4%
Dividend payout	55.9%	79.4%	90.2%	89.4%	83.8%	LLP/Loans	(0.1%)	(0.2%)	(0.2%)	(0.2%)	(0.2%)
						Equity/Assets	8.0%	7.8%	7.5%	7.2%	6.9%
						Cost/Assets	1.1%	1.1%	1.0%	1.0%	1.0%
						Assets/Equity	12.4	12.8	13.4	14.0	14.4

Source: Company reports and J.P. Morgan estimates.

Note: \$S in millions (except per-share data). Fiscal year ends Dec

▼ Underweight

Previous: Neutral

OCBC.SI, OCBC SP

Price (02 Apr 26): S\$22.38

▼ **Price Target (Dec-26): S\$20.00**

Prior (Dec-26): S\$20.50

APAC Banks

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)

	2025A	2026E	2027E
Q1	0.42	0.43	
Q2	0.40	0.41	
Q3	0.43	0.43	
Q4	0.38	0.37	
FY	1.63	1.64	1.74

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	13	7	13	7	16
Growth	19	10	10	10	34
Momentum	19	52	31	22	13
Quality	13	7	7	7	10
Low Vol	22	22	1	4	1
ESGQ	8	19	17	10	8

OCBC Bank

Outperformance pushing stock above fair value; tactical downgrade to UW

The stock is trading near 10Y high PER, largely on expectations of a relatively manageable energy impact to Singapore and sustained wealth inflows into the market. However, the energy shock could still weigh on growth and fees, leading to negative risk-reward. We expect OCBC to follow-through with its S\$2.5bn capital return plan (remaining S\$780mn paid as special dividend this year), with payout sustaining at ~60% over FY27-28; but with no major increase over this period. At the same time, M&A remains possible and could be a risk if not immediately accretive.

Valuation

Table 16: OCBC: Valuation

	Net Inc (S\$ mn)	Core EPS (S\$)	Core P/E (x)	BVPS (S\$)	P/B (x)	Dividend (S\$)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)
2022	5,691	1.27	17.6	11.4	1.96	0.68	3.0%	1.03%	2.52%	11.1%
2023	6,986	1.55	14.4	11.8	1.90	0.82	3.7%	1.22%	3.00%	13.4%
2024	7,519	1.67	13.4	12.7	1.76	1.01	4.5%	1.25%	3.21%	13.7%
2025E	7,354	1.63	13.7	13.4	1.67	0.99	4.4%	1.13%	3.06%	12.5%
2026E	7,377	1.64	13.7	14.1	1.59	0.99	4.4%	1.06%	2.89%	11.9%
2027E	7,847	1.74	12.9	14.8	1.51	1.05	4.7%	1.06%	2.86%	12.1%
2028E	8,414	1.87	12.0	15.6	1.44	1.12	5.0%	1.06%	2.87%	12.1%
Price (S\$)		22.39		Number of shares (mn)		4,515		Market Cap (S\$ mn)		101,091
Normalised RoE			PB based Valuation				PE based Valuation			
NIM (on avg. assets)	1.35%		Risk-free rate			4.1%		Fair PE		11.1x
Non-IR/revenues	37.1%		Cost of capital			10.2%		12m Rolling EPS		S\$1.66
Cost/income	40.9%		Long term growth			4.3%		PE based Dec-26 Fair Value		S\$18.4
Operating RoA	1.27%		Fair PB			1.36x		Implied Value of Growth		
LLP/Loans	-0.20%		PV of Terminal Value			S\$17.6		12m Rolling EPS		S\$1.66
Net RoAA	1.09%		PV of Dividends			S\$0.9		Capitalized Value (S\$)		\$16.37
Equity/Assets	8.9%		PV of today's Fair Value			S\$18.5		Value of Growth (S\$)		\$6.02
Normalised RoE	12.3%		PB based Dec-26 Fair Value			S\$20.4		Attributable to Growth		26.9%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 2nd Apr, 2026.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Annual Earnings

Table 17: OCBC: Annual P&L

S\$ in mn	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Interest Income	11,049	12,098	9,143	7,425	11,590	20,867	22,444	20,076	19,688	20,791	21,938
Interest Expense	(5,159)	(5,767)	(3,177)	(1,570)	(3,902)	(11,222)	(12,689)	(10,926)	(10,280)	(10,826)	(11,425)
Net Interest Income	5,890	6,331	5,966	5,855	7,688	9,645	9,755	9,150	9,408	9,966	10,512
Non-Interest Income	3,811	4,540	4,173	4,741	3,987	3,862	4,718	5,464	5,588	5,878	6,184
Net Fee income	2,031	2,123	2,003	2,245	1,851	1,804	1,970	2,411	2,580	2,735	2,899
Trading income	524	1,148	1,071	855	628	1,250	1,831	1,984	1,885	1,976	2,071
Other operating income	1,256	1,269	1,099	1,641	1,508	808	917	1,069	1,122	1,167	1,214
Total Revenues	9,701	10,871	10,139	10,596	11,675	13,507	14,473	14,614	14,995	15,844	16,697
Costs	(4,214)	(4,644)	(4,439)	(4,764)	(5,026)	(5,223)	(5,742)	(5,882)	(6,133)	(6,476)	(6,839)
PPOP	5,487	6,227	5,700	5,832	6,649	8,284	8,731	8,732	8,862	9,367	9,857
Loan loss provisions	(307)	(747)	(2,043)	(873)	(584)	(733)	(690)	(665)	(881)	(929)	(858)
Other provisions	(83)	(102)	(104)	(103)	(104)	(103)	(59)	(21)	(21)	(21)	(21)
Other income	455	566	612	824	978	953	994	1,077	1,185	1,303	1,433
Pre-Tax	5,552	5,944	4,165	5,680	6,939	8,401	8,976	9,123	9,145	9,720	10,412
Tax	(877)	(814)	(437)	(648)	(1,057)	(1,236)	(1,228)	(1,563)	(1,555)	(1,652)	(1,770)
Minorities and Hybrids	(183)	(170)	(142)	(174)	(134)	(144)	(161)	(138)	(145)	(152)	(160)
Core Reported profit	4,492	4,960	3,586	4,858	5,748	7,021	7,587	7,422	7,445	7,915	8,482
Profits to Equity SHs	4,459	4,810	3,530	4,812	5,691	6,986	7,519	7,354	7,377	7,847	8,414

Source: Company reports and J.P. Morgan estimates.

Table 18: OCBC: Annual DuPont

	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
NIM (% of avg. IEA)	1.70%	1.77%	1.61%	1.54%	1.91%	2.28%	2.20%	1.91%	1.82%	1.83%	1.83%
IEA/Assets	75.3%	74.5%	72.9%	71.4%	72.9%	74.1%	73.5%	73.6%	74.0%	73.9%	74.0%
Margins (% of avg. Assets)	1.28%	1.32%	1.18%	1.10%	1.40%	1.69%	1.62%	1.41%	1.35%	1.35%	1.35%
Non-IR contribution	39.3%	41.8%	41.2%	44.7%	34.1%	28.6%	32.6%	37.4%	37.3%	37.1%	37.0%
Non-IR/Avg. Assets	0.83%	0.95%	0.82%	0.89%	0.72%	0.68%	0.78%	0.84%	0.80%	0.80%	0.79%
Revenue/Assets	2.10%	2.27%	2.00%	1.99%	2.12%	2.37%	2.40%	2.25%	2.15%	2.15%	2.15%
Cost/Income	43.4%	42.7%	43.8%	45.0%	43.0%	38.7%	39.7%	40.2%	40.9%	40.9%	41.0%
C/Assets	0.91%	0.97%	0.88%	0.90%	0.91%	0.92%	0.95%	0.90%	0.88%	0.88%	0.88%
Pre-Provision ROA	1.19%	1.30%	1.13%	1.10%	1.21%	1.45%	1.45%	1.34%	1.27%	1.27%	1.27%
LLP/Loans	-0.12%	-0.29%	-0.77%	-0.31%	-0.20%	-0.25%	-0.22%	-0.20%	-0.25%	-0.26%	-0.23%
Loan/Assets	53.7%	54.5%	52.5%	52.4%	53.1%	51.8%	51.0%	50.8%	49.7%	49.1%	48.9%
Other Income/Assets	0.08%	0.10%	0.10%	0.14%	0.16%	0.15%	0.15%	0.16%	0.17%	0.17%	0.18%
Operating ROA	1.12%	1.14%	0.72%	0.93%	1.10%	1.32%	1.33%	1.24%	1.14%	1.14%	1.16%
Pre-Tax ROA	1.20%	1.24%	0.82%	1.07%	1.26%	1.47%	1.49%	1.40%	1.31%	1.32%	1.34%
Tax Rate	-15.8%	-13.7%	-10.5%	-11.4%	-15.2%	-14.7%	-13.7%	-17.1%	-17.0%	-17.0%	-17.0%
Minorities & Outside Int.	-0.04%	-0.04%	-0.03%	-0.03%	-0.02%	-0.03%	-0.03%	-0.02%	-0.02%	-0.02%	-0.02%
ROA	0.97%	1.02%	0.71%	0.91%	1.04%	1.23%	1.26%	1.14%	1.07%	1.07%	1.09%
RoRWA	2.28%	2.35%	1.66%	2.19%	2.52%	3.00%	3.21%	3.06%	2.89%	2.86%	2.87%
Equity/Assets	8.5%	9.0%	9.2%	9.3%	9.3%	9.1%	9.1%	9.0%	8.9%	8.8%	8.8%
ROE	11.5%	11.3%	7.7%	9.8%	11.2%	13.5%	13.8%	12.6%	12.1%	12.2%	12.4%

Source: Company reports and J.P. Morgan estimates.

Quarterly Earnings

Table 19: OCBC: Quarterly P&L

S\$ in mn	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	5,615	5,615	5,596	5,617	5,410	4,994	4,824	4,847	4,853	4,887	4,934	5,015
Interest Expense	(3,178)	(3,185)	(3,163)	(3,162)	(3,065)	(2,711)	(2,598)	(2,551)	(2,566)	(2,550)	(2,560)	(2,605)
Net Interest Income	2,437	2,430	2,433	2,455	2,345	2,283	2,226	2,296	2,287	2,337	2,373	2,410
Non-Interest Income	1,189	1,199	1,369	961	1,310	1,264	1,570	1,320	1,495	1,360	1,480	1,254
Net Fee income	479	466	508	517	546	580	683	602	692	609	682	596
Trading income	421	439	628	343	458	458	576	492	481	478	484	443
Other operating income	289	294	233	101	306	226	311	226	321	273	314	215
Total Revenues	3,626	3,629	3,802	3,416	3,655	3,547	3,796	3,616	3,782	3,697	3,853	3,664
Costs	(1,346)	(1,373)	(1,463)	(1,560)	(1,415)	(1,389)	(1,519)	(1,559)	(1,484)	(1,478)	(1,550)	(1,621)
PPOP	2,280	2,256	2,339	1,856	2,240	2,158	2,277	2,057	2,298	2,218	2,304	2,043
Loan loss provisions	(169)	(55)	(169)	(297)	(212)	(87)	(139)	(227)	(215)	(217)	(220)	(229)
Other provisions	(25)	(111)	(7)	84	(5)	(33)	(5)	22	(6)	(6)	(6)	(5)
Other income	255	243	251	245	274	263	279	261	300	294	303	287
Pre-Tax	2,341	2,333	2,414	1,888	2,297	2,301	2,412	2,113	2,377	2,290	2,381	2,097
Tax	(344)	(310)	(339)	(235)	(390)	(439)	(378)	(356)	(404)	(389)	(405)	(356)
Minorities and Hybrids	(15)	(79)	(101)	34	(24)	(46)	(56)	(12)	(30)	(30)	(30)	(54)
Core Reported profits	1,982	1,944	1,974	1,687	1,883	1,816	1,978	1,745	1,942	1,870	1,946	1,687
Profits to Equity SHs	1,965	1,927	1,957	1,670	1,866	1,799	1,961	1,728	1,925	1,853	1,929	1,670

Source: Company reports and J.P. Morgan estimates.

Table 20: OCBC: Quarterly DuPont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	2.27%	2.20%	2.18%	2.15%	2.04%	1.92%	1.84%	1.86%	1.83%	1.82%	1.80%	1.80%
IEA/Assets	73.3%	74.2%	74.0%	74.0%	74.0%	74.4%	74.3%	74.0%	74.5%	74.6%	74.5%	74.3%
Margins (% of avg. Assets)	1.66%	1.63%	1.61%	1.59%	1.51%	1.43%	1.37%	1.38%	1.36%	1.36%	1.34%	1.34%
Non-IR contribution	32.8%	33.0%	36.0%	28.1%	35.8%	35.6%	41.4%	36.5%	39.5%	36.8%	38.4%	34.2%
Non-IR/Avg. Assets	0.81%	0.80%	0.91%	0.63%	0.83%	0.79%	0.97%	0.80%	0.88%	0.79%	0.84%	0.70%
Revenue/Assets	2.46%	2.43%	2.53%	2.23%	2.32%	2.21%	2.35%	2.19%	2.22%	2.14%	2.20%	2.06%
Cost/Income	37.1%	37.8%	38.5%	45.7%	38.7%	39.2%	40.0%	43.1%	39.2%	40.0%	40.2%	44.2%
C/Assets	0.91%	0.92%	0.97%	1.02%	0.90%	0.87%	0.94%	0.94%	0.87%	0.86%	0.88%	0.91%
Pre-Provision ROA	1.55%	1.51%	1.56%	1.21%	1.42%	1.35%	1.41%	1.24%	1.35%	1.28%	1.31%	1.15%
LLP/Loans	-0.23%	-0.07%	-0.22%	-0.38%	-0.26%	-0.11%	-0.17%	-0.27%	-0.25%	-0.25%	-0.25%	-0.26%
Loan/Assets	50.7%	50.6%	50.7%	50.9%	50.8%	50.5%	50.4%	50.5%	50.3%	50.1%	49.9%	49.4%
Other Income/Assets	0.16%	0.09%	0.16%	0.21%	0.17%	0.14%	0.17%	0.17%	0.17%	0.17%	0.17%	0.16%
Operating ROA	1.43%	1.47%	1.45%	1.02%	1.29%	1.29%	1.32%	1.11%	1.22%	1.16%	1.19%	1.02%
Pre-Tax ROA	1.59%	1.56%	1.61%	1.23%	1.46%	1.44%	1.49%	1.28%	1.40%	1.33%	1.36%	1.18%
Tax Rate	-14.7%	-13.3%	-14.0%	-12.5%	-17.0%	-19.1%	-15.7%	-16.8%	-17.0%	-17.0%	-17.0%	-17.0%
Minorities & Outside Int.	-0.01%	-0.05%	-0.07%	0.02%	-0.01%	-0.03%	-0.03%	-0.01%	-0.02%	-0.02%	-0.02%	-0.03%
ROA	1.33%	1.29%	1.30%	1.09%	1.18%	1.12%	1.21%	1.04%	1.13%	1.07%	1.10%	0.94%
RoRWA	3.27%	3.11%	3.27%	2.88%	3.15%	3.02%	3.28%	2.83%	3.07%	2.91%	2.97%	2.53%
Equity/Assets	9.13%	9.15%	9.18%	9.18%	9.24%	9.19%	8.98%	8.92%	9.00%	8.95%	8.90%	8.88%
ROE	14.6%	14.1%	14.2%	11.9%	12.8%	12.2%	13.5%	11.7%	12.6%	12.0%	12.4%	10.5%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	13.3%	6.9%	12.8%	30.0%
Rel	6.8%	5.8%	6.5%	4.8%

Company Data

Shares O/S (mn)	4,487
52-week range (\$S)	22.83-14.21
Market cap (\$ mn)	78,266
Exchange rate	1.28
Free float (%)	85.2%
3M ADV (mn)	5.91
3M ADV (\$ mn)	97.0
Volatility (90 Day)	17
Index	FTSTI
BBG ANR (Buy Hold Sell)	8 7 1

Key Metrics (FYE Dec)

\$S in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	9,150	9,408	9,966	10,512
Non interest income	5,464	5,588	5,878	6,184
Operating expenses	(5,882)	(6,133)	(6,476)	(6,839)
Adj. PPOP	8,732	8,862	9,367	9,857
Provision for loan losses	(665)	(881)	(929)	(858)
Adj. PBT	9,123	9,145	9,720	10,412
Adj. net income	7,354	7,377	7,847	8,414
Adj. EPS	1.63	1.64	1.74	1.87
BBG EPS	1.64	1.69	1.79	1.88
DPS	0.99	0.99	1.05	1.12
Loans	336,692	347,852	366,910	384,797
Deposits	428,286	458,704	484,696	512,434
Total Assets	675,688	718,777	757,557	798,833
Margins and Growth				
NIM	-	-	-	-
Ratios				
Loan/ Deposit ratio	78.6%	75.8%	75.7%	75.1%
NPL / Loans	0.9%	1.1%	1.2%	1.3%
Coverage	137.1%	118.3%	109.3%	103.1%
CET 1	-	-	-	-
Non-int. income/ Income	37.4%	37.3%	37.1%	37.0%
Cost/Income	40.2%	40.9%	40.9%	41.0%
LLP/Loans	(0.2%)	(0.3%)	(0.3%)	(0.2%)
ROA	1.1%	1.1%	1.1%	1.1%
ROE	12.5%	11.9%	12.1%	12.3%
Valuation				
Dividend yield	4.4%	4.4%	4.7%	5.0%
Adj. P/E	13.7	13.7	12.9	12.0
P/ BV	1.67	1.59	1.51	1.44

Summary Investment Thesis and Valuation

Investment Thesis

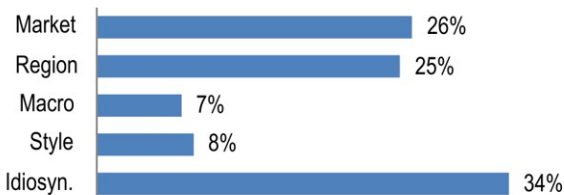
We are UW on OCBC.

- The bank has built a multi-brand financial conglomerate in Asia, with Wing Hang, BoS, GEH and Bank of Ningbo being the main acquisitions/stake increases in the last 20 years, with Lion Global being a product of the merger between OCBC/ GEH AMs. The group is generating 1.06% RoA with ~11x leverage in 2026E.
- The track-record suggests OCBC is more likely to use excess capital to buy rather than increase payout significantly. While management is committed to the current S\$2.5bn capital return plan, visibility for further increases in payout is low in 2026. Further, the bank's track record on inorganic growth could lead to near-term risks if growth is via inorganic means and transactions are not immediately accretive.
- Risk-reward has turned negative following the stock price strength in last 1M.

Valuation

Our Dec-26 PT of S\$20 is based on a fair P/B of 1.36x, assuming a normalized RoE of 12.3%, a risk-free rate of 4.1%, a cost of capital of 10.2% and a growth rate of 4.3%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.21	0.52
Region: Singapore	0.67	0.60
Macro:		
HSI Volatility Index	-0.08	-0.32
Generic 1st 'CO' Future	-0.30	-0.21
JPM Global Equity Sentiment	0.12	0.17
Quant Styles:		
Value	0.38	0.35
LowVol	0.43	0.29
DivYld	0.36	0.27

Investment Thesis, Valuation and Risks

OCBC Bank *(Underweight; Price Target: S\$20.00)*

Investment Thesis

We are UW on OCBC.

- The bank has built a multi-brand financial conglomerate in Asia, with Wing Hang, BoS, GEH and Bank of Ningbo being the main acquisitions/stake increases in the last 20 years, with Lion Global being a product of the merger between OCBC/GEH AMs. The group is generating 1.06% RoA with ~11x leverage in 2026E.
- The track-record suggests OCBC is more likely to use excess capital to buy rather than increase payout significantly. While management is committed to the current S\$2.5bn capital return plan, visibility for further increases in payout is low in 2026. Further, the bank's track record on inorganic growth could lead to near-term risks if growth is via inorganic means and transactions are not immediately accretive.
- We expect 99c DPS in 2026, in line with 2025. This assumes 50% regular payout, as well as pay out of the remaining S\$780mn in its capital return plan (buyback + dividend) as a special dividend. Beyond FY26, we expect the bank to sustain total payout close to 60%.
- The bank is benefitting from significant inflows of funds into Singapore, and in SGD. This should support NII, though reduction in credit spreads is a risk given macro uncertainties. We expect 1.82% NIM in FY26 vs. 1.91% in FY25.
- Risk-reward has turned negative following the stock price strength in last 1M. The stock is trading at 1.59x 2026E PB for ~12% ROE.

Valuation

Our Dec-26 PT of S\$20 is based on a fair P/B of 1.36x, assuming a normalized RoE of 12.3%, a risk-free rate of 4.1%, a cost of capital of 10.2% and a growth rate of 4.3%.

Risks to Rating and Price Target

Upside risks include a significant improvement in DPS, a meaningfully value-accretive deal, better than-expected growth at GE, and better-than-expected WM fees. Bank of Ningbo (20%-owned by OCBC) has competitive advantages in local SMEs and high-net-worth retail clients, which could drive faster growth at the group.

Downside risks include weaker than expected NIM, market share losses in wealth management, lack of increases in capital return, and M&A, if transactions are not immediately accretive.

OCBC Bank: Summary of Financials

Income Statement						Balance Sheet					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	22,444	20,076	19,688	20,791	21,938	Cash and cash equivalents	0	0	0	0	0
Interest expense	(12,689)	(10,926)	(10,280)	(10,826)	(11,425)	Deposits with banks	77,006	68,698	73,745	74,227	75,279
Net interest income	9,755	9,150	9,408	9,966	10,512	Net loans	315,096	336,692	347,852	366,910	384,797
Non interest income	4,718	5,464	5,588	5,878	6,184	PP&E	3,725	4,041	4,243	4,455	4,678
o/w Fee income	1,970	2,411	2,580	2,735	2,899	Net intangibles	4,504	4,360	4,221	4,086	3,955
o/w Trading income	1,831	1,984	1,885	1,976	2,071	LT investments	113,454	141,505	161,316	174,221	189,901
Net revenues	14,473	14,614	14,995	15,844	16,697	Other assets	111,265	120,392	127,400	133,658	140,224
Non interest expense	(5,742)	(5,882)	(6,133)	(6,476)	(6,839)	Total assets	625,050	675,688	718,777	757,557	798,833
o/w Employee costs	0	0	0	0	0	Interest earning assets	484,270	529,489	562,650	593,328	625,827
Pre-Prov. Profits	8,731	8,732	8,862	9,367	9,857	Deposits	390,687	428,286	458,704	484,696	512,434
Provisions	(690)	(665)	(881)	(929)	(858)	Borrowings	31,553	30,482	32,006	33,606	35,287
Adj. PBT	8,976	9,123	9,145	9,720	10,412	Other liabilities	144,580	155,500	163,720	171,646	179,962
Income taxes	(1,228)	(1,563)	(1,555)	(1,652)	(1,770)	Total liabilities	566,820	614,268	654,430	689,948	727,682
Minority interest	(161)	(138)	(145)	(152)	(160)	Shareholder equity	57,166	60,294	63,221	66,483	70,025
Adj. Net profit	7,519	7,354	7,377	7,847	8,414	Minority interests	1,064	1,126	1,126	1,126	1,126
PPOP per share	1.94	1.94	1.97	2.08	2.19	Total liabilities and Shareholder equity	625,050	675,688	718,777	757,557	798,833
Reported EPS	1.67	1.63	1.64	1.74	1.87	Interest bearing liabilities	433,805	474,048	505,990	534,193	564,248
Adj. EPS	1.67	1.63	1.64	1.74	1.87	Book Value Per Share	12.70	13.43	14.08	14.81	15.60
DPS	1.01	0.99	0.99	1.05	1.12	Tangible Book Value Per Share	12.47	13.18	13.83	14.56	15.35
Diluted shares outstanding	4,502	4,512	4,507	4,507	4,507	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	80.7%	78.6%	75.8%	75.7%	75.1%	Loan loss reserves/Loans	(1.3%)	(1.3%)	(1.3%)	(1.3%)	(1.3%)
Investment/Assets	17.9%	19.6%	21.7%	22.7%	23.4%	NPLs/Loans	0.9%	0.9%	1.1%	1.2%	1.3%
Loan/Assets	51.0%	50.8%	49.7%	49.1%	48.9%	Loan loss reserves/NPLs	141.5%	140.3%	126.8%	113.5%	106.0%
Customer deposits/Liabilities	68.9%	69.7%	70.1%	70.3%	70.4%	NPL y/y growth	0.8%	14.2%	21.1%	13.5%	12.6%
LT debt/Liabilities	5.3%	5.3%	4.9%	4.9%	4.9%	Tier 1 ratio	17.8%	17.6%	17.5%	17.3%	17.6%
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	CAR	-	-	-	-	-
Net interest margin	-	-	-	-	-	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Non interest income/Net revenue	32.6%	37.4%	37.3%	37.1%	37.0%	Return on equity (ROE)	13.7%	12.5%	11.9%	12.1%	12.3%
Non interest income/Avg. Assets	0.8%	0.8%	0.8%	0.8%	0.8%	Return on assets (ROA)	1.2%	1.1%	1.1%	1.1%	1.1%
Efficiency ratio	39.7%	40.2%	40.9%	40.9%	41.0%	Operating ROA	1.3%	1.2%	1.1%	1.1%	1.2%
Leverage ratio	7.0%	6.7%	6.7%	6.8%	6.9%	Pre-Tax ROA	1.5%	1.4%	1.3%	1.3%	1.3%
Revenue/Assets	2.4%	2.2%	2.2%	2.1%	2.1%	Pre-Provision ROA	1.4%	1.3%	1.3%	1.3%	1.3%
RORWA	3.2%	3.0%	2.9%	2.8%	2.8%	Tax rate	13.7%	17.1%	17.0%	17.0%	17.0%
RWA	236,288	248,845	265,947	287,872	303,557	Net loans y/y growth	7.6%	6.9%	3.3%	5.5%	4.9%
Avg. RWA	236,491	242,567	257,396	276,910	295,714	Assets y/y growth	7.5%	8.1%	6.4%	5.4%	5.4%
Avg. IEA	443,419	478,684	515,694	545,838	575,669	RWA y/y growth	(0.2%)	5.3%	6.9%	8.2%	5.4%
Gross Loans	319,166	341,120	352,479	371,761	389,948	Deposits y/y growth	7.4%	9.6%	7.1%	5.7%	5.7%
Avg. IBL	414,257	449,353	485,082	514,851	543,687	Net interest income y/y growth	1.1%	(6.2%)	2.8%	5.9%	5.5%
LLR	(4,070)	(4,428)	(4,627)	(4,851)	(5,152)	Revenues y/y growth	7.2%	1.0%	2.6%	5.7%	5.4%
NPLs	2,827	3,229	3,911	4,440	4,998	Adj. EPS y/y growth	7.7%	(2.4%)	0.4%	6.4%	7.2%
P/BV (x)	1.76	1.67	1.59	1.51	1.44	BVPS y/y growth	7.9%	5.7%	4.9%	5.2%	5.3%
Adj. P/E (x)	13.4	13.7	13.7	12.9	12.0	IE assets/Assets	73.5%	73.6%	74.0%	73.9%	74.0%
Dividend yield	4.5%	4.4%	4.4%	4.7%	5.0%	Margins (as % of Avg. Assets)	1.5%	1.3%	1.3%	1.3%	1.3%
Dividend payout	60.5%	60.7%	60.6%	60.3%	60.0%	LLP/Loans	(0.2%)	(0.2%)	(0.3%)	(0.3%)	(0.2%)
						Equity/Assets	9.1%	9.0%	8.9%	8.8%	8.8%
						Cost/Assets	1.0%	0.9%	0.9%	0.9%	0.9%
						Assets/Equity	11.0	11.1	11.3	11.4	11.4

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

Overweight

SGXL.SI, SGX SP

Price (02 Apr 26): S\$20.00

▲ Price Target (Dec-26): S\$22.00

Prior (Dec-26): S\$20.00

APAC Banks

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J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Jun)

	Prev	Cur	Δ
Adj. EPS - 27E (S\$)	0.74	0.77	3.7%

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	100	98	98	98	92
Growth	22	19	28	22	13
Momentum	16	10	7	52	28
Quality	4	1	1	4	1
Low Vol	79	70	34	1	16
ESGQ	1	17	11	18	9

Singapore Exchange

Going from strength to strength; stay OW

SGX offers strong earnings visibility and limited mark-to-market and balance sheet risks, with a net cash position and gross debt/EBITDA of 0.8x. The bourse is a beneficiary of efforts to revitalize the equity market and increase wealth allocation to Singapore assets. This continues, with equity ADT reaching over S\$2bn in 3QFY26, with days in the last month where trading reached over S\$3bn. While the stock has rallied, valuations are reasonable with dynamic PER only near the mean. We stay OW.

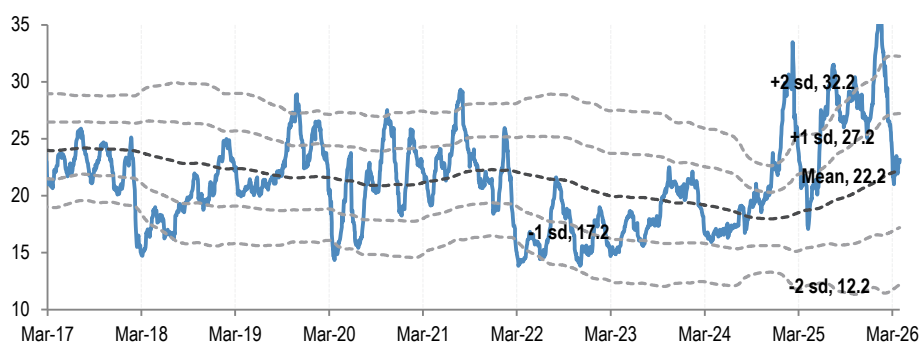
Valuation

Table 21: SGX: Valuation

ADT Assumptions S\$ mn	12 month fwd Net Profit S\$ mn	EPS S\$	EPS Sensitivity %	20.00 Curr P/E x	PE Multiples					Yield	Velocity with STI @ 4942
					22.2 Mean	27.2 +1 SD	29.7 +1.5 SD	32.2 +2 SD	34.8 +2.5 SD		
2,400	933	0.86	15%	23.2	19.2	23.5	25.7	27.9	30.0	2.9%	53%
2,350	917	0.85	13%	23.5	18.9	23.1	25.3	27.4	29.5	2.9%	52%
2,300	901	0.83	11%	24.0	18.6	22.7	24.8	26.9	29.0	2.8%	51%
2,250	886	0.82	9%	24.4	18.2	22.3	24.4	26.5	28.5	2.8%	49%
2,200	870	0.81	7%	24.8	17.9	21.9	24.0	26.0	28.0	2.7%	48%
2,150	854	0.79	6%	25.3	17.6	21.5	23.5	25.5	27.5	2.7%	47%
2,100	838	0.78	4%	25.8	17.2	21.1	23.1	25.0	27.0	2.6%	46%
2,050	822	0.76	2%	26.3	16.9	20.7	22.6	24.5	26.5	2.6%	45%
2,011	809	0.75	0%	26.7	16.7	20.4	22.3	24.2	26.1	2.6%	44%
1,950	790	0.73	-2%	27.3	16.3	19.9	21.8	23.6	25.4	2.5%	43%
1,900	774	0.72	-4%	27.9	15.9	19.5	21.3	23.1	24.9	2.4%	42%
1,850	757	0.70	-6%	28.5	15.6	19.1	20.9	22.6	24.4	2.4%	41%
1,800	741	0.69	-8%	29.1	15.2	18.7	20.4	22.1	23.8	2.3%	40%
1,750	724	0.67	-11%	29.8	14.9	18.3	20.0	21.6	23.3	2.3%	38%
1,700	708	0.66	-13%	30.5	14.6	17.9	19.5	21.1	22.8	2.2%	37%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 2nd Apr, 2026.

Figure 21: SGX: Dynamic PE



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Annual Earnings

Table 22: SGX: Annual earnings

\$S'000	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Fixed Income, Currencies and Commodities	171,414	211,754	252,745	338,166	322,497	350,059	406,401	452,730	498,696
Equities	759,680	701,089	698,867	709,183	668,982	771,965	858,711	958,458	1,000,715
Data, Connectivity and Indices	121,604	143,110	147,429	147,059	240,196	248,601	264,482	277,118	290,510
Operating revenue	1,052,698	1,055,953	1,099,041	1,194,408	1,231,675	1,370,625	1,529,594	1,688,306	1,789,921
Staff	(215,172)	(236,194)	(250,954)	(276,159)	(291,730)	(300,860)	(316,009)	(332,530)	(351,903)
Technology	(68,937)	(74,397)	(81,343)	(88,094)	(90,965)	(92,452)	(95,307)	(100,029)	(105,943)
Processing and royalties	(53,739)	(62,937)	(69,216)	(73,116)	(69,647)	(72,458)	(82,602)	(89,210)	(94,563)
Premises	(9,879)	(9,656)	(9,997)	(9,801)	(10,380)	(10,255)	(10,358)	(10,668)	(10,988)
Professional fees	(13,394)	(16,971)	(15,788)	(18,344)	(17,320)	(18,880)	(20,768)	(21,391)	(22,033)
Others	(35,921)	(30,561)	(37,637)	(41,029)	(49,398)	(47,961)	(47,695)	(49,836)	(52,077)
Operating expenses	(486,904)	(525,239)	(561,593)	(604,865)	(625,293)	(627,782)	(658,504)	(692,861)	(730,271)
Operating profits	565,794	530,714	537,448	589,543	606,382	742,843	871,091	995,445	1,059,650
Other gains/(losses)	7,455	10,048	17,674	99,836	117,101	59,746	19,812	25,772	29,730
Share of JV & associates	(2,301)	(4,286)	(10,534)	(15,557)	(14,466)	(16,698)	(12,690)	(11,421)	(10,279)
PBT	570,948	536,476	544,588	673,822	709,017	785,891	878,212	1,009,796	1,079,101
Tax	(98,963)	(90,699)	(92,687)	(103,257)	(111,439)	(137,764)	(153,948)	(177,014)	(189,163)
Non-controlling interests	(170)	(371)	(503)	330	329	(144)	-	-	-
Attributable net profits	471,815	445,406	451,398	570,895	597,907	647,983	724,264	832,782	889,939
Operating profit margin	54%	50%	49%	49%	49%	54%	57%	59%	59%
Basic EPS (cents)	44.1	41.6	42.2	53.4	55.9	60.6	67.6	77.6	82.9
Key Parameters									
ADT - Securities (\$\$ mn)	1,318	1,350	1,273	1,102	1,059	1,345	1,756	2,095	2,179
ADT - Derivatives	966,883	922,592	985,075	1,003,849	1,086,576	1,263,348	1,392,308	1,508,195	1,620,623

Source: Company reports and J.P. Morgan estimates.

Quarterly Earnings

Table 23: SGX: Quarterly earnings

Income Statement (S\$'000)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Fixed Income, Currencies and Commodities	88,162	84,747	85,128	92,022	100,498	96,617	101,805	107,481
Equities	192,471	194,598	188,158	196,738	208,650	199,831	223,831	226,399
Data, Connectivity and Indices	60,713	61,536	62,767	63,585	64,857	65,730	66,387	67,508
Operating revenue	341,346	340,881	336,053	352,345	374,006	362,177	392,023	401,388
Staff	(75,065)	(73,884)	(77,507)	(74,404)	(76,261)	(76,519)	(80,981)	(82,248)
Technology	(23,010)	(21,410)	(21,851)	(26,181)	(23,301)	(22,005)	(24,416)	(25,585)
Processing and royalties	(18,662)	(17,206)	(17,550)	(19,040)	(20,372)	(20,411)	(20,819)	(21,000)
Premises	(2,506)	(2,458)	(2,557)	(2,734)	(2,570)	(2,424)	(2,618)	(2,746)
Professional fees	(4,291)	(3,027)	(5,146)	(6,416)	(4,491)	(4,095)	(6,142)	(6,040)
Others	(29,742)	(27,499)	(34,051)	(50,547)	(29,506)	(28,349)	(34,003)	(40,258)
Operating expenses	(153,387)	(145,593)	(158,662)	(170,140)	(157,144)	(154,428)	(169,103)	(177,829)
Operating profits	187,959	195,288	177,391	182,205	216,861	207,750	222,920	223,560
Other gains/(losses)	22,252	22,570	20,313	20,911	4,391	4,529	12,227	13,271
Share of JV & associates	(2,773)	(2,213)	(5,754)	(5,958)	(3,575)	(3,192)	(3,064)	(2,859)
PBT	202,978	211,570	187,976	183,367	214,080	205,592	228,294	230,246
Tax	(36,536)	(37,889)	(30,076)	(33,263)	(38,534)	(38,420)	(38,810)	(38,184)
Non-controlling interests	(63)	(63)	(11)	(7)	-	-	-	-
Attributable net profits	166,379	173,618	157,888	150,098	175,546	167,172	189,484	192,062
Operating profit margin	55%	57%	53%	52%	58%	57%	57%	56%
Basic EPS (cents)	15.5	16.2	14.8	14.0	16.4	15.6	17.7	17.9
Key Parameters								
ADT - Securities (S\$ mn)	1,339	1,186	1,335	1,533	1,550	1,512	2,010	1,974
ADT - Derivatives	1,202,374	1,239,777	1,281,650	1,334,436	1,341,919	1,329,299	1,457,137	1,446,424

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	17.9%	10.7%	17.3%	52.8%
Rel	11.4%	9.6%	11.0%	27.7%

Company Data

Shares O/S (mn)	1,070
52-week range (\$\$)	20.25-11.50
Market cap (\$ mn)	16,674
Exchange rate	1.28
Free float (%)	100.0%
3M ADV (mn)	3.19
3M ADV (\$ mn)	45.4
Volatility (90 Day)	22
Index	FTSTI
BBG ANR (Buy Hold Sell)	10 6 1

Key Metrics (FYE Jun)

\$S in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
ADV - Equities	1,345	1,756	2,095	2,179
ADV - Derivatives	-	-	-	-
Total revenue	1,371	1,530	1,688	1,790
Operating expense	(628)	(659)	(693)	(730)
Adj. EBITDA	888	977	1,110	1,182
Adj. EBIT	803	891	1,021	1,089
Adj. net income	648	724	833	890
Adj. EPS	0.60	0.67	0.77	0.82
BBG EPS	0.59	0.65	0.72	0.77
DPS	0.38	0.45	0.51	0.59
Margins and Growth				
Total revenue growth	11.3%	11.6%	10.4%	6.0%
EBIT margin	58.6%	58.2%	60.5%	60.9%
Net margin	47.3%	47.4%	49.3%	49.7%
Adj. EPS growth	10.5%	11.5%	14.7%	6.6%
Ratios				
Adj. tax rate	17.5%	17.5%	17.5%	17.5%
Dividend payout	62.2%	66.2%	66.2%	71.8%
Net debt/Equity	NM	NM	NM	-
Net debt/EBITDA	NM	NM	NM	-
ROA	15.9%	15.7%	15.8%	15.8%
ROE	31.1%	31.1%	31.9%	30.7%
Valuation				
Dividend yield	1.9%	2.2%	2.6%	3.0%
Adj. P/E	33.2	29.8	25.9	24.3
P/BV	9.8	8.8	7.8	7.1

Summary Investment Thesis and Valuation

Investment Thesis

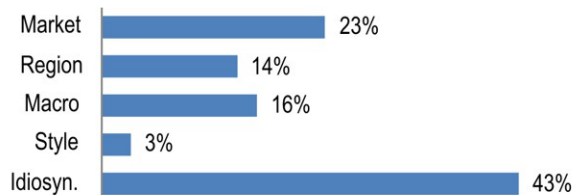
We are OW on SGX.

- The bourse is a direct beneficiary of efforts to revitalize the equity market and increase wealth allocation to Singapore assets. Higher IPOs, regulatory shifts and launch of crypto perpetuals are some examples of recent initiatives. These should lead to volume strength (\$1.75/2.1/2.2bn ADV in FY26-28E) and earnings (JPMe 11% 3Y CAGR).
- SGX has guided for a consistent increase in DPS over the next 3Y. Yet, payouts remain in the ~70% range. We see the possibility of the bourse increasing DPS beyond guidance as growth comes through.
- SGX offers relative earnings visibility and limited mark-to-market and balance sheet risks, with a net cash position and gross debt/EBITDA of 0.8x. We think this will allow the exchange to sustain dividends and to lever up for inorganic growth if required.

Valuation

Our Dec-26 PT of \$22 is based on a mean dynamic P/E of 29.7x, 1.5SD above the mean. Our dynamic P/E methodology encompasses three-year rolling-average P/E and SD bands.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.65	0.48
Region: Singapore	0.15	0.43
Macro:		
JPM Forecast Revision EM	0.24	-0.38
Emerging Economies CPI(YoY)	-0.44	-0.29
JP Morgan GBI-EM Global Div	0.08	0.19
Quant Styles:		
DivYld	-0.36	-0.24
Value	-0.40	-0.23
LowVol	-0.30	-0.19

Investment Thesis, Valuation and Risks

Singapore Exchange *(Overweight; Price Target: S\$22.00)*

Investment Thesis

We are OW on SGX.

- The bourse is a direct beneficiary of efforts to revitalize the equity market and increase wealth allocation to Singapore assets. Higher IPOs, regulatory shifts and launch of crypto perpetuals are some examples of recent initiatives. These should lead to volume strength (S\$1.75/2.1/2.2bn ADV in FY26-28E) and earnings (JPMe 11% 3Y CAGR).
- SGX has guided for a consistent increase in DPS over the next 3Y. Yet, payouts remain in the ~70% range. We see the possibility of the bourse increasing DPS beyond guidance as growth comes through.
- SGX offers relative earnings visibility and limited mark-to-market and balance sheet risks, with a net cash position and gross debt/EBITDA of 0.8x. We think this will allow the exchange to sustain dividends and to lever up for inorganic growth if required.
- The bourse has a relatively diversified business model, with FICC, equities and equity derivatives contributing almost equally to the bottom line. Within these, FICC has been a source of growth post acquisitions, with the bourse successfully growing beyond its US\$100bn ADV target on OTC FX.
- SGX is open to M&A to build capacity in newer segments, as it has done in the recent past. The strategy is to go with “fill the gap” deals, rather than anything transformational, which, in any case, we think would be tough to execute.

Valuation

Our Dec-26 PT of S\$22 is based on a mean dynamic P/E of 29.7x, 1.5SD above the mean. Our dynamic P/E methodology encompasses three-year rolling-average P/E and SD bands.

Risks to Rating and Price Target

Upside catalysts include: (1) a sharp increase in the dividend payout; (2) a further revival of the IPO pipeline; (3) better-than-expected derivatives volumes; (4) sustained strength in equity volumes; (5) accelerated growth in FICC; and (6) sustained inflows into Singapore.

Downside risks include: (1) declines in equity volumes; (2) weak volumes of F&O; (3) a deceleration in FX growth; and (4) weaker-than-expected commodities volumes. In addition, the high bar for inorganic growth suggests that any large deal would likely be met with initial scepticism, unless and until proven otherwise. Hence, M&A is a potential downside catalyst for the stock.

Singapore Exchange: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Total revenue	1,232	1,371	1,530	1,688	1,790	Cash flow from operating activities	616	842	753	867	969
o/w Trading revenues	1,232	1,371	1,530	1,688	1,790	o/w Depreciation & amortization	96	85	86	89	93
SG&A	(529)	(543)	(573)	(604)	(638)	o/w Changes in working capital	(15)	185	(109)	(108)	(69)
o/w Compensation expense	(292)	(301)	(316)	(333)	(352)	Cash flow from investing activities	(138)	(266)	(55)	(54)	(53)
o/w Non-compensation expense	-	-	-	-	-	o/w Capital expenditure	(277)	(645)	(90)	(93)	(97)
Adj. EBITDA	819	888	977	1,110	1,182	Cash flow from financing activities	(460)	(449)	(497)	(568)	(657)
D&A	(96)	(85)	(86)	(89)	(93)	o/w Dividends paid	(365)	(385)	(477)	(547)	(634)
Adj. EBIT	723	803	891	1,021	1,089	o/w Share issue/(buyback)	0	0	0	0	0
Net Interest	-	-	-	-	-	o/w Net debt issued/(repaid)	-	-	-	-	-
Other income / (expense)	-	-	-	-	-	Net change in cash	18	126	201	245	259
Adj. PBT	709	786	878	1,010	1,079	Adj. Free cash flow to firm	339	196	664	774	872
Tax	(111)	(138)	(154)	(177)	(189)	y/y Growth	167.4%	(42.1%)	237.8%	16.6%	12.7%
Adj. Net Income	598	648	724	833	890						
Reported EPS	0.55	0.60	0.67	0.77	0.82						
Adj. EPS	0.55	0.60	0.67	0.77	0.82						
DPS	0.35	0.38	0.45	0.51	0.59						
Payout ratio	63.3%	62.2%	66.2%	66.2%	71.8%						
Shares outstanding	1,096	1,075	1,078	1,080	1,083						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	998	1,130	1,970	2,215	2,474	EBITDA margin	66.5%	64.8%	63.9%	65.8%	66.0%
Accounts receivable	1,113	936	1,045	1,153	1,222	EBIT margin	58.7%	58.6%	58.2%	60.5%	60.9%
Other current assets	0	6	6	6	6	Net profit margin	48.5%	47.3%	47.4%	49.3%	49.7%
Current assets	2,112	2,072	3,020	3,373	3,702	ROE	32.6%	31.1%	31.1%	31.9%	30.7%
PP&E	68	76	80	84	88	ROA	15.4%	15.9%	15.7%	15.8%	15.8%
Other non current assets	1,036	1,255	1,262	1,269	1,276	ROCE	33.3%	31.8%	31.6%	32.3%	31.0%
Total assets	3,985	4,144	5,103	5,467	5,807	Net debt/equity	NM	NM	NM	NM	-
Short term borrowings	0	0	0	0	-	P/E (x)	36.7	33.2	29.8	25.9	24.3
Payables	1,078	1,029	1,080	1,136	1,198	P/BV (x)	11.2	9.8	8.8	7.8	7.1
Other short term liabilities	160	181	833	838	843	EV/EBITDA (x)	25.5	23.0	20.1	17.5	16.2
Current liabilities	1,238	1,211	1,913	1,974	2,041	Dividend yield	1.7%	1.9%	2.2%	2.6%	3.0%
Long-term debt	0	0	0	0	-	Tax rate	15.7%	17.5%	17.5%	17.5%	17.5%
Other long term liabilities	785	734	734	734	734	Revenue y/y growth	3.1%	11.3%	11.6%	10.4%	6.0%
Total liabilities	2,024	1,944	2,647	2,707	2,775	EBITDA y/y growth	4.0%	8.3%	10.0%	13.7%	6.5%
Shareholders' equity	1,961	2,200	2,456	2,760	3,033	Adj. Net Income y/y growth	4.7%	8.4%	11.8%	15.0%	6.9%
Minority interests	-	-	-	-	-	EPS y/y growth	5.5%	10.5%	11.5%	14.7%	6.6%
Total liabilities & equity	3,985	4,144	5,103	5,467	5,807	DPS y/y growth	6.2%	8.7%	18.7%	14.6%	15.7%
BVPS	1.79	2.05	2.28	2.55	2.80	Consolidated volumes (ADV)	-	-	-	-	-
y/y growth	16.0%	14.4%	11.4%	12.1%	9.6%	Volume growth (YoY)	(3.9%)	27.0%	30.5%	19.3%	4.0%
Net debt/(cash)	(998)	(1,130)	(1,970)	(2,215)	-						

Source: Company reports and J.P. Morgan estimates.

Note: \$S in millions (except per-share data). Fiscal year ends Jun. o/w - out of which

▲ Overweight

Previous: Neutral

BBCA.JK, BBKA.JJ

Price (02 Apr 26):Rp6,575

▲ **Price Target (Dec-26):Rp7,600**

Prior (Dec-26):Rp7,500

APAC Banks

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J.P. Morgan Securities Singapore Private Limited/

J.P. Morgan Securities (Asia Pacific) Limited/ J.P.

Morgan Broking (Hong Kong) Limited

Quarterly Forecasts (FYE Dec)

Adj. EPS (Rp)

	2025A	2026E	2027E
Q1	114.75	119.38	
Q2	120.63	122.53	
Q3	116.67	121.36	
Q4	114.73	119.25	
FY	466.80	482.52	510.42

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	69	74	74	69	87
Growth	22	22	11	32	48
Momentum	74	64	32	40	61
Quality	6	8	1	16	19
Low Vol	6	3	3	6	3
ESGQ	13	13	12	8	9

Bank Central Asia (BCA)

Best in class EM franchise at GFC valuations, upgrade to OW

BCA has one of the best liability franchises in Asia, and arguably one of the best globally. Yet, the stock has come off meaningfully over the last few years, as the risks around system liquidity, growth and profitability led negative revisions and de-rating from elevated levels. At its peak, the bank was trading at 4.7x book and has now come off to 2.6x book and 12.9x PE on Street estimates. In case there is a short-term reprieve, potentially due to coal exports, banking system liquidity can improve. In such a situation, BCA should outperform in the short term. Medium-term challenges for the industry may cap sizable upside.

Valuation

Table 24: BBKA: Valuation

	Net Income (Rp bn)	EPS (Rp)	P/E (x)	BVPS (Rp)	P/B (x)	Dividend (Rp)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)
2021	31,423	255	25.6	1,644	3.97	145	2.2%	2.73%	4.32%	16.2%
2022	40,736	330	19.7	1,793	3.64	205	3.1%	3.20%	5.16%	19.2%
2023	48,639	395	16.5	1,966	3.32	270	4.1%	3.57%	5.91%	21.0%
2024	54,836	445	14.7	2,131	3.06	300	4.6%	3.84%	6.32%	21.7%
2025	57,537	467	14.0	2,284	2.86	336	5.1%	3.79%	6.23%	21.1%
2026E	59,468	483	13.5	2,426	2.69	362	5.5%	3.63%	6.12%	20.5%
2027E	62,907	510	12.8	2,568	2.54	398	6.1%	3.60%	6.02%	20.4%
2028E	67,810	550	11.9	2,714	2.40	429	6.6%	3.64%	6.04%	20.8%

Price (Rp)	6,525	Number of shares (mn)	123,245	Market Cap (Rp bn)	804,174
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Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	5.45%	Risk-free rate	7.0%	Fair PE	13.4x
Non-IR/revenues	24.0%	Cost of capital	12.3%	12m Fwd EPS	Rp 490
Cost/income	32.5%	Long term growth	7.5%	PE based 12M fwd Fair Value	Rp 7,388
Operating RoA	4.84%	Fair PB	2.79x	Implied Value of Growth	
LLP/Loans	-0.50%	PV of Terminal Value	Rp 6,117	12m Rolling EPS	Rp 490
Net RoAA	3.65%	PV of Dividends	Rp 657	Capitalized Value (Rp)	Rp 3,997
Equity/Assets	17.6%	PV of today's Fair Value	Rp 6,775	Value of Growth (Rp)	Rp 2,528
Normalised RoE	20.7%	PB based Dec-26E Fair Value	Rp 7,605	Attributable to Growth	38.7%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 2nd Apr, 2026.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Annual Earnings

Table 25: BBKA: Annual P&L

Rp (in bn)	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Interest Income	53,799	56,812	64,352	65,875	65,980	72,459	87,722	95,051	99,119	104,325	109,742	117,509
Interest Expense	(11,941)	(11,476)	(13,528)	(11,329)	(9,509)	(8,315)	(12,353)	(12,532)	(13,365)	(14,384)	(14,881)	(16,072)
Net Interest Income	41,858	45,336	50,824	54,547	56,471	64,143	75,369	82,519	85,755	89,941	94,860	101,437
Non-Interest Income	14,822	17,419	20,115	19,649	20,719	22,262	22,542	25,005	25,344	27,591	30,045	32,730
Net Fee income	10,386	11,996	13,608	13,161	14,680	16,584	16,653	17,980	19,660	22,019	24,221	26,643
Trading income	1,772	2,762	3,110	3,917	2,437	1,134	1,648	2,600	3,800	3,594	3,747	3,906
Other operating income	2,663	2,660	3,396	2,571	3,602	4,545	4,241	4,425	1,884	1,978	2,077	2,181
Total Revenues	56,679	62,755	70,939	74,196	77,189	86,406	97,910	107,523	111,099	117,532	124,905	134,167
Costs	(25,190)	(27,652)	(30,742)	(29,337)	(29,434)	(31,851)	(36,675)	(37,271)	(35,827)	(37,974)	(40,823)	(43,477)
PPOP	31,489	35,103	40,196	44,859	47,756	54,555	61,236	70,252	75,272	79,557	84,082	90,689
Loan loss provisions (Gross)	(1,830)	(2,318)	(4,097)	(9,131)	(9,262)	(4,698)	(2,180)	(3,622)	(5,818)	(7,302)	(7,805)	(8,484)
Loan loss provisions (Net)	(1,527)	(2,039)	(3,413)	(8,822)	(8,853)	(4,259)	(973)	(2,768)	(4,749)	(5,906)	(6,174)	(6,711)
Other provisions	(803)	(359)	(495)	(2,468)	(62)	171	(83)	733	738	-	-	-
Pre-Tax	29,159	32,706	36,289	33,569	38,841	50,467	60,180	68,218	71,261	73,652	77,908	83,978
Tax	(5,838)	(6,854)	(7,719)	(6,421)	(7,401)	(9,711)	(11,522)	(13,367)	(13,698)	(14,157)	(14,976)	(16,142)
Net Profits	23,310	25,855	28,565	27,131	31,423	40,736	48,639	54,836	57,537	59,468	62,907	67,810

Source: Company reports and J.P. Morgan estimates.

Table 26: BBKA: Annual DuPont

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
NIM (% of avg. IEA)	6.19%	6.13%	6.24%	5.70%	5.10%	5.34%	5.54%	5.83%	5.73%	5.55%	5.49%	5.51%
IEA/Assets	94.7%	93.9%	93.4%	95.9%	96.1%	94.4%	99.9%	99.0%	98.6%	98.8%	98.8%	98.8%
Margins (% of avg. Assets)	5.87%	5.76%	5.83%	5.47%	4.90%	5.04%	5.54%	5.78%	5.65%	5.48%	5.42%	5.44%
Non-IR contribution	26.1%	27.8%	28.4%	26.5%	26.8%	25.8%	23.0%	23.3%	22.8%	23.5%	24.1%	24.4%
Non-IR/Avg. Assets	2.08%	2.21%	2.31%	1.97%	1.80%	1.75%	1.66%	1.75%	1.67%	1.68%	1.72%	1.76%
Revenue/Assets	7.94%	7.97%	8.14%	7.44%	6.70%	6.80%	7.19%	7.53%	7.32%	7.17%	7.14%	7.20%
Cost/Income	44.4%	44.1%	43.3%	39.5%	38.1%	36.9%	37.5%	34.7%	32.2%	32.3%	32.7%	32.4%
C/Assets	3.53%	3.51%	3.53%	2.94%	2.56%	2.50%	2.69%	2.61%	2.36%	2.32%	2.33%	2.33%
Pre-Provision ROA	4.41%	4.46%	4.61%	4.50%	4.15%	4.29%	4.50%	4.92%	4.96%	4.85%	4.81%	4.87%
LLP/Loans (Gross)	-0.41%	-0.46%	-0.72%	-1.55%	-1.51%	-0.70%	-0.29%	-0.42%	-0.61%	-0.71%	-0.70%	-0.70%
LLP/Loans (Net)	-0.34%	-0.40%	-0.60%	-1.49%	-1.44%	-0.63%	-0.13%	-0.32%	-0.50%	-0.57%	-0.55%	-0.55%
Loan/Assets	62.4%	64.4%	65.1%	59.2%	53.2%	53.0%	55.9%	60.6%	63.1%	63.0%	64.0%	65.2%
Other Income/Assets	-0.11%	-0.05%	-0.06%	-0.25%	-0.01%	0.01%	-0.01%	0.05%	0.05%	0.00%	0.00%	0.00%
Operating ROA	4.09%	4.15%	4.16%	3.37%	3.37%	3.97%	4.42%	4.77%	4.69%	4.49%	4.46%	4.51%
Pre-Tax ROA	4.09%	4.15%	4.16%	3.37%	3.37%	3.97%	4.42%	4.77%	4.69%	4.49%	4.46%	4.51%
Tax Rate	-20.0%	-21.0%	-21.3%	-19.1%	-19.1%	-19.2%	-19.1%	-19.6%	-19.2%	-19.2%	-19.2%	-19.2%
ROA	3.27%	3.28%	3.28%	2.72%	2.73%	3.20%	3.57%	3.84%	3.79%	3.63%	3.60%	3.64%
RoRWA	4.28%	4.23%	4.16%	3.83%	4.32%	5.16%	5.91%	6.32%	6.23%	6.12%	6.02%	6.04%
Equity/Assets	17.1%	18.0%	18.7%	18.0%	16.8%	16.7%	17.0%	17.7%	17.9%	17.7%	17.6%	17.5%
ROE	19.1%	18.3%	17.5%	15.1%	16.2%	19.2%	21.0%	21.7%	21.1%	20.5%	20.4%	20.8%

Source: Company reports and J.P. Morgan estimates.

Quarterly Earnings

Table 27: BBKA: Quarterly P&L

Rp (in bn)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	23,042	23,085	24,309	24,615	24,395	24,978	24,758	24,990	25,351	25,841	26,222	26,911
Interest Expense	(3,200)	(2,983)	(3,173)	(3,177)	(3,248)	(3,481)	(3,310)	(3,325)	(3,422)	(3,562)	(3,650)	(3,749)
Net Interest Income	19,842	20,103	21,136	21,438	21,146	21,497	21,447	21,664	21,928	22,279	22,572	23,162
Non-Interest Income	6,343	6,138	6,489	6,035	6,826	6,968	7,393	4,157	6,736	6,761	6,970	7,124
Net Fee income	4,326	4,424	4,525	4,705	4,659	4,763	4,966	5,272	5,351	5,431	5,540	5,698
Trading income	669	735	990	206	884	875	1,151	890	885	830	930	949
Other operating income	1,348	979	974	1,124	1,283	1,330	1,276	(2,005)	500	500	500	478
Total Revenues	26,185	26,240	27,625	27,473	27,972	28,465	28,841	25,821	28,664	29,040	29,542	30,286
Costs	(9,345)	(8,452)	(9,040)	(10,434)	(9,486)	(9,147)	(9,356)	(7,839)	(8,984)	(8,858)	(9,473)	(10,660)
PPOP	16,840	17,788	18,585	17,039	18,487	19,318	19,485	17,982	19,680	20,182	20,069	19,626
Loan loss provisions (Gross)	(946)	(800)	(1,609)	(267)	(1,334)	(1,346)	(1,632)	(1,505)	(1,746)	(1,801)	(1,829)	(1,925)
Loan loss provisions (Net)	(846)	(552)	(1,378)	8	(1,150)	(1,155)	(1,429)	(1,015)	(1,397)	(1,417)	(1,482)	(1,610)
Other provisions	(79)	71	416	325	119	174	(82)	527	0	0	0	0
Other income	0	0	0	0	0	0	0	0	0	0	0	0
Pre-Tax	15,915	17,308	17,624	17,372	17,456	18,338	17,973	17,494	18,283	18,766	18,587	18,016
Tax	(3,037)	(3,309)	(3,413)	(3,608)	(3,309)	(3,462)	(3,583)	(3,344)	(3,565)	(3,659)	(3,624)	(3,308)
MI & EO	1	(2)	(13)	(1)	(1)	(6)	(9)	(10)	(5)	(5)	(5)	(11)
Net Profits	12,879	13,997	14,198	13,762	14,146	14,870	14,381	14,140	14,713	15,102	14,958	14,697

Source: Company reports and J.P. Morgan estimates.

Table 28: BBKA: Quarterly DuPont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	5.62%	5.76%	5.96%	5.98%	5.77%	5.79%	5.72%	5.64%	5.61%	5.58%	5.57%	5.58%
IEA/Assets	99.1%	97.2%	99.2%	99.5%	98.3%	97.8%	98.6%	98.4%	98.6%	99.9%	99.5%	99.6%
Margins (% of avg. Assets)	5.57%	5.60%	5.91%	5.95%	5.67%	5.66%	5.64%	5.55%	5.54%	5.58%	5.54%	5.55%
Non-IR contribution	24.2%	23.4%	23.5%	22.0%	24.4%	24.5%	25.6%	16.1%	23.5%	23.3%	23.6%	23.5%
Non-IR/Avg. Assets	1.78%	1.71%	1.82%	1.67%	1.83%	1.84%	1.94%	1.06%	1.70%	1.69%	1.71%	1.71%
Revenue/Assets	7.34%	7.32%	7.73%	7.62%	7.50%	7.50%	7.58%	6.61%	7.24%	7.27%	7.25%	7.26%
Cost/Income	35.7%	32.2%	32.7%	38.0%	33.9%	32.1%	32.4%	30.4%	31.3%	30.5%	32.1%	35.2%
C/Assets	2.62%	2.36%	2.53%	2.90%	2.54%	2.41%	2.46%	2.01%	2.27%	2.22%	2.33%	2.56%
Pre-Provision ROA	4.72%	4.96%	5.20%	4.73%	4.96%	5.09%	5.12%	4.60%	4.97%	5.05%	4.93%	4.71%
LLP/Loans (Gross)	-0.46%	-0.38%	-0.75%	-0.12%	-0.57%	-0.57%	-0.69%	-0.62%	-0.70%	-0.72%	-0.72%	-0.73%
LLP/Loans (Net)	-0.41%	-0.26%	-0.64%	0.00%	-0.49%	-0.49%	-0.60%	-0.42%	-0.56%	-0.56%	-0.58%	-0.61%
Loan/Assets	57.7%	58.7%	60.4%	62.4%	62.5%	62.6%	62.6%	62.0%	62.8%	62.9%	62.4%	62.8%
Other Income/Assets	-0.02%	0.02%	0.12%	0.09%	0.03%	0.05%	-0.02%	0.13%	0.00%	0.00%	0.00%	0.00%
Operating ROA	4.49%	4.81%	4.81%	4.73%	4.65%	4.78%	4.75%	4.34%	4.62%	4.70%	4.56%	4.32%
Pre-Tax ROA	4.46%	4.83%	4.93%	4.82%	4.68%	4.83%	4.73%	4.48%	4.62%	4.70%	4.56%	4.32%
Tax Rate	-19.1%	-19.1%	-19.4%	-20.8%	-19.0%	-18.9%	-19.9%	-19.1%	-19.5%	-19.5%	-19.5%	-18.4%
ROA	3.61%	3.90%	3.97%	3.82%	3.79%	3.92%	3.78%	3.62%	3.72%	3.78%	3.67%	3.52%
RoRWA	6.09%	6.44%	6.47%	6.15%	6.21%	6.52%	6.31%	6.12%	6.24%	6.30%	6.12%	5.90%
Equity/Assets	16.5%	16.3%	17.4%	18.0%	17.1%	16.7%	17.7%	17.9%	17.1%	16.8%	17.2%	17.5%
ROE	21.9%	23.9%	22.9%	21.2%	22.2%	23.4%	21.4%	20.3%	21.7%	22.4%	21.3%	20.1%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	-18.6%	-6.4%	-18.1%	-22.6%
Rel	0.1%	5.9%	1.6%	-39.8%

Company Data

Shares O/S (bn)	123
52-week range (Rp)	9,800-6,350
Market cap (\$ bn)	47.72
Exchange rate	16,983.70
Free float (%)	42.5%
3M ADV (mn)	205.00
3M ADV (\$ mn)	87.7
Volatility (90 Day)	27
Index	JCI
BBG ANR (Buy Hold Sell)	36 1 0

Key Metrics (FYE Dec)

Rp in billions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	85,755	89,941	94,860	101,437
Non interest income	25,344	27,591	30,045	32,730
Operating expenses	(35,827)	(37,974)	(40,823)	(43,477)
Adj. PPOP	75,272	79,557	84,082	90,689
Provision for loan losses	(4,749)	(5,906)	(6,174)	(6,711)
Adj. PBT	71,261	73,652	77,908	83,978
Adj. net income	57,537	59,468	62,907	67,810
Adj. EPS	466.80	482.52	510.42	550.21
BBG EPS	468.61	498.56	541.11	591.33
DPS	336.04	361.89	398.13	429.16
Loans	962,133	1,042,175	1,132,464	1,232,907
Deposits	1,249,044	1,332,676	1,422,021	1,517,477
Total Assets	1,586,829	1,692,706	1,804,713	1,921,819
Margins and Growth				
NIM	5.7%	5.6%	5.5%	5.5%
Ratios				
Loan/ Deposit ratio	77.0%	78.2%	79.6%	81.2%
NPL / Loans	1.7%	1.8%	1.8%	1.9%
Coverage	181.2%	162.5%	151.6%	140.4%
CET 1	-	-	-	-
Non-int. income/ Income	22.8%	23.5%	24.1%	24.4%
Cost/Income	32.2%	32.3%	32.7%	32.4%
LLP/Loans	(0.5%)	(0.6%)	(0.6%)	(0.6%)
ROA	3.8%	3.6%	3.6%	3.6%
ROE	21.1%	20.5%	20.4%	20.8%
Valuation				
Dividend yield	5.1%	5.5%	6.1%	6.5%
Adj. P/E	14.1	13.6	12.9	12.0
P/ BV	2.9	2.7	2.6	2.4

Summary Investment Thesis and Valuation

Investment Thesis

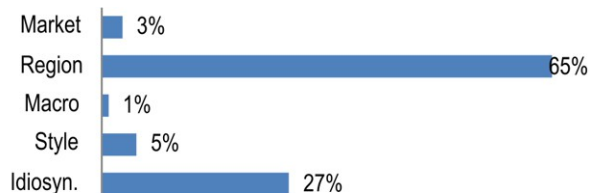
We are OW on BCA.

- The bank has one of the best, if not the best, deposit franchise across EM, in our view. This is the key driver of premium valuations for the bank.
- Cost growth for the bank has lagged revenue growth in the last five years. This has led to sharp improvement in CIR, which we expect the bank to hold for 2026/27.
- We expect gross credit costs to increase to ~70bps over 2026-28 vs. 42bps/61bps in 2024/25.

Valuation

Our Dec-26 PT of Rp7,600 is based on a two-stage DDM. We use a fair P/BV multiple of 2.76x with a normalized ROE of 20.6%, a risk-free rate of 7.0%, a cost of equity of 12.3% and long-term growth of 7.5%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.03	0.18
Region: Indonesia	0.67	0.82
Macro:		
JP Morgan GBI-EM Global Div	-0.28	0.16
JPM Forecast Revision EM	0.51	0.15
JPM China A-shares Sentiment	0.13	0.13
Quant Styles:		
Growth	-0.29	-0.24
DivYld	0.34	0.23
Size	0.05	0.20

Investment Thesis, Valuation and Risks

Bank Central Asia (BCA) *(Overweight; Price Target: Rp7,600)*

Investment Thesis

We are OW on BCA.

- The bank has one of the best, if not the best, deposit franchise across EM, in our view. This is the key driver of premium valuations for the bank.
- Cost growth for the bank has lagged revenue growth in the last five years. This has led to sharp improvement in CIR, which we expect the bank to hold for 2026/27.
- We expect gross credit costs to increase to ~70bps over 2026-28 vs. 42bps/61bps in 2024/25.
- The institution has made money primarily on the liability side of the balance sheet over the past 20 years. If rates were to come off, so would the profitability of the liability franchise, limiting RoE. We have factored this risk, hence our estimates are below Street. Yet, the de-rating appears to have priced in this shift.

Valuation

Our Dec-26 PT of Rp7,600 is based on a two-stage DDM. We use a fair P/BV multiple of 2.76x with a normalized ROE of 20.6%, a risk-free rate of 7.0%, a cost of equity of 12.3% and long-term growth of 7.5%.

Risks to Rating and Price Target

Upside risks to our rating and price target include: faster-than-anticipated loan growth, lower provisions, and better-than-expected cost control.

Downside risks include: lower-than-expected NIM, primarily on rate cuts; higher-than-expected credit costs amid slower improvements in LAR; and continued tech spend, leading to a higher CIR.

Bank Central Asia (BCA): Summary of Financials

Income Statement						Balance Sheet					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	95,051	99,119	104,325	109,742	117,509	Cash and cash equivalents	0	0	0	0	0
Interest expense	(12,532)	(13,365)	(14,384)	(14,881)	(16,072)	Deposits with banks	85,538	88,222	96,563	95,328	88,072
Net interest income	82,519	85,755	89,941	94,860	101,437	Net loans	888,328	962,133	1,042,175	1,132,464	1,232,907
Non interest income	25,005	25,344	27,591	30,045	32,730	PP&E	28,251	28,474	29,613	30,797	32,029
o/w Fee income	17,980	19,660	22,019	24,221	26,643	Net intangibles	0	0	0	0	0
o/w Trading income	2,600	3,800	3,594	3,747	3,906	LT investments	412,613	471,340	485,480	504,899	525,095
Net revenues	107,523	111,099	117,532	124,905	134,167	Other assets	34,571	36,660	38,876	41,225	43,716
Non interest expense	(37,271)	(35,827)	(37,974)	(40,823)	(43,477)	Total assets	1,449,301	1,586,829	1,692,706	1,804,713	1,921,819
o/w Employee costs	0	0	0	0	0	Interest earning assets	1,414,309	1,496,619	1,620,184	1,727,583	1,840,480
Pre-Prov. Profits	70,252	75,272	79,557	84,082	90,689	Deposits	1,133,612	1,249,044	1,332,676	1,422,021	1,517,477
Provisions	(2,768)	(4,749)	(5,906)	(6,174)	(6,711)	Borrowings	12,915	11,333	12,481	13,729	14,677
Adj. PBT	68,218	71,261	73,652	77,908	83,978	Other liabilities	39,939	44,764	48,345	52,213	54,823
Income taxes	(13,367)	(13,698)	(14,157)	(14,976)	(16,142)	Total liabilities	1,186,466	1,305,141	1,393,502	1,487,963	1,586,977
Minority interest	(15)	(26)	(26)	(26)	(26)	Shareholder equity	262,641	281,466	298,956	316,477	334,544
Adj. Net profit	54,836	57,537	59,468	62,907	67,810	Minority interests	194	221	247	273	298
PPOP per share	569.88	610.68	645.52	682.24	735.85	Total liabilities and Shareholder equity	1,449,301	1,586,829	1,692,706	1,804,713	1,921,819
Reported EPS	444.83	466.80	482.52	510.42	550.21	Interest bearing liabilities	1,134,380	1,203,452	1,302,767	1,390,454	1,483,952
Adj. EPS	444.83	466.80	482.52	510.42	550.21	Book Value Per Share	2,130.53	2,283.80	2,425.71	2,567.87	2,714.46
DPS	300.00	336.04	361.89	398.13	429.16	Tangible Book Value Per Share	2,130.53	2,283.80	2,425.71	2,567.87	2,714.46
Diluted shares outstanding	123	123	123	123	123						
Balance Sheet Gearing						Asset Quality/Capital					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	78.4%	77.0%	78.2%	79.6%	81.2%	Loan loss reserves/Loans	(3.6%)	(3.1%)	(2.9%)	(2.8%)	(2.6%)
Investment/Assets	30.0%	29.1%	29.2%	28.3%	27.6%	NPLs/Loans	1.8%	1.7%	1.8%	1.8%	1.9%
Loan/Assets	60.6%	63.1%	63.0%	64.0%	65.2%	Loan loss reserves/NPLs	214.6%	192.5%	171.2%	156.8%	145.7%
Customer deposits/Liabilities	95.5%	95.7%	95.6%	95.6%	95.6%	NPL y/y growth	8.9%	3.5%	14.6%	9.9%	10.9%
LT debt/Liabilities	1.4%	1.0%	0.9%	0.9%	0.9%	Tier 1 ratio	28.1%	29.2%	28.9%	28.4%	28.0%
Ratio Analysis (%)							FY24A	FY25A	FY26E	FY27E	FY28E
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	5.8%	5.7%	5.6%	5.5%	5.5%	Return on equity (ROE)	21.7%	21.1%	20.5%	20.4%	20.8%
Non interest income/Net revenue	23.3%	22.8%	23.5%	24.1%	24.4%	Return on assets (ROA)	3.8%	3.8%	3.6%	3.6%	3.6%
Non interest income/Avg. Assets	1.8%	1.7%	1.7%	1.7%	1.8%	Operating ROA	4.7%	4.6%	4.5%	4.5%	4.5%
Efficiency ratio	34.7%	32.2%	32.3%	32.7%	32.4%	Pre-Tax ROA	4.8%	4.7%	4.5%	4.5%	4.5%
Leverage ratio	17.9%	18.0%	17.7%	17.6%	17.5%	Pre-Provision ROA	4.9%	5.0%	4.9%	4.8%	4.9%
Revenue/Assets	7.5%	7.3%	7.2%	7.1%	7.2%	Tax rate	19.6%	19.2%	19.2%	19.2%	19.2%
RORWA	6.3%	6.2%	6.1%	6.0%	6.0%	Net loans y/y growth	14.4%	8.3%	8.3%	8.7%	8.9%
RWA	910,184	936,368	1,007,309	1,082,986	1,162,870	Assets y/y growth	2.9%	9.5%	6.7%	6.6%	6.5%
Avg. RWA	867,897	923,276	971,839	1,045,148	1,122,928	RWA y/y growth	10.2%	2.9%	7.6%	7.5%	7.4%
Avg. IEA	1,414,309	1,496,619	1,620,184	1,727,583	1,840,480	Deposits y/y growth	2.9%	10.2%	6.7%	6.7%	6.7%
Gross Loans	921,827	992,891	1,073,791	1,164,896	1,266,225	Net interest income y/y growth	9.5%	3.9%	4.9%	5.5%	6.9%
Avg. IBL	1,134,380	1,203,452	1,302,767	1,390,454	1,483,952	Revenues y/y growth	9.8%	3.3%	5.8%	6.3%	7.4%
LLR	(33,499)	(30,757)	(31,616)	(32,432)	(33,318)	Adj. EPS y/y growth	12.7%	4.9%	3.4%	5.8%	7.8%
NPLs	16,409	16,978	19,461	21,393	23,723	BVPS y/y growth	8.4%	7.2%	6.2%	5.9%	5.7%
P/BV (x)	3.1	2.9	2.7	2.6	2.4	IE assets/Assets	99.0%	98.6%	98.8%	98.8%	98.8%
Adj. P/E (x)	14.8	14.1	13.6	12.9	12.0	Margins (as % of Avg. Assets)	5.9%	5.8%	5.7%	5.6%	5.6%
Dividend yield	4.6%	5.1%	5.5%	6.1%	6.5%	LLP/Loans	(0.3%)	(0.5%)	(0.6%)	(0.6%)	(0.6%)
Dividend payout	67.4%	72.0%	75.0%	78.0%	78.0%	Equity/Assets	17.7%	17.9%	17.7%	17.6%	17.5%
						Cost/Assets	2.6%	2.4%	2.3%	2.3%	2.3%
						Assets/Equity	5.7	5.6	5.7	5.7	5.7

Source: Company reports and J.P. Morgan estimates.

Note: Rp in billions (except per-share data). Fiscal year ends Dec

▼ Neutral

Previous: Overweight

BBL.BK, BBL.TB

Price (02 Apr 26): Bt167.50

▼ **Price Target (Dec-26): Bt180.00**

Prior (Dec-26): Bt200.00

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.

Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Bt)	24.17	21.48	-11.1%
Adj. EPS - 27E (Bt)	25.55	23.48	-8.1%

Quarterly Forecasts (FYE Dec)

Adj. EPS (Bt)	2025A	2026E	2027E
Q1	6.61	5.68	
Q2	6.20	5.37	
Q3	7.22	5.16	
Q4	4.07	5.26	
FY	24.10	21.48	23.48

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	7	1	3	11	1
Growth	72	83	64	61	70
Momentum	48	51	20	7	72
Quality	53	55	38	66	72
Low Vol	7	9	7	14	27

Bangkok Bank

Good balance sheet, but P&L risks amidst weak economy

Bangkok Bank has built a balance sheet for endurance. Hence, while the current environment should test the franchise, it should not lead to any lasting impact. Yet, in the very near term, there is a possibility of lower NIM as well as further build-up of provisions, due to the large corporate exposure of the bank in Thailand and overseas (including Indonesia, via Permata). Hence, we have revised our forecasts lower. Our estimates are 3% below Street for this year, and 2% above for next year. This suggests limited catalysts in the near term, hence we downgrade the stock to Neutral. Over the next 12-18M, the key upside should come from loan growth and continued improvement in payout, after a sharp increase in dividends this year.

Valuation

Table 29: BBL: Valuation

	Core Net (Bt mn)	Core EPS (Bt)	P/E (x)	BVPS (Bt)	P/B (x)	Dividend (Bt)	Div Yld (%)	Core RoA (%)	Core RoRWA (%)	Core RoE (%)
2022	29,305	15.4	11.5	251	0.70	4.5	2.5%	0.67%	1.00%	6.2%
2023	41,635	21.8	8.1	264	0.67	7.0	4.0%	0.93%	1.38%	8.5%
2024	45,212	23.7	7.5	277	0.64	8.5	4.8%	1.00%	1.49%	8.8%
2025	46,007	24.1	7.3	301	0.59	10.0	5.7%	1.00%	1.52%	8.3%
2026E	41,003	21.5	8.2	321	0.55	10.0	5.7%	0.88%	1.34%	6.9%
2027E	44,828	23.5	7.5	344	0.51	11.0	6.2%	0.93%	1.42%	7.1%
2028E	51,488	27.0	6.5	368	0.48	13.0	7.4%	1.04%	1.57%	7.6%

Price (Bt)	176.5	Number of shares (mn)	1,909	Market Cap (THB mn)	336,911
Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	2.35%	Risk-free rate	4.0%	Fair PE	6.7x
Non-IR/revenues	29.2%	Cost of capital	11.8%	12m Rolling EPS	Bt 22.0
Cost/income	48.2%	Long term growth	3.5%	PE based current Fair Value	Bt 147
Operating RoA	1.72%	Fair PB	0.53x	Implied Value of Growth	
LLP/Loans	-0.82%	PV of Terminal Value	Bt 154.0	12m Rolling EPS	Bt 22.0
Net RoAA	1.00%	PV of Dividends	Bt 9.2	Capitalized Value	Bt 186.0
Equity/Assets	12.7%	PV of today's Fair Value	Bt 163	Value of Growth	-Bt 9.5
Normalised RoE	7.9%	PB based Dec-26 Fair Value	Bt 182	Attributable to Growth	-5.4%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 2nd Apr, 2026.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Annual Earnings

Table 30: BBL: Annual P&L

Bt in mn	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Interest Income	105,476	110,781	112,565	112,524	114,312	139,088	194,365	208,029	191,082	169,714	173,230	182,049
Interest Expense	(38,851)	(39,405)	(41,494)	(35,477)	(32,156)	(36,865)	(63,505)	(74,129)	(67,452)	(59,824)	(61,613)	(64,320)
Net Interest Income	66,625	71,376	71,071	77,047	82,156	102,223	130,860	133,900	123,630	109,890	111,617	117,729
Non-Interest Income	45,843	50,025	62,675	41,682	52,385	36,672	36,627	41,911	54,869	46,386	45,874	47,434
Net Fee income	27,526	27,590	28,505	24,711	29,209	27,508	27,234	27,724	27,192	28,008	29,408	30,878
Trading income	12,686	16,309	27,612	13,570	19,093	3,701	5,062	9,856	23,384	14,000	12,000	12,000
Other operating income	5,631	6,126	6,558	3,401	4,082	5,462	4,331	4,331	4,293	4,378	4,466	4,555
Total Revenues	112,468	121,401	133,746	118,729	134,541	138,895	167,487	175,811	178,499	156,276	157,491	165,163
Costs	(49,107)	(51,524)	(54,054)	(64,849)	(66,654)	(68,520)	(77,813)	(78,988)	(85,240)	(77,781)	(76,869)	(76,215)
PPOP	63,360	69,876	79,692	53,879	67,887	70,374	89,675	96,824	93,259	78,495	80,622	88,948
Loan loss provisions	(22,370)	(21,965)	(32,351)	(31,196)	(34,134)	(32,647)	(33,667)	(34,838)	(36,148)	(26,380)	(24,285)	(24,889)
Pre-Tax	41,150	46,853	46,431	21,559	33,141	37,229	52,046	56,568	55,988	51,115	55,837	64,059
Tax	(7,832)	(8,554)	(10,219)	(4,014)	(6,189)	(7,484)	(9,993)	(10,946)	(9,622)	(9,712)	(10,609)	(12,171)
Profit before minorities	33,318	38,299	36,212	17,545	26,952	29,745	42,052	45,622	46,366	41,403	45,228	51,888
MI & EO	(309)	(387)	(397)	(364)	(445)	(440)	(417)	(411)	(359)	(400)	(400)	(400)
Attributable profit	33,009	37,912	35,816	17,181	26,507	29,305	41,635	45,212	46,007	41,003	44,828	51,488
Reported profit	33,009	35,330	35,816	17,181	26,507	29,305	41,635	45,212	46,007	41,003	44,828	51,488

Source: Company reports and J.P. Morgan estimates.

Table 31: BBL: Annual DuPont

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
NIM (% of avg. IEA)	2.33%	2.40%	2.35%	2.24%	2.10%	2.42%	3.02%	3.06%	2.75%	2.39%	2.36%	2.40%
IEA/Assets	95.1%	96.0%	95.3%	97.5%	95.9%	96.7%	97.0%	96.5%	98.3%	98.4%	98.6%	98.9%
Margins (% of avg. Assets)	2.21%	2.31%	2.24%	2.19%	2.01%	2.34%	2.93%	2.95%	2.70%	2.35%	2.32%	2.38%
Non-IR contribution	40.8%	41.2%	46.9%	35.1%	38.9%	26.4%	21.9%	23.8%	30.7%	29.7%	29.1%	28.7%
Non-IR/Avg. Assets	1.52%	1.62%	1.98%	1.18%	1.28%	0.84%	0.82%	0.92%	1.20%	0.99%	0.95%	0.96%
Revenue/Assets	3.74%	3.92%	4.22%	3.37%	3.30%	3.17%	3.75%	3.88%	3.90%	3.35%	3.28%	3.34%
Cost/Income	43.7%	42.4%	40.4%	54.6%	49.5%	49.3%	46.5%	44.9%	47.8%	49.8%	48.8%	46.1%
C/Assets	1.63%	1.66%	1.71%	1.84%	1.63%	1.57%	1.74%	1.74%	1.86%	1.67%	1.60%	1.54%
Pre-Provision ROA	2.10%	2.26%	2.52%	1.53%	1.66%	1.61%	2.01%	2.14%	2.04%	1.68%	1.68%	1.80%
LLP/Loans	-1.13%	-1.07%	-1.56%	-1.41%	-1.38%	-1.24%	-1.26%	-1.30%	-1.36%	-1.00%	-0.90%	-0.90%
Loan/Assets	65.5%	66.0%	65.4%	62.9%	60.8%	60.2%	59.9%	59.2%	57.9%	56.5%	56.2%	55.8%
Pre-Tax ROA	1.37%	1.51%	1.47%	0.61%	0.81%	0.85%	1.16%	1.25%	1.22%	1.09%	1.16%	1.29%
Tax Rate	-19.0%	-18.3%	-22.0%	-18.6%	-18.7%	-20.1%	-19.2%	-19.3%	-17.2%	-19.0%	-19.0%	-19.0%
ROA	1.10%	1.22%	1.13%	0.49%	0.65%	0.67%	0.93%	1.00%	1.00%	0.88%	0.93%	1.04%
RoRWA	1.50%	1.63%	1.50%	0.67%	0.95%	1.00%	1.38%	1.49%	1.52%	1.34%	1.42%	1.57%
Equity/Assets	13.0%	13.2%	13.3%	12.1%	11.0%	10.8%	11.0%	11.4%	12.0%	12.7%	13.2%	13.7%
ROE	8.5%	9.3%	8.5%	4.0%	5.9%	6.2%	8.5%	8.8%	8.3%	6.9%	7.1%	7.6%

Source: Company reports and J.P. Morgan estimates.

Quarterly Earnings

Table 32: BBL: Quarterly P&L

Bt in mn	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	51,672	51,645	52,312	52,400	49,471	49,142	47,318	45,151	43,805	42,087	41,819	42,003
Interest Expense	(18,250)	(18,511)	(18,945)	(18,423)	(17,562)	(17,436)	(16,568)	(15,886)	(15,411)	(14,858)	(14,762)	(14,793)
Net Interest Income	33,422	33,134	33,367	33,977	31,909	31,706	30,750	29,265	28,394	27,229	27,057	27,210
Non-Interest Income	8,260	10,404	12,460	10,787	13,745	12,716	16,913	11,495	11,796	11,389	11,263	11,939
Net Fee income	6,927	6,850	6,935	7,012	7,592	6,078	6,549	6,973	7,321	6,955	6,747	6,984
Trading income	100	2,274	4,364	3,119	4,854	5,565	9,223	3,742	3,500	3,400	3,400	3,700
Other operating income	1,234	1,280	1,161	656	1,299	1,073	1,141	780	975	1,033	1,116	1,255
Total Revenues	41,682	43,538	45,826	44,764	45,654	44,422	47,663	40,760	40,190	38,618	38,320	39,149
Costs	(17,574)	(19,106)	(20,277)	(22,030)	(20,497)	(17,988)	(20,520)	(26,236)	(19,229)	(19,007)	(19,173)	(20,373)
PPOP	24,109	24,431	25,549	22,734	25,158	26,434	27,143	14,524	20,961	19,611	19,147	18,776
Loan loss provisions	(8,582)	(10,425)	(8,197)	(7,634)	(9,067)	(10,740)	(9,742)	(6,598)	(7,191)	(6,572)	(6,612)	(6,005)
Other provisions	(2,045)	(102)	(1,562)	(1,710)	(255)	(2,106)	(178)	1,416	(250)	(250)	(250)	(250)
Pre-Tax	13,482	13,904	15,790	13,390	15,835	13,588	17,223	9,342	13,520	12,789	12,285	12,521
Tax	(2,849)	(1,993)	(3,208)	(2,896)	(3,132)	(1,672)	(3,331)	(1,487)	(2,569)	(2,430)	(2,334)	(2,379)
Profit before MI	10,633	11,912	12,583	10,494	12,703	11,915	13,892	7,855	10,951	10,359	9,951	10,142
MI and EO	(109)	(105)	(106)	(90)	(85)	(75)	(103)	(96)	(100)	(100)	(100)	(100)
Attributable profit	10,524	11,807	12,476	10,404	12,618	11,840	13,789	7,760	10,851	10,259	9,851	10,042
Reported profit	10,524	11,807	12,476	10,404	12,618	11,840	13,789	7,760	10,851	10,259	9,851	10,042

Source: Company reports and J.P. Morgan estimates.

Table 33: BBL: Quarterly DuPont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	3.06%	3.03%	3.05%	3.09%	2.89%	2.81%	2.72%	2.59%	2.49%	2.38%	2.35%	2.32%
IEA/Assets	96.3%	96.2%	97.1%	97.5%	96.2%	97.6%	99.0%	98.8%	99.0%	99.5%	100.0%	100.2%
Margins (% of avg. Assets)	2.95%	2.92%	2.96%	3.01%	2.78%	2.75%	2.69%	2.56%	2.47%	2.37%	2.35%	2.33%
Non-IR contribution	19.8%	23.9%	27.2%	24.1%	30.1%	28.6%	35.5%	28.2%	29.4%	29.5%	29.4%	30.5%
Non-IR/Avg. Assets	0.73%	0.92%	1.11%	0.96%	1.20%	1.10%	1.48%	1.01%	1.03%	0.99%	0.98%	1.02%
Revenue/Assets	3.68%	3.83%	4.07%	3.97%	3.98%	3.85%	4.17%	3.57%	3.49%	3.36%	3.32%	3.35%
Cost/Income	42.2%	43.9%	44.2%	49.2%	44.9%	40.5%	43.1%	64.4%	47.8%	49.2%	50.0%	52.0%
C/Assets	1.55%	1.68%	1.80%	1.95%	1.79%	1.56%	1.79%	2.30%	1.67%	1.65%	1.66%	1.74%
Pre-Provision ROA	2.13%	2.15%	2.27%	2.01%	2.19%	2.29%	2.37%	1.27%	1.82%	1.70%	1.66%	1.61%
LLP/Loans	-1.27%	-1.53%	-1.22%	-1.15%	-1.34%	-1.58%	-1.47%	-1.01%	-1.10%	-1.00%	-1.00%	-0.90%
Loan/Assets	59.6%	60.0%	59.5%	59.1%	59.0%	58.8%	58.1%	57.0%	56.8%	57.1%	57.3%	56.9%
Pre-Tax ROA	1.19%	1.22%	1.40%	1.19%	1.38%	1.18%	1.51%	0.82%	1.18%	1.11%	1.07%	1.07%
Tax Rate	-21.1%	-14.3%	-20.3%	-21.6%	-19.8%	-12.3%	-19.3%	-15.9%	-19.0%	-19.0%	-19.0%	-19.0%
ROA	0.93%	1.04%	1.11%	0.92%	1.10%	1.03%	1.21%	0.68%	0.94%	0.89%	0.85%	0.86%
RoRWA	1.38%	1.53%	1.64%	1.38%	1.64%	1.53%	1.82%	1.04%	1.45%	1.37%	1.31%	1.31%
Equity/Assets	11.4%	11.5%	11.5%	11.6%	11.6%	11.7%	12.1%	12.1%	11.6%	11.1%	10.7%	11.7%
ROE	8.1%	9.0%	9.6%	7.9%	9.5%	8.7%	10.0%	5.6%	8.1%	8.0%	8.0%	7.3%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	-1.2%	-3.7%	-1.2%	13.2%
Rel	-17.6%	-3.7%	-17.5%	-11.8%

Company Data

Shares O/S (mn)	1,909
52-week range (Bt)	181.00-131.00
Market cap (\$ mn)	9,804
Exchange rate	32.61
Free float (%)	87.9%
3M ADV (mn)	13.22
3M ADV (\$ mn)	67.4
Volatility (90 Day)	22
Index	SET
BBG ANR (Buy Hold Sell)	11 10 6

Key Metrics (FYE Dec)

Bt in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	123,630	109,890	111,617	117,729
Non interest income	54,869	46,386	45,874	47,434
Operating expenses	(85,240)	(77,781)	(76,869)	(76,215)
Adj. PPOP	93,259	78,495	80,622	88,948
Provision for loan losses	(36,148)	(26,380)	(24,285)	(24,889)
Adj. PBT	55,988	51,115	55,837	64,059
Adj. net income	46,007	41,003	44,828	51,488
Adj. EPS	24.10	21.48	23.48	26.97
BBG EPS	25.07	22.05	23.04	24.04
DPS	10.00	10.00	11.00	13.00
Loans	2,315,273	2,353,578	2,395,819	2,449,398
Deposits	3,196,284	3,259,812	3,336,870	3,416,180
Total Assets	4,606,342	4,732,653	4,877,453	5,026,128
Margins and Growth				
NIM	0.0%	0.0%	0.0%	0.0%
Ratios				
Loan/ Deposit ratio	72.4%	72.2%	71.8%	71.7%
NPL / Loans	3.8%	3.6%	3.7%	3.7%
Coverage	299.2%	323.0%	333.3%	343.4%
CET 1	17.2%	17.4%	17.6%	17.8%
Non-int. income/ Income	30.7%	29.7%	29.1%	28.7%
Cost/Income	47.8%	49.8%	48.8%	46.1%
LLP/Loans	(1.4%)	(1.0%)	(0.9%)	(0.9%)
ROA	1.0%	0.9%	0.9%	1.0%
ROE	8.3%	6.9%	7.1%	7.6%
Valuation				
Dividend yield	6.0%	6.0%	6.6%	7.8%
Adj. P/E	6.9	7.8	7.1	6.2
P/ BV	0.6	0.5	0.5	0.5

Summary Investment Thesis and Valuation

Investment Thesis

We are Neutral on BBL as the current valuation of 8.2x/0.55x '26 JPMe PE/PB limits upside. We forecast weaker NIM with 36bps y/y decline in 2026 (vs previous 23bps decrease) as we factor in a 50bps cut. Fee income growth (3% y/y in 2026) at the bank does not offset NIM impact. However, we note adequate capital at 18.8/17.2% bank/group CET1, and RWA growth is low. A recovery in Thailand's investment cycle, if it materialises, will be key for BBL's loan and earnings growth. We forecast DPS of Bt 10.0/11.0/13.0 based on a payout of 47-48% over 2025-28 (42% payout in 2025 with DPS of Bt10.). At current levels, this equals a 5.7-7.4% dividend yield.

Valuation

Our Dec-26 PT of Bt180 is based on a two-stage DDM with a risk-free rate of 4.0%, cost of capital of 11.8% and terminal growth of 3.5%. We use a fair P/BV multiple of 0.53x with a normalized RoE of 7.9%.

Performance Drivers

Market	0%
Region	15%
Macro	9%
Style	3%
Idiosyn.	73%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.10	0.14
Region: Thailand	0.22	0.40
Macro:		
JP Morgan EMBI Global Spread	-0.06	-0.23
US 10 Year Yield	-0.07	0.23
Citi Economic Surprise - EM	-0.06	0.10
Quant Styles:		
Size	0.24	0.14
Quality	0.17	0.12
Momentum	0.10	0.08

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

Bangkok Bank (Neutral; Price Target: Bt180.00)

Investment Thesis

- We are Neutral on BBL as current valuation of 8.2x/0.55x '26 JPMe PE/PB limits upside. We forecast weaker NIM with 36bps y/y decline in 2026 (vs previous 23bps decrease) as we factor in 50bps cut. Fee income growth (3% y/y in 2026) at the bank does not offset NIM impact.
- However, we note adequate capital at 18.8/17.2% bank/group CET1, and RWA growth is low. A recovery in Thailand's investment cycle, if it materialises, will be key for BBL's loan and earnings growth. We forecast DPS of Bt 10.0/11.0/13.0 based on a payout of 47-48% over 2025-28 (42% payout in 2025 with DPS of Bt10.). At current levels, this equals 5.7-7.4% dividend yield.
- The bank has one of the largest LLR buffers in the region (~11% LLR/Loans). This, along with a low retail portfolio (12% of mix), offers comfort on the bank's asset quality, and provides an earnings buffer.

Valuation

Our Dec-26 PT of Bt180 is based on a two-stage DDM with a risk-free rate of 4.0%, cost of capital of 11.8% and terminal growth of 3.5%. We use a fair P/BV multiple of 0.53x with a normalized RoE of 7.9%.

Risks to Rating and Price Target

Key upside risks to our rating and price target include: A meaningful increase in capital management, either in the form of higher payouts, buybacks or a special dividend. Lower-than-expected increase in opex, despite NIM being higher than guidance.

Key downside risks: Higher-than-expected provisions or opex could lead to slower profit growth. Slower-than-expected recovery in the capex cycle and trade poses key risks to credit growth forecasts.

Bangkok Bank: Summary of Financials

Income Statement						Balance Sheet					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	208,029	191,082	169,714	173,230	182,049	Deposits with banks	799,633	818,754	850,491	920,594	982,365
Interest expense	(74,129)	(67,452)	(59,824)	(61,613)	(64,320)	Net loans	2,420,563	2,315,273	2,353,578	2,395,819	2,449,398
Net interest income	133,900	123,630	109,890	111,617	117,729	PP&E	66,015	77,066	79,815	81,937	84,128
Non interest income	41,911	54,869	46,386	45,874	47,434	Net intangibles	38,477	37,050	36,585	36,020	35,496
o/w Fee income	-	-	-	-	-	LT investments	1,096,563	1,214,101	1,262,665	1,287,918	1,313,677
o/w Trading income	-	-	-	-	-	Other assets	122,370	139,065	144,628	150,413	156,429
Net revenues	175,811	178,499	156,276	157,491	165,163	Total assets	4,551,379	4,606,342	4,732,653	4,877,453	5,026,128
Non interest expense	(78,988)	(85,240)	(77,781)	(76,869)	(76,215)	Interest earning assets	4,589,497	4,641,141	4,780,914	4,937,458	5,097,997
o/w Employee costs	(36,162)	(37,053)	(35,201)	(35,201)	(35,201)	Deposits	3,169,654	3,196,284	3,259,812	3,336,870	3,416,180
Pre-Prov. Profits	96,824	93,259	78,495	80,622	88,948	Borrowings	560,721	558,653	572,266	583,711	595,386
Provisions	(34,838)	(36,148)	(26,380)	(24,285)	(24,889)	Other liabilities	290,465	275,722	286,751	298,221	310,149
Adj. PBT	56,568	55,988	51,115	55,837	64,059	Total liabilities	4,020,840	4,030,659	4,118,829	4,218,802	4,321,715
Income taxes	(10,946)	(9,622)	(9,712)	(10,609)	(12,171)	Shareholder equity	528,705	573,923	612,062	656,891	702,652
Minority interest	(411)	(359)	(400)	(400)	(400)	Minority interests	1,834	1,761	1,761	1,761	1,761
Adj. Net profit	45,212	46,007	41,003	44,828	51,488	Total liabilities and Shareholder equity	4,551,379	4,606,342	4,732,653	4,877,453	5,026,128
PPOP per share	50.72	48.86	41.12	42.24	46.60	Interest bearing liabilities	3,730,375	3,754,937	3,832,078	3,920,581	4,011,565
Reported EPS	23.69	24.10	21.48	23.48	26.97	Book Value Per Share	276.98	300.67	320.65	344.13	368.10
Adj. EPS	23.69	24.10	21.48	23.48	26.97	Tangible Book Value Per Share	276.98	300.67	320.65	344.13	368.10
DPS	8.50	10.00	10.00	11.00	13.00	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Diluted shares outstanding	1,909	1,909	1,909	1,909	1,909	Loan loss reserves/Loans	(10.1%)	(11.2%)	(11.8%)	(12.2%)	(12.6%)
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	NPLs/Loans	3.3%	3.8%	3.6%	3.7%	3.7%
Loans/Deposits	76.4%	72.4%	72.2%	71.8%	71.7%	Loan loss reserves/NPLs	297.2%	302.2%	311.1%	328.2%	338.4%
Investment/Assets	23.8%	25.2%	26.5%	26.5%	26.3%	NPL y/y growth	(0.2%)	9.7%	(0.7%)	2.7%	2.7%
Loan/Assets	59.2%	57.9%	56.5%	56.2%	55.8%	Tier 1 ratio	17.0%	17.2%	17.4%	17.6%	17.8%
Customer deposits/Liabilities	78.8%	79.3%	79.1%	79.1%	79.0%	CAR	3.4%	4.6%	4.4%	4.2%	4.1%
LT debt/Liabilities	13.8%	13.9%	13.9%	13.9%	13.8%	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Return on equity (ROE)	8.8%	8.3%	6.9%	7.1%	7.6%
Net interest margin	0.0%	0.0%	0.0%	0.0%	0.0%	Return on assets (ROA)	1.0%	1.0%	0.9%	0.9%	1.0%
Non interest income/Net revenue	23.8%	30.7%	29.7%	29.1%	28.7%	Operating ROA	1.4%	1.2%	1.1%	1.2%	1.3%
Non interest income/Avg. Assets	0.9%	1.2%	1.0%	1.0%	1.0%	Pre-Tax ROA	1.2%	1.2%	1.1%	1.2%	1.3%
Efficiency ratio	44.9%	47.8%	49.8%	48.8%	46.1%	Pre-Provision ROA	2.1%	2.0%	1.7%	1.7%	1.8%
Leverage ratio	11.4%	11.3%	11.6%	11.8%	12.0%	Tax rate	19.3%	17.2%	19.0%	19.0%	19.0%
Revenue/Assets	3.9%	3.9%	3.3%	3.3%	3.3%	Net loans y/y growth	(0.2%)	(4.3%)	1.7%	1.8%	2.2%
RORWA	1.5%	1.5%	1.3%	1.4%	1.6%	Assets y/y growth	0.8%	1.2%	2.7%	3.1%	3.0%
RWA	3,039,735	3,001,483	3,107,449	3,226,912	3,350,406	RWA y/y growth	0.3%	(1.3%)	3.5%	3.8%	3.8%
Avg. RWA	3,034,914	3,020,609	3,054,466	3,167,181	3,288,659	Deposits y/y growth	(0.5%)	0.8%	2.0%	2.4%	2.4%
Avg. IEA	4,372,401	4,499,339	4,593,514	4,739,450	4,895,615	Net interest income y/y growth	2.3%	(7.7%)	(11.1%)	1.6%	5.5%
Gross Loans	2,693,301	2,608,286	2,667,755	2,728,945	2,801,956	Revenues y/y growth	5.0%	1.5%	(12.4%)	0.8%	4.9%
Avg. IBL	3,730,691	3,742,656	3,793,508	3,876,330	3,966,073	Adj. EPS y/y growth	8.6%	1.8%	(10.9%)	9.3%	14.9%
LLR	(272,738)	(293,013)	(314,177)	(333,126)	(352,557)	BVPS y/y growth	5.0%	8.6%	6.6%	7.3%	7.0%
NPLs	89,300	97,932	97,272	99,940	102,669	IE assets/Assets	96.5%	98.3%	98.4%	98.6%	98.9%
P/BV (x)	0.6	0.6	0.5	0.5	0.5	Margins (as % of Avg. Assets)	2.8%	2.6%	2.3%	2.3%	2.3%
Adj. P/E (x)	7.1	6.9	7.8	7.1	6.2	LLP/Loans	(1.3%)	(1.4%)	(1.0%)	(0.9%)	(0.9%)
Dividend yield	5.1%	6.0%	6.0%	6.6%	7.8%	Equity/Assets	11.4%	12.0%	12.7%	13.2%	13.7%
Dividend payout	35.9%	41.5%	46.6%	46.8%	48.2%	Cost/Assets	1.7%	1.9%	1.7%	1.6%	1.5%
						Assets/Equity	8.8	8.3	7.9	7.6	7.3

Source: Company reports and J.P. Morgan estimates.

Note: Bt in millions (except per-share data). Fiscal year ends Dec

▼ Underweight

Previous: Neutral

SCB.BK, SCB.TB

Price (02 Apr 26): Bt145.50

▼ **Price Target (Dec-26): Bt115.00**

Prior (Dec-26): Bt150.00

APAC Banks

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J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Bt)	13.25	10.92	-17.6%
Adj. EPS - 27E (Bt)	14.84	12.02	-19.0%

Quarterly Forecasts (FYE Dec)

Adj. EPS (Bt)	2025A	2026E	2027E
Q1	3.71	2.88	
Q2	3.80	2.69	
Q3	3.58	2.69	
Q4	3.01	2.66	
FY	14.10	10.92	12.02

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)				
	%Rank	6M	1Y	3Y	5Y	
Value	25	20	22	3		
Growth	51	64	53	51	59	
Momentum	38	29	11	53	22	
Quality	35	31	33	57		
Low Vol	3	3	9	98	35	

SCB X PCL

Macro risks to lead to negative revisions, and DPS risk; downgrade to UW

SCBx led the industry with an 80% payout ratio 3 years ago. This has led to a sharp re-rating for the stock over the last few quarters. Yet, as the macro headwinds to growth and inflation toughen, we expect NIM-led negative revisions. Credit risk in the consumer book poses additional headwinds. Our forecasts are 17% below Street for this year, which will also weigh on dividends, even with higher payout. Moreover, the stock is trading close to book, which makes buybacks less accretive. Accordingly, we expect the stock to underperform in the near term.

Valuation

Table 34: SCB: Valuation

	Core Net	Core EPS	P/E	BVPS	P/B	Dividend	Div Yld	Core RoA	Core RoRWA	Core RoE
	(Bt mn)	(Bt)	(x)	(Bt)	(x)	(Bt)	(%)	(%)	(%)	(%)
2021	35,599	10.5	13.9	130	1.12	4.06	2.8%	1.08%	1.60%	8.4%
2022	37,546	11.1	13.1	137	1.06	6.69	4.6%	1.11%	1.64%	8.3%
2023	43,521	12.9	11.3	142	1.02	10.34	7.1%	1.26%	1.87%	9.3%
2024	45,471	13.5	10.8	145	1.00	10.44	7.2%	1.31%	1.91%	9.4%
2025	47,488	14.1	10.3	147	0.99	11.28	7.8%	1.33%	1.98%	9.7%
2026E	36,769	10.9	13.3	147	0.99	9.83	6.8%	1.00%	1.52%	7.4%
2027E	40,472	12.0	12.1	149	0.98	10.22	7.0%	1.09%	1.65%	8.1%
2028E	41,982	12.5	11.7	151	0.96	10.60	7.3%	1.13%	1.68%	8.3%

Price (Bt)	145.5	Number of shares (mn)	3,367	Market Cap (THB mn)	489,914
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Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	2.83%	Risk-free rate	3.5%	Fair PE	8.4x
Non-IR/revenues	32.7%	Cost of capital	10.7%	12m Rolling EPS	Bt 11.2
Cost/income	43.3%	Long term growth	3.0%	PE based 12M Fwd Fair Value	Bt 93.8
Operating RoA	2.38%	Fair PB	0.71x	Implied Value of Growth	
LLP/Loans	-1.40%	PV of Terminal Value	Bt 94.2	12m Rolling EPS	Bt 11.2
Net RoAA	1.14%	PV of Dividends	Bt 11.6	Capitalized Value	Bt 104.7
Equity/Assets	13.3%	PV of today's Fair Value	Bt 105.8	Value of Growth	Bt 40.8
Normalised RoE	8.5%	PB based Dec-26 Fair Value	Bt 117	Attributable to Growth	
				28%	

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 2nd Apr, 2026.

Annual Earnings

Table 35: SCB: Annual P&L

Bt in mn	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Interest Income	125,113	129,127	135,025	118,371	112,177	126,993	161,121	169,320	155,979	138,811	139,072	140,135
Interest Expense	(32,803)	(32,758)	(35,624)	(21,472)	(17,006)	(19,128)	(36,439)	(39,896)	(36,862)	(34,938)	(34,813)	(34,703)
Net Interest Income	92,310	96,369	99,401	96,899	95,171	107,865	124,682	129,424	119,117	103,873	104,260	105,432
Non-Interest Income	43,903	41,855	42,672	47,869	55,171	46,555	46,421	43,681	52,466	48,273	50,785	52,792
Net Fee income	30,324	28,456	29,670	36,586	40,198	37,148	32,723	31,144	30,856	32,707	34,343	36,060
Trading income	8,701	10,875	12,200	9,365	11,236	6,724	8,896	9,370	17,265	11,003	11,652	11,702
Other operating income	4,878	2,524	803	1,918	3,737	2,684	4,801	3,167	4,345	4,563	4,791	5,030
Total Revenues	136,213	138,224	142,073	144,768	150,342	154,420	171,103	173,105	171,583	152,146	155,045	158,224
Costs	(57,638)	(64,525)	(68,928)	(62,764)	(62,898)	(69,653)	(71,564)	(71,841)	(68,909)	(67,833)	(66,696)	(67,271)
PPOP	78,575	73,699	73,145	82,004	87,444	84,767	99,538	101,264	102,674	84,313	88,348	90,953
Loan loss provisions	(25,067)	(24,023)	(36,211)	(46,649)	(42,024)	(33,829)	(43,600)	(42,594)	(41,469)	(36,701)	(36,109)	(36,826)
Pre-Tax	53,496	49,563	36,725	33,788	44,771	50,718	55,723	58,331	60,544	47,212	51,840	53,727
Tax	(10,291)	(9,468)	(6,998)	(6,794)	(9,376)	(13,592)	(11,955)	(12,224)	(12,324)	(9,442)	(10,368)	(10,745)
Profit before MI	43,205	40,095	29,727	26,994	35,395	37,125	43,768	46,107	48,220	37,769	41,472	42,982
MI & EO	(53)	(28)	185	224	204	421	(247)	(636)	(732)	(1,000)	(1,000)	(1,000)
Attributable Profit	43,152	40,067	29,912	27,218	35,599	37,546	43,521	45,471	47,488	36,769	40,472	41,982
Reported Profit	43,152	40,067	40,436	27,218	35,599	37,546	43,521	43,943	47,488	36,769	40,472	41,982

Source: Company reports and J.P. Morgan estimates.

Table 36: SCB: Annual DuPont

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
NIM (% of avg. IEA)	3.24%	3.21%	3.34%	3.23%	3.00%	3.29%	3.73%	3.85%	3.44%	2.92%	2.91%	2.92%
IEA/Assets	96.1%	96.6%	96.7%	96.1%	96.3%	96.9%	97.1%	97.2%	97.0%	96.8%	96.8%	96.8%
Margins (% of avg. Assets)	3.11%	3.10%	3.23%	3.10%	2.89%	3.19%	3.62%	3.74%	3.34%	2.83%	2.82%	2.83%
Non-IR contribution	32.2%	30.3%	30.0%	33.1%	36.7%	30.1%	27.1%	25.2%	30.6%	31.7%	32.8%	33.4%
Non-IR/Avg. Assets	1.48%	1.35%	1.39%	1.53%	1.67%	1.38%	1.35%	1.26%	1.47%	1.32%	1.37%	1.41%
Revenue/Assets	4.59%	4.45%	4.62%	4.64%	4.56%	4.56%	4.96%	5.00%	4.81%	4.15%	4.19%	4.24%
Cost/Income	42.3%	46.7%	48.5%	43.4%	41.8%	45.1%	41.8%	41.5%	40.2%	44.6%	43.0%	42.5%
C/Assets	1.94%	2.08%	2.24%	2.01%	1.91%	2.06%	2.08%	2.07%	1.93%	1.85%	1.80%	1.80%
Pre-Provision ROA	2.65%	2.37%	2.38%	2.63%	2.65%	2.50%	2.89%	2.92%	2.88%	2.30%	2.39%	2.44%
LLP/Loans	-1.26%	-1.15%	-1.70%	-2.14%	-1.85%	-1.45%	-1.82%	-1.76%	-1.74%	-1.55%	-1.50%	-1.50%
Loan/Assets	66.9%	67.2%	69.2%	70.0%	69.0%	69.0%	69.6%	69.7%	66.6%	64.6%	65.1%	65.8%
Pre-Tax ROA	1.80%	1.60%	1.19%	1.08%	1.36%	1.50%	1.62%	1.68%	1.70%	1.29%	1.40%	1.44%
Tax Rate	-19.2%	-19.1%	-19.1%	-20.1%	-20.9%	-26.8%	-21.5%	-21.0%	-20.4%	-20.0%	-20.0%	-20.0%
Core ROA	1.45%	1.29%	0.97%	0.87%	1.08%	1.11%	1.26%	1.31%	1.33%	1.00%	1.09%	1.13%
Core RoRWA	2.13%	1.90%	1.41%	1.27%	1.60%	1.64%	1.87%	1.91%	1.98%	1.52%	1.65%	1.68%
Equity/Assets	11.7%	12.0%	12.7%	13.0%	12.9%	13.3%	13.6%	14.0%	13.8%	13.5%	13.5%	13.5%
ROE	12.4%	10.8%	10.4%	6.7%	8.4%	8.3%	9.3%	9.1%	9.7%	7.4%	8.1%	8.3%

Source: Company reports and J.P. Morgan estimates.

Quarterly Earnings

Table 37: SCB: Quarterly P&L

Bt in mn	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	41,380	42,405	42,963	42,570	40,628	39,710	38,608	37,034	35,820	34,474	34,250	34,267
Interest Expense	(9,619)	(9,830)	(10,328)	(10,118)	(9,581)	(9,306)	(9,195)	(8,780)	(8,965)	(8,684)	(8,642)	(8,648)
Net Interest Income	31,761	32,575	32,635	32,452	31,047	30,404	29,413	28,254	26,855	25,791	25,609	25,619
Non-Interest Income	11,234	10,678	10,392	11,377	11,949	13,247	14,268	13,002	11,667	11,901	12,311	12,394
Net Fee income	7,897	7,529	7,738	7,980	7,627	7,410	8,296	7,523	7,749	7,981	8,380	8,597
Trading income	2,785	1,890	2,123	2,573	3,495	4,866	4,811	4,093	2,810	2,800	2,800	2,593
Other operating income	552	1,258	531	824	827	971	1,161	1,386	1,109	1,120	1,131	1,203
Total Revenues	42,995	43,253	43,027	43,829	42,997	43,651	43,681	41,256	38,522	37,692	37,920	38,013
Costs	(18,040)	(17,730)	(17,460)	(18,611)	(17,070)	(17,211)	(17,462)	(17,167)	(16,849)	(16,746)	(16,940)	(17,299)
PPOP	24,955	25,523	25,567	25,218	25,927	26,440	26,219	24,089	21,673	20,946	20,981	20,714
Loan loss provisions	(10,201)	(11,626)	(10,967)	(9,799)	(9,570)	(10,112)	(10,823)	(10,964)	(9,144)	(9,199)	(9,237)	(9,121)
Other provisions	(60)	(41)	(147)	(91)	(70)	(320)	(113)	(158)	(100)	(100)	(100)	(100)
Pre-Tax	14,694	13,856	14,453	15,328	16,287	16,008	15,283	12,967	12,429	11,647	11,643	11,493
Tax	(3,354)	(2,908)	(2,626)	(3,336)	(3,545)	(3,026)	(3,036)	(2,717)	(2,486)	(2,329)	(2,329)	(2,299)
Profit before MI	11,340	10,948	11,827	11,992	12,742	12,982	12,247	10,250	9,943	9,318	9,315	9,194
MI and EO	(59)	(137)	(154)	(286)	(240)	(196)	(191)	(106)	(250)	(250)	(250)	(250)
Attributable profit	11,281	10,811	11,672	11,707	12,502	12,786	12,057	10,144	9,693	9,068	9,065	8,944
Reported Profit	11,281	10,014	10,941	11,707	12,502	12,786	12,057	10,144	9,693	9,068	9,065	8,944

Source: Company reports and J.P. Morgan estimates.

Table 38: SCB: Quarterly DuPont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	3.83%	3.90%	3.91%	3.88%	3.67%	3.59%	3.44%	3.24%	3.04%	2.92%	2.89%	2.88%
IEA/Assets	97.0%	97.0%	97.0%	97.0%	97.3%	97.1%	97.2%	97.0%	96.8%	96.8%	96.8%	96.8%
Margins (% of avg. Assets)	3.71%	3.78%	3.79%	3.76%	3.57%	3.49%	3.34%	3.15%	2.95%	2.83%	2.80%	2.79%
Non-IR contribution	26.1%	24.7%	24.2%	26.0%	27.8%	30.3%	32.7%	31.5%	30.3%	31.6%	32.5%	32.6%
Non-IR/Avg. Assets	1.31%	1.24%	1.21%	1.32%	1.38%	1.52%	1.62%	1.45%	1.28%	1.31%	1.35%	1.35%
Revenue/Assets	5.02%	5.02%	4.99%	5.08%	4.95%	5.01%	4.96%	4.59%	4.23%	4.13%	4.14%	4.14%
Cost/Income	42.0%	41.0%	40.6%	42.5%	39.7%	39.4%	40.0%	41.6%	43.7%	44.4%	44.7%	45.5%
C/Assets	2.11%	2.06%	2.03%	2.16%	1.96%	1.97%	1.98%	1.91%	1.85%	1.84%	1.85%	1.88%
Pre-Provision ROA	2.92%	2.96%	2.97%	2.93%	2.98%	3.03%	2.98%	2.68%	2.38%	2.30%	2.29%	2.25%
LLP/Loans	-1.67%	-1.90%	-1.80%	-1.62%	-1.59%	-1.68%	-1.82%	-1.87%	-1.55%	-1.55%	-1.55%	-1.53%
Loan/Assets	71.2%	70.9%	70.7%	70.2%	69.5%	69.1%	67.4%	65.5%	64.8%	65.1%	65.1%	64.9%
Pre-Tax ROA	1.72%	1.61%	1.68%	1.78%	1.87%	1.84%	1.74%	1.44%	1.36%	1.28%	1.27%	1.25%
Tax Rate	-22.8%	-21.0%	-18.2%	-21.8%	-21.8%	-18.9%	-19.9%	-21.0%	-20.0%	-20.0%	-20.0%	-20.0%
Core ROA	1.32%	1.25%	1.35%	1.36%	1.44%	1.47%	1.37%	1.13%	1.06%	0.99%	0.99%	0.97%
Core RoRWA	1.90%	1.79%	1.94%	1.95%	2.08%	2.12%	2.01%	1.69%	1.62%	1.51%	1.50%	1.47%
Equity/Assets	14.1%	14.0%	13.8%	14.0%	14.2%	14.1%	13.7%	13.7%	13.3%	13.1%	13.2%	13.3%
ROE	9.3%	8.8%	9.7%	9.7%	10.1%	10.4%	10.0%	8.3%	8.0%	7.6%	7.5%	7.3%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	4.7%	-0.3%	4.7%	16.9%
Rel	-11.7%	-0.3%	-11.7%	-8.1%

Company Data

Shares O/S (mn)	3,367
52-week range (Bt)	149.50-111.00
Market cap (\$ mn)	15,022
Exchange rate	32.61
Free float (%)	73.4%
3M ADV (mn)	15.89
3M ADV (\$ mn)	69.3
Volatility (90 Day)	15
Index	SET
BBG ANR (Buy Hold Sell)	10 14 2

Key Metrics (FYE Dec)

Bt in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	119,117	103,873	104,260	105,432
Non interest income	52,466	48,273	50,785	52,792
Operating expenses	(68,909)	(67,833)	(66,696)	(67,271)
Adj. PPOP	102,674	84,313	88,348	90,953
Provision for loan losses	(41,469)	(36,701)	(36,109)	(36,826)
Adj. PBT	60,544	47,212	51,840	53,727
Adj. net income	47,488	36,769	40,472	41,982
Adj. EPS	14.10	10.92	12.02	12.47
BBG EPS	14.07	13.13	13.76	14.33
DPS	11.28	9.83	10.22	10.60
Loans	2,205,370	2,242,935	2,291,895	2,347,504
Deposits	2,563,315	2,588,011	2,599,704	2,611,848
Total Assets	3,650,742	3,684,736	3,715,733	3,747,621
Margins and Growth				
NIM	3.4%	2.9%	2.9%	2.9%
Ratios				
Loan/ Deposit ratio	86.0%	86.7%	88.2%	89.9%
NPL / Loans	4.1%	4.1%	4.1%	3.9%
Coverage	151.1%	144.2%	139.7%	138.6%
CET 1	17.8%	17.5%	17.5%	17.5%
Non-int. income/ Income	30.6%	31.7%	32.8%	33.4%
Cost/Income	40.2%	44.6%	43.0%	42.5%
LLP/Loans	(1.7%)	(1.6%)	(1.5%)	(1.5%)
ROA	1.3%	1.0%	1.1%	1.1%
ROE	9.7%	7.4%	8.1%	8.3%
Valuation				
Dividend yield	7.8%	6.8%	7.0%	7.3%
Adj. P/E	10.3	13.3	12.1	11.7
P/ BV	1.0	1.0	1.0	1.0

Summary Investment Thesis and Valuation

Investment Thesis

We are UW on SCBx.

SCBx's highest-in-the-sector dividend payout ratio of 80% underpins the medium-term investment thesis. Relative to peers, capital management upside is muted, and considering the current valuation of 13.3x/0.99x '26 JPMe PE/PB, we see downside risks.

A high CET1 of 17.8% (as of Dec-25), 7-8% RoE generation, and low RWA growth of 2% should allow the bank to maintain its payout ratio, but we expect a decrease in DPS to Bt9.83/10.22/10.60 for 2026-28, which equates to 6.8-7.3% yield. From here, the onus is on SCBx to prove that the bank is a better underwriter and is in a better position to deliver longer-term growth (Gen2/Gen3).

Valuation

Our Dec-26 price target of Bt115 is based on our two-stage DDM valuation, with a risk-free rate of 3.5%, cost of capital of 10.7% and terminal growth of 3.0%. We use a fair P/BV multiple of 0.71x with a normalized RoE of 8.5%.

Performance Drivers

Market	1%
Region	30%
Macro	3%
Style	3%
Idiosyn.	62%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.03	0.08
Region: Thailand	0.56	0.55
Macro:		
US 10 Year Yield	-0.18	0.26
HSI Volatility Index	-0.07	0.20
Citi Economic Surprise - EM	-0.20	-0.14
Quant Styles:		
Size	0.11	0.12
Momentum	0.13	0.12
Quality	0.13	0.10

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

SCB X PCL (Underweight; Price Target: Bt115.00)

Investment Thesis

We are UW on SCBx.

- SCBx's highest-in-the-sector dividend payout ratio of 80% underpins the medium-term investment thesis. Relative to peers, capital management upside is muted, and considering the current valuation of 13.3x/0.99x '26 JPMc PE/PB, we see downside risks.
- A high CET1 of 17.8% (as of Dec-25), 7-8% RoE generation, and low RWA growth of 2% should allow the bank to maintain its payout ratio, but we expect a decrease in DPS to Bt9.83/10.22/10.60 for 2026-28, which equates to 6.8-7.3% yield.
- From here, the onus is on SCBx to prove that the bank is a better underwriter and is in a better position to deliver longer-term growth (Gen2/Gen3).
- There are two sources of asset quality risks: (1) lingering write-offs from CardX and AutoX especially with high fuel prices; and (2) weakness in the bank's restructured consumer credit, especially as SCBx has a large presence in the segment. Gen2 provisions are running meaningfully above ~600bps (810bps in 2025), the level the bank considers normalized for this cohort, given the higher-yield nature of the book.

Valuation

Our Dec-26 price target of Bt115 is based on our two-stage DDM valuation, with a risk-free rate of 3.5%, cost of capital of 10.7% and terminal growth of 3.0%. We use a fair P/BV multiple of 0.71x with a normalized RoE of 8.5%.

Risks to Rating and Price Target

Key upside risks include improvement in AQ. Better recovery at CardX would limit losses and move the subsidiary back into growth mode, which would be an upside catalyst. On the flip side, operational slippage at any of the subs could lead to further questions about SCBx's transition to a fintech.

SCB X PCL: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	169,320	155,979	138,811	139,072	140,135	Deposits with banks	596,970	665,490	653,057	625,551	591,700
Interest expense	(39,896)	(36,862)	(34,938)	(34,813)	(34,703)	Net loans	2,255,736	2,053,702	2,429,352	2,918,952	3,475,504
Net interest income	129,424	119,117	103,873	104,260	105,432	PP&E	73,425	74,718	75,870	77,106	78,430
Non interest income	43,681	52,466	48,273	50,785	52,792	Net intangibles	27,879	29,693	30,286	30,892	31,510
o/w Fee income	-	-	-	-	-	LT investments	431,031	562,502	573,753	585,228	596,932
o/w Trading income	-	-	-	-	-	Other assets	76,631	85,274	83,569	81,898	80,260
Net revenues	173,105	171,583	152,146	155,045	158,224	Total assets	3,486,540	3,650,742	3,684,736	3,715,733	3,747,621
Non interest expense	(71,841)	(68,909)	(67,833)	(66,696)	(67,271)	Interest earning assets	3,432,287	3,578,664	3,611,786	3,640,278	3,669,265
o/w Employee costs	(35,707)	(36,596)	(36,596)	(36,596)	(36,779)	Deposits	2,473,626	2,563,315	2,588,011	2,599,704	2,611,848
Pre-Prov. Profits	101,264	102,674	84,313	88,348	90,953	Borrowings	336,583	401,504	408,329	416,495	424,825
Provisions	(42,594)	(41,469)	(36,701)	(36,109)	(36,826)	Other liabilities	181,493	184,215	187,899	191,657	195,490
Adj. PBT	56,803	60,544	47,212	51,840	53,727	Total liabilities	2,991,702	3,149,034	3,184,239	3,207,856	3,232,164
Income taxes	(12,224)	(12,324)	(9,442)	(10,368)	(10,745)	Shareholder equity	488,636	495,313	494,117	501,402	508,886
Minority interest	(636)	(732)	(1,000)	(1,000)	(1,000)	Minority interests	6,201	6,396	6,380	6,474	6,571
Adj. Net profit	43,943	47,488	36,769	40,472	41,982	Total liabilities and Shareholder equity	3,486,539	3,650,742	3,684,736	3,715,733	3,747,621
PPOP per share	30.07	30.49	25.04	26.24	27.01	Interest bearing liabilities	2,810,209	2,964,819	2,996,340	3,016,199	3,036,674
Reported EPS	13.05	14.10	10.92	12.02	12.47	Book Value Per Share	145.12	147.10	146.75	148.91	151.13
Adj. EPS	13.05	14.10	10.92	12.02	12.47	Tangible Book Value Per Share	145.12	147.10	146.75	148.91	151.13
DPS	10.44	11.28	9.83	10.22	10.60						
Diluted shares outstanding	3,367	3,367	3,367	3,367	3,367						
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	91.2%	86.0%	86.7%	88.2%	89.9%	Loan loss reserves/Loans	(6.2%)	(6.2%)	(6.0%)	(5.7%)	(5.4%)
Investment/Assets	13.2%	13.9%	15.5%	15.7%	15.8%	NPLs/Loans	4.1%	4.1%	4.1%	4.1%	3.9%
Loan/Assets	69.7%	66.6%	64.6%	65.1%	65.8%	Loan loss reserves/NPLs	152.5%	151.6%	147.6%	141.9%	139.1%
Customer deposits/Liabilities	82.7%	81.4%	81.3%	81.0%	80.8%	NPL y/y growth	0.8%	(1.5%)	2.4%	0.0%	(2.5%)
LT debt/Liabilities	11.2%	12.0%	12.8%	12.9%	13.1%	Tier 1 ratio	17.8%	17.8%	17.5%	17.5%	17.5%
						CAR	18.9%	18.9%	18.6%	18.6%	18.6%
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	3.8%	3.4%	2.9%	2.9%	2.9%	Return on equity (ROE)	9.1%	9.7%	7.4%	8.1%	8.3%
Non interest income/Net revenue	25.2%	30.6%	31.7%	32.8%	33.4%	Return on assets (ROA)	1.3%	1.3%	1.0%	1.1%	1.1%
Non interest income/Avg. Assets	1.3%	1.5%	1.3%	1.4%	1.4%	Operating ROA	1.7%	1.7%	1.3%	1.4%	1.5%
Efficiency ratio	41.5%	40.2%	44.6%	43.0%	42.5%	Pre-Tax ROA	1.6%	1.7%	1.3%	1.4%	1.4%
Leverage ratio	12.3%	12.0%	11.6%	11.7%	11.8%	Pre-Provision ROA	2.9%	2.9%	2.3%	2.4%	2.4%
Revenue/Assets	5.0%	4.8%	4.1%	4.2%	4.2%	Tax rate	21.5%	20.4%	20.0%	20.0%	20.0%
RORWA	1.8%	2.0%	1.5%	1.6%	1.7%						
						Net loans y/y growth	(1.0%)	(2.2%)	1.7%	2.2%	2.4%
RWA	2,396,562	2,396,903	2,437,645	2,476,730	2,516,723	Assets y/y growth	1.4%	4.7%	0.9%	0.8%	0.9%
Avg. RWA	2,377,539	2,396,733	2,417,274	2,457,188	2,496,727	RWA y/y growth	1.6%	0.0%	1.7%	1.6%	1.6%
Avg. IEA	3,388,485	3,534,797	3,567,913	3,596,411	3,625,398	Deposits y/y growth	1.3%	3.6%	1.0%	0.5%	0.5%
Gross Loans	2,404,285	2,350,671	2,384,976	2,429,499	2,480,633	Net interest income y/y growth	3.8%	(8.0%)	(12.8%)	0.4%	1.1%
Avg. IBL	2,792,219	2,887,514	2,980,579	3,006,270	3,026,436	Revenues y/y growth	1.2%	(0.9%)	(11.3%)	1.9%	2.1%
LLR	(148,549)	(145,301)	(142,041)	(137,605)	(133,129)	Adj. EPS y/y growth	1.0%	8.1%	(22.6%)	10.1%	3.7%
NPLs	97,610	96,165	98,516	98,516	96,086	BVPS y/y growth	2.2%	1.4%	(0.2%)	1.5%	1.5%
P/BV (x)	1.0	1.0	1.0	1.0	1.0	IE assets/Assets	97.9%	99.1%	97.3%	97.2%	97.2%
Adj. P/E (x)	11.1	10.3	13.3	12.1	11.7	Margins (as % of Avg. Assets)	3.7%	3.4%	2.8%	2.8%	2.8%
Dividend yield	7.2%	7.8%	6.8%	7.0%	7.3%	LLP/Loans	(1.8%)	(1.7%)	(1.6%)	(1.5%)	(1.5%)
Dividend payout	80.0%	80.0%	90.0%	85.0%	85.0%	Equity/Assets	14.0%	13.8%	13.5%	13.5%	13.5%
						Cost/Assets	2.1%	1.9%	1.8%	1.8%	1.8%
						Assets/Equity	7.2	7.3	7.4	7.4	7.4

Source: Company reports and J.P. Morgan estimates.

Note: Bt in millions (except per-share data). Fiscal year ends Dec

Neutral

KBANK.BK, KBANK TB
Price (02 Apr 26):Bt192.00

▼ **Price Target (Dec-26):Bt200.00**
Prior (Dec-26):Bt210.00

APAC Banks

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J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Bt)	19.46	17.89	-8.1%
Adj. EPS - 27E (Bt)	21.60	22.61	4.7%

Quarterly Forecasts (FYE Dec)

Adj. EPS (Bt)	2025A	2026E	2027E
Q1	5.82	4.90	
Q2	5.27	4.56	
Q3	5.49	4.50	
Q4	4.35	3.90	
FY	20.98	17.89	22.61

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	14	9	5	5	5
Growth	66	59	42	68	68
Momentum	42	33	16	72	11
Quality	51	46	31	68	59
Low Vol	11	5	3	35	66
ESGQ	2	15	15	-	12

Kasikornbank PCL

High CASA a risk for NIMs; buyback a positive

KBank has delivered impressive RoA shifts over the last few years, and has now delivered quite well on payout and buyback over the last 18M. Part of this capital return may also have been driven by the increased stake in the bank by Gulf. If Gulf is able to get approval from BoT to increase its stake beyond 10%, it could be quite a bullish outcome for the stock. Yet, the timing remains uncertain, and we expect 10% negative revisions from the Street in the near term. Hence, we continue to stay Neutral on the stock.

Valuation

Table 39: KBANK: Valuation

	Core Net (Bt mn)	Core EPS (Bt)	P/E (x)	BVPS (Bt)	P/B (x)	Dividend (Bt)	Div Yld (%)	Core RoA (%)	Core RoRWA (%)	Core RoE (%)
2021	38,053	15.8	12.2	195	0.99	3.3	1.7%	0.98%	1.51%	8.6%
2022	35,770	14.8	13.0	206	0.93	4.0	2.1%	0.86%	1.33%	7.5%
2023	42,405	17.6	10.9	218	0.88	6.5	3.4%	0.99%	1.54%	8.4%
2024	57,920	24.1	8.0	233	0.82	12.0	6.3%	1.34%	2.08%	10.8%
2025	49,565	20.7	9.3	240	0.80	14.0	7.3%	1.11%	1.84%	8.9%
2026E	41,422	17.6	10.9	246	0.78	14.0	7.3%	0.90%	1.58%	7.4%
2027E	50,903	22.3	8.6	255	0.75	15.0	7.8%	1.10%	1.89%	9.0%
2028E	58,463	26.2	7.3	268	0.72	17.0	8.9%	1.24%	2.10%	10.1%
	Price (Bt)	192.00	Number of shares (mn)			2,356	Market Cap (THB mn)			452,334
Normalised RoE			PB based Valuation				PE based Valuation			
NIM (on avg. assets)	2.73%	Risk-free rate		3.5%		Fair PE		8.7x		
Non-IR/revenues	32.5%	Cost of capital		10.7%		12m Rolling EPS		Bt 18.8		
Cost/income	44.0%	Long term growth		2.5%		PE based Dec-26E Fair Value		Bt 163		
Operating RoA	2.27%	Fair PB		0.75x		Implied Value of Growth				
LLP/Loans	-1.40%	PV of Terminal Value		Bt 166.8		12m Rolling EPS		Bt 18.8		
Net RoAA	1.07%	PV of Dividends		Bt 13.0		Capitalized Value		Bt 175.5		
Equity/Assets	12.3%	PV of today's Fair Value		Bt 179.8		Value of Growth		Bt 16.5		
Normalised RoE	8.7%	PB based Dec-26E Fair Value		Bt 199		Attributable to Growth		8.6%		

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 2nd Apr, 2026.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Annual Earnings

Table 40: KBANK: Annual P&L

Bt in mn	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Interest Income	119,337	123,922	130,178	127,592	135,414	151,332	183,608	188,069	173,625	158,673	159,819	163,393
Interest Expense	(25,176)	(25,384)	(27,490)	(18,570)	(16,024)	(18,334)	(35,164)	(40,064)	(36,473)	(33,866)	(33,893)	(33,354)
Net Interest Income	94,161	98,538	102,688	109,022	119,390	132,998	148,444	148,005	137,152	124,807	125,927	130,040
Non-Interest Income	62,695	56,945	57,803	45,869	43,958	40,259	44,210	50,240	57,648	57,502	61,148	64,645
Net Fee income	41,306	38,117	36,740	33,004	35,316	32,882	31,181	33,434	35,389	38,574	41,660	44,993
Trading income	11,900	11,655	16,774	9,428	6,356	4,923	11,536	13,247	16,339	13,600	14,000	14,000
Other operating income	9,490	7,172	4,289	3,437	2,286	2,454	1,493	3,560	5,920	5,328	5,488	5,653
Total Revenues	156,856	155,483	160,491	154,891	163,349	173,258	192,654	198,245	194,800	182,309	187,074	194,685
Costs	(65,695)	(67,609)	(71,584)	(68,871)	(69,822)	(73,672)	(83,687)	(77,845)	(84,200)	(82,623)	(82,622)	(82,830)
PPOP	91,161	87,874	88,908	86,020	93,527	99,585	108,967	120,400	110,600	99,686	104,452	111,855
Loan loss provisions	(41,810)	(32,532)	(34,012)	(43,548)	(40,332)	(51,919)	(51,840)	(47,251)	(40,312)	(39,820)	(32,747)	(30,710)
Other provisions	(677)	(739)	(1,146)	(1,125)	(1,222)	(1,081)	(1,282)	(406)	(649)	(649)	(649)	(649)
Pre-Tax	48,674	54,603	53,750	41,347	51,973	46,585	55,845	72,743	69,640	59,217	71,057	80,497
Tax	(9,028)	(10,395)	(10,309)	(7,656)	(9,729)	(8,633)	(10,778)	(12,402)	(13,871)	(11,795)	(14,154)	(16,034)
Profit before MI	39,646	44,209	43,441	33,691	42,244	37,953	45,067	60,341	55,768	47,422	56,903	64,463
MI & EO	(5,308)	(5,749)	(4,714)	(4,203)	(4,192)	(2,183)	(2,662)	(2,421)	(6,204)	(6,000)	(6,000)	(6,000)
Attributable profit	34,338	38,460	38,727	29,487	38,053	35,770	42,405	57,920	49,565	41,422	50,903	58,463
Reported profit	34,338	38,460	38,727	29,487	38,053	35,770	42,405	57,920	49,565	41,422	50,903	58,463

Source: Company reports and J.P. Morgan estimates.

Table 41: KBANK: Annual DuPont

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
NIM (% of avg. IEA)	3.45%	3.40%	3.31%	3.27%	3.21%	3.33%	3.66%	3.60%	3.23%	2.85%	2.84%	2.89%
IEA/Assets	95.0%	95.8%	96.2%	96.0%	96.0%	95.7%	95.2%	95.4%	95.4%	95.5%	95.5%	95.5%
Margins (% of avg. Assets)	3.28%	3.25%	3.18%	3.14%	3.08%	3.19%	3.48%	3.43%	3.08%	2.72%	2.71%	2.76%
Non-IR contribution	40.0%	36.6%	36.0%	29.6%	26.9%	23.2%	22.9%	25.3%	29.6%	31.5%	32.7%	33.2%
Non-IR/Avg. Assets	2.18%	1.88%	1.79%	1.32%	1.13%	0.96%	1.04%	1.17%	1.30%	1.25%	1.32%	1.37%
Revenue/Assets	5.46%	5.13%	4.98%	4.46%	4.21%	4.15%	4.52%	4.60%	4.38%	3.98%	4.03%	4.13%
Cost/Income	41.9%	43.5%	44.6%	44.5%	42.7%	42.5%	43.4%	39.3%	43.2%	45.3%	44.2%	42.5%
C/Assets	2.29%	2.23%	2.22%	1.98%	1.80%	1.76%	1.96%	1.81%	1.89%	1.80%	1.78%	1.76%
Pre-Provision ROA	3.17%	2.90%	2.76%	2.47%	2.41%	2.39%	2.55%	2.79%	2.49%	2.18%	2.25%	2.37%
LLP/Loans	-2.39%	-1.75%	-1.74%	-2.05%	-1.73%	-2.11%	-2.08%	-1.90%	-1.63%	-1.60%	-1.30%	-1.20%
Loan/Assets	60.9%	61.4%	60.7%	61.1%	60.1%	58.9%	58.4%	57.7%	55.7%	54.3%	54.3%	54.3%
Pre-Tax ROA	1.69%	1.80%	1.67%	1.19%	1.34%	1.12%	1.31%	1.69%	1.57%	1.29%	1.53%	1.71%
Tax Rate	-18.5%	-19.0%	-19.2%	-18.5%	-18.7%	-18.5%	-19.3%	-17.0%	-19.9%	-19.9%	-19.9%	-19.9%
ROA	1.20%	1.27%	1.20%	0.85%	0.98%	0.86%	0.99%	1.34%	1.11%	0.90%	1.10%	1.24%
RoRWA	1.82%	1.91%	1.80%	1.28%	1.51%	1.33%	1.54%	2.08%	1.84%	1.58%	1.89%	2.10%
Equity/Assets	11.7%	12.0%	12.1%	11.9%	11.4%	11.4%	11.8%	12.4%	12.6%	12.3%	12.1%	12.2%
ROE	10.2%	10.6%	9.9%	7.1%	8.6%	7.5%	8.4%	10.8%	8.9%	7.4%	9.0%	10.1%

Source: Company reports and J.P. Morgan estimates.

Quarterly Earnings

Table 42: KBANK: Quarterly P&L

Bt in mn	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	48,641	47,766	46,874	44,787	44,962	43,938	43,059	41,665	40,808	39,453	39,217	39,195
Interest Expense	(10,113)	(10,298)	(9,838)	(9,815)	(9,537)	(9,283)	(8,901)	(8,752)	(8,700)	(8,481)	(8,430)	(8,256)
Net Interest Income	38,528	37,468	37,036	34,972	35,425	34,655	34,158	32,913	32,108	30,972	30,787	30,939
Non-Interest Income	11,624	12,961	11,644	14,011	13,677	13,944	15,087	14,939	14,368	14,461	14,432	14,241
Net Fee income	8,299	8,078	8,432	8,625	8,433	8,216	9,328	9,412	9,318	9,411	9,882	9,963
Trading income	3,155	3,164	3,727	3,201	4,361	3,893	4,675	3,411	3,650	3,650	3,150	3,150
Other operating income	170	1,720	(516)	2,186	884	1,836	1,084	2,116	1,400	1,400	1,400	1,128
Total Revenues	50,152	50,429	48,680	48,984	49,103	48,599	49,245	47,852	46,476	45,433	45,219	45,180
Costs	(20,682)	(21,773)	(21,361)	(14,029)	(20,019)	(20,684)	(20,833)	(22,664)	(20,176)	(20,226)	(20,290)	(21,932)
PPOP	29,470	28,656	27,319	34,955	29,084	27,915	28,413	25,188	26,300	25,208	24,930	23,248
Loan loss provisions	(11,684)	(11,672)	(11,652)	(12,242)	(9,818)	(10,050)	(10,179)	(10,265)	(9,915)	(9,931)	(9,946)	(10,029)
Other provisions	(31)	(115)	(140)	(120)	(33)	(119)	(132)	(364)	(150)	(150)	(150)	(199)
Pre-Tax	17,755	16,869	15,527	22,592	19,233	17,746	18,101	14,560	16,235	15,127	14,834	13,021
Tax	(3,403)	(3,224)	(3,203)	(2,572)	(3,977)	(3,482)	(3,603)	(2,809)	(3,231)	(3,010)	(2,952)	(2,602)
Profit before MI	14,352	13,644	12,324	20,020	15,256	14,263	14,498	11,751	13,004	12,117	11,882	10,419
MI and EO	(867)	(991)	(358)	(205)	(1,465)	(1,776)	(1,491)	(1,473)	(1,500)	(1,500)	(1,500)	(1,500)
Attributable profit	13,486	12,653	11,966	19,815	13,791	12,488	13,007	10,278	11,504	10,617	10,382	8,919
Reported profit	13,486	12,653	11,966	19,815	13,791	12,488	13,007	10,278	11,504	10,617	10,382	8,919

Source: Company reports and J.P. Morgan estimates.

Table 43: KBANK: Quarterly DuPont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	3.76%	3.67%	3.61%	3.38%	3.39%	3.31%	3.24%	3.06%	2.95%	2.84%	2.81%	2.82%
IEA/Assets	95.3%	95.4%	95.3%	95.1%	96.1%	96.0%	95.7%	95.6%	95.5%	95.5%	95.4%	95.5%
Margins (% of avg. Ass)	3.58%	3.50%	3.44%	3.21%	3.26%	3.18%	3.10%	2.93%	2.82%	2.71%	2.68%	2.69%
Non-IR contribution	23.2%	25.7%	23.9%	28.6%	27.9%	28.7%	30.6%	31.2%	30.9%	31.8%	31.9%	31.5%
Non-IR/Avg. Assets	1.08%	1.21%	1.08%	1.29%	1.26%	1.28%	1.37%	1.33%	1.26%	1.27%	1.26%	1.24%
Revenue/Assets	4.66%	4.71%	4.52%	4.50%	4.52%	4.45%	4.47%	4.26%	4.08%	3.98%	3.94%	3.93%
Cost/Income	41.2%	43.2%	43.9%	28.6%	40.8%	42.6%	42.3%	47.4%	43.4%	44.5%	44.9%	48.5%
C/Assets	1.92%	2.03%	1.98%	1.29%	1.84%	1.90%	1.89%	2.02%	1.77%	1.77%	1.77%	1.91%
Pre-Provision ROA	2.74%	2.68%	2.54%	3.21%	2.68%	2.56%	2.58%	2.24%	2.31%	2.21%	2.17%	2.02%
LLP/Loans	-1.89%	-1.89%	-1.89%	-1.99%	-1.60%	-1.65%	-1.68%	-1.68%	-1.60%	-1.60%	-1.60%	-1.61%
Loan/Assets	57.6%	57.8%	57.1%	56.5%	56.5%	55.8%	55.0%	54.4%	54.4%	54.4%	54.2%	54.2%
Pre-Tax ROA	1.65%	1.58%	1.44%	2.08%	1.77%	1.63%	1.64%	1.29%	1.42%	1.32%	1.29%	1.13%
Tax rate	19.2%	19.1%	20.6%	11.4%	20.7%	19.6%	19.9%	19.3%	19.9%	19.9%	19.9%	20.0%
ROA	1.25%	1.18%	1.11%	1.82%	1.27%	1.14%	1.18%	0.91%	1.01%	0.93%	0.91%	0.78%
RoRWA	1.94%	1.81%	1.72%	2.85%	1.97%	1.80%	1.87%	1.53%	1.78%	1.64%	1.60%	1.36%
Equity/Assets	12.2%	12.4%	12.4%	12.5%	13.0%	13.0%	12.8%	12.6%	12.3%	12.2%	12.3%	12.2%
ROE	10.3%	9.5%	9.0%	14.6%	9.8%	8.8%	9.2%	7.2%	8.2%	7.6%	7.4%	6.3%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	-1.3%	-2.5%	-1.3%	17.1%
Rel	-17.7%	-2.5%	-17.6%	-7.9%

Company Data

Shares O/S (mn)	2,351
52-week range (Bt)	208.00-142.79
Market cap (\$ mn)	13,841
Exchange rate	32.61
Free float (%)	79.1%
3M ADV (mn)	18.54
3M ADV (\$ mn)	109.8
Volatility (90 Day)	20
Index	SET
BBG ANR (Buy Hold Sell)	13 11 2

Key Metrics (FYE Dec)

Bt in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	137,152	124,807	125,927	130,040
Non interest income	57,648	57,502	61,148	64,645
Operating expenses	(84,200)	(82,623)	(82,622)	(82,830)
Adj. PPOP	110,601	99,686	104,452	111,855
Provision for loan losses	(40,312)	(39,820)	(32,747)	(30,710)
Adj. PBT	69,640	59,217	71,057	80,497
Adj. net income	49,565	41,422	50,903	58,463
Adj. EPS	20.98	17.89	22.61	26.52
BBG EPS	20.97	19.43	20.42	21.45
DPS	14.00	14.00	15.00	17.00
Loans	2,333,650	2,355,153	2,396,252	2,442,518
Deposits	2,850,387	2,886,892	2,929,560	2,977,268
Total Assets	4,539,498	4,587,038	4,658,991	4,742,244
Margins and Growth				
NIM	3.2%	2.9%	2.8%	2.9%
Ratios				
Loan/ Deposit ratio	81.9%	81.6%	81.8%	82.0%
NPL / Loans	3.7%	3.9%	3.8%	3.8%
Coverage	155.5%	150.3%	145.4%	143.1%
CET 1	18.4%	18.8%	18.9%	19.2%
Non-int. income/ Income	29.6%	31.5%	32.7%	33.2%
Cost/Income	43.2%	45.3%	44.2%	42.5%
LLP/Loans	(1.6%)	(1.6%)	(1.3%)	(1.2%)
ROA	1.1%	0.9%	1.1%	1.2%
ROE	8.9%	7.4%	9.0%	10.1%
Valuation				
Dividend yield	7.3%	7.3%	7.8%	8.9%
Adj. P/E	9.2	10.7	8.5	7.2
P/ BV	0.8	0.8	0.8	0.7

Summary Investment Thesis and Valuation

Investment Thesis

We are Neutral on KBank.

- The stock has been one of the best performers in the last 12M on the back of improved payout ratios, as well as a degree of optimism from the increase in the GULF stake. These factors appear to be fairly reflected in current valuations. The key risk from here is negative revisions due to NIM compression as well as lower treasury income. We forecast a 9% decrease in NII in 2026.
- The bank has postponed the 'double-digit' RoE target to a later date, as the RoA erosion from weaker revenues is unlikely to be offset by higher leverage. Basically, capital management (payouts and buybacks) would not be enough to get the bank to 10% RoE in 2026/27. However, if the bank extends its buyback scheme post the completion of the Bt8.8bn scheme in May, we expect positive revisions to follow.

Valuation

Our Dec-26 PT of Bt200 is based on a two-stage DDM valuation with a risk-free rate of 3.5%, cost of capital of 10.7%, and terminal growth rate of 2.5%. We use a fair P/BV multiple of 0.75x with a normalized ROE of 8.7%.

Performance Drivers

Market	1%
Region	13%
Macro	20%
Style	7%
Idiosyn.	59%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.03	0.21
Region: Thailand	0.34	0.38
Macro:		
JP Morgan EMBI Global Spread	-0.29	-0.28
Generic 1st 'CO' Future	-0.06	-0.26
JPM Forecast Revision EM	0.48	0.16
Quant Styles:		
Quality	0.09	0.22
LowVol	0.08	0.10
Growth	0.02	0.10

Investment Thesis, Valuation and Risks

Kasikornbank PCL (Neutral; Price Target: Bt200.00)

Investment Thesis

We are Neutral on KBank.

- The stock has been one of the best performers in the last 12M on the back of improved payout ratios, as well as a degree of optimism from the increase in the GULF stake. These factors appear to be fairly reflected in current valuations. The key risk from here is negative revisions due to NIM compression as well as lower treasury income. We forecast a 9% decrease in NII in 2026.
- The bank has postponed the 'double-digit' RoE target to a later date, as the RoA erosion from weaker revenues is unlikely to be offset by higher leverage. Basically, capital management (payouts and buybacks) would not be enough to get the bank to 10% RoE in 2026/27. However, if the bank extends its buyback scheme post the completion of Bt8.8bn scheme in May, we expect positive revisions to follow.
- RWA growth at the bank is limited, which has led to consistent capital accumulation. Accordingly, the bank announced a share buyback scheme of up to Bt8,800mn. These buybacks are accretive for BVPS, given sub-book valuations.
- With nominal GDP growth for the country running at ~2%, it is quite difficult to build a scenario where the retained capital can be used to deliver significant balance sheet growth. Hence, consistent capital management is likely.
- The recently announced restructuring scheme offers visibility on asset quality holding up for 12-24 months. We forecast credit costs of 160/130/120 bps in 2026/27/28, vs 160bps in 2025. SME loans comprise 13% of assets, down from 30% 15 years ago. Further, the bank has unwound low RoRWA businesses in the past two years (high-yield consumer finance), which lends credence to the outlook for improving asset quality.
- The CASA franchise for KBank (82%) is due to its strong branch network and best-in-class mobile application (KPLUS). However, the limited ability to lower CASA rates further poses NIM risks in an interest rate cut environment.
- KBank's measured approach to digital changes gives us confidence in its ability to execute the digital strategy. The bank is well positioned in terms of its tech stack, product offerings, as well as building investments in the Web 3.0 space. However, these shifts will take time to show up in the bottom line.

Valuation

Our Dec-26 PT of Bt200 is based on a two-stage DDM valuation with a risk-free rate of 3.5%, cost of capital of 10.7%, and terminal growth rate of 2.5%. We use a fair P/BV multiple of 0.75x with a normalized ROE of 8.7%.

Risks to Rating and Price Target

Key upside risks include: 1) Further increases in buyback could pose upside risks to the stock. 2) Sharp improvement in NPL formation, along with an improvement in disclosures around NPL formation and clean-up. 3) Lower-than-expected rate transmission on loans, with the ability to cut deposit rates further.

Key downside risks include: 1) Consistent asset quality deterioration, leading to higher-than-expected credit costs. 2) High NIM/EPS impact from rate cuts and debt restructuring. 3) Lower-than-expected dividend payout. 4) Corporate defaults, or a sharp downturn in the broader cohort (SME, unsecured consumer) is a risk. Yet, KBank has been quite diligent in cleaning up the book (especially unsecured PL), and NPL formation has slowed. Hence, we rate this risk as quite low. 5) Macro-prudential tightening and increasing consumer protection risk from the regulator may weigh on loan growth and non-interest income.

Kasikornbank PCL: Summary of Financials

Income Statement						Balance Sheet					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	188,069	173,625	158,673	159,819	163,393	Deposits with banks	568,750	613,910	570,834	529,973	491,912
Interest expense	(40,064)	(36,473)	(33,866)	(33,893)	(33,354)	Net loans	2,351,989	2,333,650	2,355,153	2,396,252	2,442,518
Net interest income	148,005	137,152	124,807	125,927	130,040	PP&E	114,151	117,412	119,168	120,360	121,563
Non interest income	50,240	57,648	57,502	61,148	64,645	Net intangibles	39,385	38,719	39,061	39,267	39,327
o/w Fee income	33,434	35,389	38,574	41,660	44,993	LT investments	1,134,779	1,316,408	1,382,228	1,451,339	1,523,906
o/w Trading income	13,247	16,339	13,600	14,000	14,000	Other assets	115,240	119,400	120,594	121,800	123,018
Net revenues	198,245	194,800	182,309	187,074	194,685	Total assets	4,324,294	4,539,498	4,587,038	4,658,991	4,742,244
Non interest expense	(77,845)	(84,200)	(82,623)	(82,622)	(82,830)	Interest earning assets	4,187,224	4,406,965	4,453,882	4,518,466	4,596,964
o/w Employee costs	(41,642)	(43,122)	(41,397)	(41,190)	(41,190)	Deposits	2,718,675	2,850,387	2,886,892	2,929,560	2,977,268
Pre-Prov. Profits	120,400	110,601	99,686	104,452	111,855	Borrowings	239,478	271,960	281,549	291,495	301,813
Provisions	(47,251)	(40,312)	(39,820)	(32,747)	(30,710)	Other liabilities	752,688	778,053	785,678	793,379	801,157
Adj. PBT	72,743	69,640	59,217	71,057	80,497	Total liabilities	3,710,841	3,900,399	3,954,118	4,014,435	4,080,239
Income taxes	(12,402)	(13,871)	(11,795)	(14,154)	(16,034)	Shareholder equity	553,176	565,597	558,652	568,704	584,749
Minority interest	(2,421)	(6,204)	(6,000)	(6,000)	(6,000)	Minority interests	76,937	92,622	92,622	92,622	92,622
Adj. Net profit	57,920	49,565	41,422	50,903	58,463	Total liabilities and Shareholder equity	4,340,954	4,558,618	4,605,392	4,675,760	4,757,610
PPOP per share	50.82	46.81	43.05	46.39	50.75	Interest bearing liabilities	2,958,153	3,122,346	3,168,441	3,221,055	3,279,081
Reported EPS	24.45	20.98	17.89	22.61	26.52	Book Value Per Share	233.47	240.08	245.55	255.27	268.17
Adj. EPS	24.45	20.98	17.89	22.61	26.52	Tangible Book Value Per Share	233.47	240.08	245.55	255.27	268.17
DPS	12.00	14.00	14.00	15.00	17.00	Asset Quality/Capital					
Diluted shares outstanding	2,369	2,363	2,316	2,251	2,204	Loan loss reserves/Loans	(5.3%)	(5.8%)	(5.8%)	(5.6%)	(5.4%)
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	NPLs/Loans	3.7%	3.7%	3.9%	3.8%	3.8%
Loans/Deposits	86.5%	81.9%	81.6%	81.8%	82.0%	Loan loss reserves/NPLs	144.8%	149.9%	152.9%	147.9%	144.2%
Investment/Assets	25.1%	27.7%	29.6%	30.6%	31.6%	NPL y/y growth	(0.8%)	0.7%	5.4%	0.0%	0.0%
Loan/Assets	57.9%	56.0%	54.5%	54.5%	54.4%	Tier 1 ratio	18.4%	18.4%	18.8%	18.9%	19.2%
Customer deposits/Liabilities	73.3%	73.1%	73.0%	73.0%	73.0%	CAR	20.4%	20.4%	20.8%	20.8%	21.0%
LT debt/Liabilities	6.7%	6.7%	7.0%	7.2%	7.3%	Ratio Analysis (%)					
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Return on equity (ROE)	10.8%	8.9%	7.4%	9.0%	10.1%
Net interest margin	3.6%	3.2%	2.9%	2.8%	2.9%	Return on assets (ROA)	1.3%	1.1%	0.9%	1.1%	1.2%
Non interest income/Net revenue	25.3%	29.6%	31.5%	32.7%	33.2%	Operating ROA	1.7%	1.6%	1.3%	1.6%	1.7%
Non interest income/Avg. Assets	1.2%	1.3%	1.3%	1.3%	1.4%	Pre-Tax ROA	1.7%	1.6%	1.3%	1.5%	1.7%
Efficiency ratio	39.3%	43.2%	45.3%	44.2%	42.5%	Pre-Provision ROA	2.8%	2.5%	2.2%	2.3%	2.4%
Leverage ratio	12.0%	10.7%	11.0%	11.2%	11.6%	Tax rate	17.0%	19.9%	19.9%	19.9%	19.9%
Revenue/Assets	4.6%	4.4%	4.0%	4.0%	4.1%	Net loans y/y growth	(0.2%)	(0.8%)	0.9%	1.7%	1.9%
RORWA	2.1%	1.8%	1.6%	1.9%	2.1%	Assets y/y growth	1.3%	5.0%	1.0%	1.6%	1.8%
RWA	2,807,565	2,581,784	2,654,329	2,741,643	2,837,212	RWA y/y growth	1.3%	(8.0%)	2.8%	3.3%	3.5%
Avg. RWA	2,789,347	2,694,675	2,618,056	2,697,986	2,789,427	Deposits y/y growth	0.7%	4.8%	1.3%	1.5%	1.6%
Avg. IEA	4,111,744	4,247,060	4,376,375	4,432,126	4,503,667	Net interest income y/y growth	(0.3%)	(7.3%)	(9.0%)	0.9%	3.3%
Gross Loans	2,483,695	2,476,647	2,500,820	2,537,153	2,581,146	Revenues y/y growth	2.9%	(1.7%)	(6.4%)	2.6%	4.1%
Avg. IBL	2,959,247	3,040,250	3,145,393	3,194,748	3,250,068	Adj. EPS y/y growth	36.6%	(14.2%)	(14.7%)	26.4%	17.3%
LLR	(131,706)	(142,997)	(145,667)	(140,902)	(138,628)	BVPS y/y growth	7.1%	2.8%	2.3%	4.0%	5.1%
NPLs	91,309	91,950	96,903	96,903	96,903	IE assets/Assets	95.7%	95.8%	95.9%	95.9%	95.8%
P/BV (x)	0.8	0.8	0.8	0.8	0.7	Margins (as % of Avg. Assets)	3.4%	3.1%	2.7%	2.7%	2.7%
Adj. P/E (x)	7.9	9.2	10.7	8.5	7.2	LLP/Loans	(1.9%)	(1.6%)	(1.6%)	(1.3%)	(1.2%)
Dividend yield	6.3%	7.3%	7.3%	7.8%	8.9%	Equity/Assets	12.5%	12.6%	12.3%	12.2%	12.3%
Dividend payout	49.1%	66.7%	78.3%	66.3%	64.1%	Cost/Assets	1.8%	1.9%	1.8%	1.8%	1.8%
						Assets/Equity	8.0	7.9	8.1	8.2	8.2

Source: Company reports and J.P. Morgan estimates.

Note: Bt in millions (except per-share data). Fiscal year ends Dec

▼ Underweight

Previous: Overweight

KTB.BK, KTB TB

Price (02 Apr 26):Bt35.50

▲ **Price Target (Dec-26):Bt32.00**

Prior (Dec-26):Bt31.00

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Bt)	4.18	3.08	-26.4%
Adj. EPS - 27E (Bt)	3.92	3.28	-16.4%

Quarterly Forecasts (FYE Dec)

Adj. EPS (Bt)	2025A	2026E	2027E
Q1	0.84	0.84	
Q2	0.80	0.78	
Q3	1.05	0.78	
Q4	0.77	0.68	
FY	3.45	3.08	3.28

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	59	29	25	18	16
Growth	64	68	61	57	92
Momentum	11	20	5	5	70
Quality	42	42	46	61	81
Low Vol	20	20	18	29	20
ESGQ	29	21	12	27	96

Krung Thai Bank

Valuations at book and negative revisions to weigh in the near term, downgrade to UW

KTB has delivered one of the most impressive turnarounds amongst large Thai banks in the last few years. This is duly reflected in sharply higher ROE as well as re-rating. Yet, as the likelihood of easing and rate transmission increases, on back of weaker growth, we expect 5% negative revisions for this year. Further, a decline in Thai Air's stock price also reduces the one-off gains. KTB's loan book has improved, with a higher proportion of government-related loans. Yet, amid broad economic weakness, credit costs should increase. This combination of weaker PPoP and AQ amidst close to 1x PB should lead to partial reversal of recent outperformance. Hence, we downgrade the stock to UW.

Valuation

Table 44: KTB: Valuation

	Core Profit (Bt mn)	Core EPS (Bt)	P/E (x)	BVPS (Bt)	P/B (x)	Dividend (Bt)	Div Yld (%)	Core RoA (%)	Core RoRWA (%)	Core RoE (%)
2021	21,588	1.54	23.0	25.8	1.38	0.42	1.2%	0.63%	1.06%	6.1%
2022	33,698	2.41	14.7	26.9	1.32	0.68	1.9%	0.94%	1.61%	9.2%
2023	36,616	2.62	13.6	28.8	1.23	0.87	2.4%	1.01%	1.72%	9.4%
2024	43,856	3.14	11.3	31.8	1.12	1.55	4.4%	1.18%	2.07%	10.4%
2025	48,229	3.45	10.3	33.2	1.07	2.67	7.5%	1.26%	2.28%	10.6%
2026E	38,123	2.73	13.0	33.6	1.06	2.67	7.5%	0.96%	1.75%	8.2%
2027E	45,598	3.28	10.8	34.0	1.04	2.67	7.5%	1.13%	2.02%	9.7%
2028E	51,276	3.69	9.6	34.7	1.02	2.67	7.5%	1.24%	2.20%	10.7%

Price (Bt)	35.50	Number of shares (mn)	13,982	Market Cap (THB mn)	496,345
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Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	2.39%	Risk-free rate	3.5%	Fair PE	9.1x
Non-IR/revenues	34.4%	Cost of capital	10.7%	12m Rolling EPS	Bt 3.1
Cost/income	42.0%	Long term growth	2.50%	PE based current Fair Value	Bt 28.4
Operating RoA	2.12%	Fair PB	0.89x	Implied Value of Growth	
LLP/Loans	-0.80%	PV of Terminal Value	Bt 27.0	12m Rolling EPS	Bt 3.1
Net RoAA	1.13%	PV of Dividends	Bt 2.5	Capitalized Value	Bt 29.2
Equity/Assets	11.5%	PV of today's Fair Value	Bt 29.4	Value of Growth	Bt 6.3
Normalised RoE	9.8%	PB based Dec-26 Fair Value	Bt 32.6	Attributable to Growth	17.7%

Source: Company reports and J.P. Morgan estimates.

Annual Earnings

Table 45: KTB: Annual P&L

Bt mn	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Interest Income	119,072	112,837	104,832	113,475	152,369	165,105	147,807	132,066	134,025	138,431
Interest Expense	(34,655)	(24,494)	(21,460)	(23,070)	(38,950)	(45,990)	(42,026)	(37,437)	(37,485)	(38,598)
Net Interest Income	84,417	88,343	83,372	90,405	113,419	119,115	105,781	94,629	96,541	99,833
Non-Interest Income	37,341	33,905	32,414	34,986	36,046	39,988	54,847	48,197	51,167	53,443
Net Fee income	23,238	20,528	20,022	20,316	20,872	22,282	22,957	24,105	25,551	27,084
Trading income	7,568	4,085	4,178	5,471	5,373	5,594	16,995	7,708	7,593	6,894
Other operating income	6,536	9,291	8,214	9,199	9,800	12,111	14,895	16,385	18,023	19,465
Total Revenues	121,758	122,248	115,786	125,391	149,465	159,103	160,628	142,826	147,708	153,275
Costs	(52,880)	(51,926)	(50,646)	(53,458)	(57,607)	(63,033)	(60,982)	(60,982)	(62,081)	(63,323)
PPOP	68,878	70,321	65,140	71,933	91,858	96,070	99,647	81,844	85,626	89,952
Loan loss provisions	(23,814)	(44,903)	(32,524)	(24,338)	(37,085)	(31,070)	(30,760)	(27,331)	(22,293)	(20,039)
Other provisions	(7,219)	(1,538)	(2,084)	(1,313)	(4,549)	(5,745)	(3,785)	(2,000)	(1,500)	(1,000)
Pre-Tax	37,846	23,880	30,532	46,283	50,223	59,255	65,101	52,513	61,833	68,913
Tax	(6,928)	(4,441)	(5,975)	(9,077)	(9,902)	(11,576)	(12,880)	(10,398)	(12,243)	(13,645)
Profit before minorities	30,918	19,440	24,556	37,206	40,321	47,679	52,221	42,116	49,590	55,268
Minorities and Extra Ordinary Items	(2,854)	(2,707)	(2,968)	(3,508)	(3,705)	(3,823)	(3,992)	(3,992)	(3,992)	(3,992)
Attributable profit	28,064	16,732	21,588	33,698	36,616	43,856	48,229	38,123	45,598	51,276
Reported profit	29,284	16,732	21,588	33,698	36,616	43,856	48,229	42,938	45,598	51,276
Pref Dividends	5.0	2.4	3.1	4.6	5.6	9.3	15.5	15.5	15.5	15.5
Profit for common shareholders	29,279	16,730	21,585	33,693	36,610	43,846	48,213	42,923	45,582	51,260

Source: Company reports and J.P. Morgan estimates.

Table 46: KTB: Annual Dupont

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
NIM (% of avg. IEA)	3.07%	2.91%	2.49%	2.60%	3.22%	3.29%	2.82%	2.44%	2.44%	2.46%
IEA/Assets	95.5%	95.7%	97.1%	97.3%	97.0%	97.5%	97.6%	97.7%	97.8%	97.9%
Margins (% of avg. Assets)	2.94%	2.79%	2.42%	2.53%	3.12%	3.21%	2.76%	2.38%	2.38%	2.41%
Non-IR contribution	30.7%	27.7%	28.0%	27.9%	24.1%	25.1%	34.1%	33.7%	34.6%	34.9%
Non-IR/Avg. Assets	1.30%	1.07%	0.94%	0.98%	0.99%	1.08%	1.43%	1.21%	1.26%	1.29%
Revenue/Assets	4.23%	3.86%	3.36%	3.51%	4.11%	4.29%	4.18%	3.60%	3.65%	3.70%
Cost/Income	43.4%	42.5%	43.7%	42.6%	38.5%	39.6%	38.0%	42.7%	42.0%	41.3%
C/Assets	1.84%	1.64%	1.47%	1.50%	1.58%	1.70%	1.59%	1.54%	1.53%	1.53%
Pre-Provision ROA	2.40%	2.22%	1.89%	2.01%	2.53%	2.59%	2.60%	2.06%	2.11%	2.17%
LLP/Loans	-1.16%	-2.03%	-1.31%	-0.93%	-1.43%	-1.18%	-1.14%	-1.00%	-0.80%	-0.70%
Loan/Assets	71.5%	69.8%	72.1%	73.0%	71.1%	71.1%	70.5%	68.8%	68.8%	69.1%
Other Income/Assets	-0.3%	0.0%	-0.1%	0.0%	-0.1%	-0.2%	-0.1%	-0.1%	0.0%	0.0%
Operating ROA	1.3%	0.8%	0.9%	1.3%	1.4%	1.6%	1.7%	1.3%	1.5%	1.7%
Pre-Tax ROA	1.32%	0.75%	0.89%	1.29%	1.38%	1.60%	1.70%	1.32%	1.53%	1.66%
Tax Rate	-18.3%	-18.6%	-19.6%	-19.6%	-19.7%	-19.5%	-19.8%	-19.8%	-19.8%	-19.8%
Minorities & Outside Int.	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%
Core ROA	1.0%	0.5%	0.6%	0.9%	1.0%	1.2%	1.3%	1.0%	1.1%	1.2%
ROA	1.02%	0.53%	0.63%	0.94%	1.01%	1.18%	1.26%	1.08%	1.13%	1.24%
Core RoRWA	1.41%	0.84%	1.06%	1.61%	1.72%	2.07%	2.28%	1.75%	2.02%	2.20%
RoRWA	1.47%	0.84%	1.06%	1.61%	1.72%	2.07%	2.28%	1.97%	2.02%	2.20%
Equity/Assets	11.2%	10.8%	10.2%	10.3%	10.7%	11.4%	11.8%	11.7%	11.6%	11.5%
Core ROE	8.7%	4.9%	6.1%	9.2%	9.4%	10.4%	10.6%	8.2%	9.7%	10.7%
ROE	9.1%	4.9%	6.1%	9.2%	9.4%	10.4%	10.6%	9.2%	9.7%	10.7%

Source: Company reports and J.P. Morgan estimates.

Quarterly Earnings

Table 47: KTB: Quarterly P&L

Bt mn	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	40,881	41,471	41,528	41,225	38,672	37,502	36,336	35,297	34,191	32,629	32,569	32,677
Interest Expense	(11,320)	(11,416)	(11,643)	(11,612)	(10,829)	(10,605)	(10,465)	(10,127)	(9,661)	(9,310)	(9,224)	(9,243)
Net Interest Income	29,561	30,055	29,885	29,613	27,843	26,897	25,871	25,170	24,530	23,319	23,345	23,435
Non-Interest Income	11,141	9,394	10,672	8,781	12,444	13,274	16,655	12,474	11,327	11,705	12,263	12,901
Net Fee income	5,577	5,277	5,619	5,809	5,442	5,569	5,826	6,120	5,814	5,901	6,019	6,371
Trading income	1,898	1,531	2,198	(33)	3,740	4,326	6,427	2,502	1,700	1,800	2,000	2,208
Other operating income	3,666	2,586	2,854	3,005	3,263	3,378	4,402	3,852	3,813	4,004	4,244	4,323
Total Revenues	40,702	39,449	40,557	38,394	40,287	40,171	42,526	37,644	35,857	35,024	35,608	36,336
Costs	(13,939)	(14,827)	(17,230)	(17,037)	(14,644)	(15,652)	(15,274)	(15,412)	(14,351)	(14,639)	(15,060)	(16,932)
PPOP	26,764	24,621	23,327	21,357	25,643	24,519	27,252	22,232	21,506	20,385	20,548	19,404
Loan loss provisions	(8,029)	(8,004)	(8,312)	(6,725)	(8,223)	(8,239)	(7,202)	(7,096)	(6,722)	(6,699)	(6,768)	(7,143)
Other provisions	(3,792)	(1,610)	37	(380)	(1,648)	(1,322)	(757)	(57)	(500)	(500)	(500)	(500)
Pre-Tax	14,943	15,008	15,051	14,253	15,772	14,957	19,293	15,079	14,285	13,187	13,280	11,762
Tax	(2,936)	(2,877)	(2,958)	(2,805)	(3,177)	(2,828)	(3,647)	(3,229)	(2,828)	(2,611)	(2,629)	(2,329)
Profit before minorities	12,007	12,131	12,093	11,448	12,594	12,130	15,647	11,850	11,456	10,576	10,651	9,433
Minorities and Extra Ordinary Items	(929)	(936)	(985)	(973)	(881)	(1,008)	(1,027)	(1,077)	(950)	(950)	(950)	(1,142)
Attributable profit	11,078	11,195	11,107	10,475	11,713	11,122	14,620	10,774	10,506	9,626	9,701	8,290
One-off items	-	-	-	-	-	-	-	-	1,204	1,204	1,204	1,204
Reported profit	11,078	11,195	11,107	10,475	11,713	11,122	14,620	10,774	11,710	10,829	10,904	9,494
Profit for common shareholders	11,078	11,195	11,107	10,466	11,713	11,122	14,620	10,758	11,710	10,829	10,904	9,479

Source: Company reports and J.P. Morgan estimates.

Table 48: KTB: Quarterly Dupont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	3.31%	3.33%	3.35%	3.28%	3.08%	2.91%	2.74%	2.63%	2.55%	2.40%	2.39%	2.40%
IEA/Assets	96.7%	97.6%	97.2%	97.4%	96.4%	97.8%	98.9%	98.7%	97.6%	97.7%	97.8%	97.3%
Margins (% of avg. Assets)	3.20%	3.25%	3.26%	3.20%	2.97%	2.84%	2.71%	2.59%	2.49%	2.35%	2.34%	2.34%
Non-IR contribution	27.4%	23.8%	26.3%	22.9%	30.9%	33.0%	39.2%	33.1%	31.6%	33.4%	34.4%	35.5%
Non-IR/Avg. Assets	1.21%	1.02%	1.16%	0.95%	1.33%	1.40%	1.74%	1.28%	1.15%	1.18%	1.23%	1.29%
Revenue/Assets	4.40%	4.26%	4.42%	4.15%	4.29%	4.25%	4.45%	3.88%	3.63%	3.53%	3.56%	3.62%
Cost/Income	34.2%	37.6%	42.5%	44.4%	36.3%	39.0%	35.9%	40.9%	40.0%	41.8%	42.3%	46.6%
C/Assets	1.51%	1.60%	1.88%	1.84%	1.56%	1.66%	1.60%	1.59%	1.45%	1.47%	1.51%	1.69%
Pre-Provision ROA	2.90%	2.66%	2.54%	2.31%	2.73%	2.59%	2.85%	2.29%	2.18%	2.05%	2.06%	1.93%
LLP/Loans	-1.24%	-1.24%	-1.30%	-1.02%	-1.23%	-1.24%	-1.09%	-1.07%	-1.00%	-1.00%	-1.00%	-1.04%
Loan/Assets	70.2%	70.0%	69.8%	71.1%	71.4%	70.5%	68.9%	68.3%	68.1%	67.5%	67.7%	68.2%
Other Income/Assets	-0.4%	-0.2%	0.0%	0.0%	-0.2%	-0.1%	-0.1%	0.0%	-0.1%	-0.1%	-0.1%	0.0%
Operating ROA	1.6%	1.6%	1.6%	1.5%	1.7%	1.6%	2.0%	1.6%	1.4%	1.3%	1.3%	1.2%
Pre-Tax ROA	1.62%	1.62%	1.64%	1.54%	1.68%	1.58%	2.02%	1.55%	1.45%	1.33%	1.33%	1.17%
Tax Rate	-19.6%	-19.2%	-19.7%	-19.7%	-20.1%	-18.9%	-18.9%	-21.4%	-19.8%	-19.8%	-19.8%	-19.8%
Minorities & Outside Int.	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%	-0.1%
Core ROA	1.2%	1.2%	1.2%	1.1%	1.2%	1.2%	1.5%	1.1%	1.1%	1.0%	1.0%	0.8%
ROA	1.20%	1.21%	1.21%	1.13%	1.25%	1.18%	1.53%	1.11%	1.10%	1.00%	1.00%	0.86%
Core RoRWA	2.06%	2.08%	2.10%	2.00%	2.25%	2.14%	2.78%	2.02%	1.95%	1.78%	1.78%	1.50%
RoRWA	2.06%	2.08%	2.10%	2.00%	2.25%	2.14%	2.78%	2.02%	2.01%	1.83%	1.83%	1.56%
Equity/Assets	11.1%	11.2%	11.4%	11.8%	11.9%	11.9%	11.9%	11.9%	11.9%	12.0%	12.1%	11.9%
Core ROE	10.8%	10.8%	10.6%	9.6%	10.5%	9.9%	12.9%	9.3%	9.2%	8.3%	8.2%	7.2%
ROE	10.8%	10.8%	10.6%	9.6%	10.5%	9.9%	12.9%	9.3%	9.2%	8.3%	8.2%	7.2%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	25.7%	6.0%	25.7%	46.1%
Rel	9.3%	6.0%	9.3%	21.1%

Company Data

Shares O/S (mn)	13,976
52-week range (Bt)	36.00-19.70
Market cap (\$ mn)	15,213
Exchange rate	32.61
Free float (%)	44.4%
3M ADV (mn)	62.85
3M ADV (\$ mn)	61.6
Volatility (90 Day)	28
Index	SET
BBG ANR (Buy Hold Sell)	19 7 0

Key Metrics (FYE Dec)

Bt in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	105,781	94,629	96,541	99,833
Non interest income	54,847	48,197	51,167	53,443
Operating expenses	(60,982)	(60,982)	(62,081)	(63,323)
Adj. PPOP	99,647	81,844	85,626	89,952
Provision for loan losses	(30,760)	(27,331)	(22,293)	(20,039)
Adj. PBT	65,101	57,328	61,833	68,913
Adj. net income	48,213	42,923	45,582	51,260
Adj. EPS	3.45	3.08	3.28	3.69
BBG EPS	3.45	3.23	3.38	3.55
DPS	2.67	2.67	2.67	2.67
Loans	2,525,326	2,560,776	2,618,286	2,701,300
Deposits	2,864,171	2,909,295	2,973,561	3,051,818
Total Assets	3,908,212	3,987,531	4,066,907	4,168,410
Margins and Growth				
NIM	2.8%	2.4%	2.4%	2.5%
Ratios				
Loan/ Deposit ratio	88.2%	88.0%	88.1%	88.5%
NPL / Loans	3.4%	3.5%	3.5%	3.5%
Coverage	200.9%	203.9%	204.1%	204.3%
CET 1	20.2%	19.6%	19.4%	19.3%
Non-int. income/ Income	34.1%	33.7%	34.6%	34.9%
Cost/Income	38.0%	42.7%	42.0%	41.3%
LLP/Loans	(1.1%)	(1.0%)	(0.8%)	(0.7%)
ROA	1.3%	1.1%	1.1%	1.2%
ROE	10.6%	9.2%	9.7%	10.8%
Valuation				
Dividend yield	7.5%	7.5%	7.5%	7.5%
Adj. P/E	10.3	11.5	10.8	9.6
P/ BV	1.1	1.1	1.0	1.0

Summary Investment Thesis and Valuation

Investment Thesis

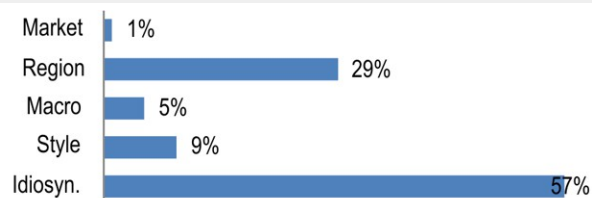
We are UW on KTB.

- The bank has increased payout to 68% in 2025, leading to re-rating (13.0x/1.06x '26 PE/PB). These multiples appear elevated as EPS revisions are at risk.
- Core non-II (ex Thai Air) should come off y/y due to lower bond gains.
- We expect DPS to stay flat at Bt 2.67 in 2026-28, leading to 7.5% DY over these three years. We assume a higher payout ratio in 2026/27, so as to keep DPS steady y/y. Buybacks are less likely as stock is close to book value.
- The bank has the second-highest LLR/Loans within the sector at 6.8%, and NPL coverage of 201%. Further, balance sheet is relatively lower-risk as SME loans have declined (10% now vs. 22% in 2015), while gov't SOE loans have increased (21% now vs 9% in 2021). Yet, in period of wide spread slowdown in economy, and higher inflation, we still expect credit costs to stay elevated.

Valuation

Our Dec-26 price target of Bt32 is based on a two-stage DDM valuation with a risk-free rate of 3.5%, cost of capital of 10.7%, and terminal growth rate of 2.5%. We use a fair P/BV multiple of 0.89x with a normalized ROE of 9.8%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.23	0.14
Region: Thailand	0.63	0.55
Macro:		
US 10 Year Yield	-0.17	0.25
JP Morgan EMBI Global Spread	-0.11	-0.16
HSI Volatility Index	-0.16	0.12
Quant Styles:		
Quality	0.33	0.28
Momentum	0.19	0.16
Growth	0.13	0.13

Investment Thesis, Valuation and Risks

Krung Thai Bank (*Underweight; Price Target: Bt32.00*)

Investment Thesis

We are UW on KTB.

- The bank has increased payout to 68% in 2025, leading to re-rating (13.0x/1.06x '26 PE/PB). These multiples appear elevated as EPS revisions are at risk.
- Core non-II (ex Thai Air) should come off y/y due to lower bond gains.
- We expect DPS to stay flat at Bt 2.67 in 2026-28, leading to 7.5% DY over these three years. We assume a higher payout ratio in 2026/27, so as to keep DPS steady y/y. Buybacks are less likely as stock is close to book value.
- The bank has the second-highest LLR/Loans within the sector at 6.8%, and NPL coverage of 201%. Further, balance sheet is relatively lower-risk as SME loans have declined (10% now vs. 22% in 2015), while gov't SOE loans have increased (21% now vs 9% in 2021). Yet, in period of wide spread slowdown in economy, and higher inflation, we still expect credit costs to stay elevated.
- We forecast credit cost of 100/80/70bps over 2026/27/28.

Valuation

Our Dec-26 price target of Bt32 is based on a two-stage DDM valuation with a risk-free rate of 3.5%, cost of capital of 10.7%, and terminal growth rate of 2.5%. We use a fair P/BV multiple of 0.89x with a normalized ROE of 9.8%.

Risks to Rating and Price Target

Upside catalysts include: (1) consistent increases in DPS; (2) a faster-than-expected mix shift away from SOE loans to commercial loans, which should support margins if credit growth in Thailand recovers; (3) better-than-expected performance at KTC leading to higher income; and (4) a better ability to monetize the digital channels.

Downside risks include: (1) a pick-up in NPLs and credit costs; (2) high opex; and (3) risk of national service.

Krung Thai Bank: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	165,105	147,807	132,066	134,025	138,431	Deposits with banks	591,664	600,707	618,679	624,478	626,464
Interest expense	(45,990)	(42,026)	(37,437)	(37,485)	(38,598)	Net loans	2,524,732	2,525,326	2,560,776	2,618,286	2,701,300
Net interest income	119,115	105,781	94,629	96,541	99,833	PP&E	57,360	52,323	50,667	50,262	49,920
Non interest income	39,988	54,847	48,197	51,167	53,443	Net intangibles	26,955	28,112	28,741	29,460	30,199
o/w Fee income	-	-	-	-	-	LT investments	422,293	587,089	610,572	622,784	635,239
o/w Trading income	-	-	-	-	-	Other assets	96,837	114,656	118,095	121,638	125,287
Net revenues	159,103	160,628	142,826	147,708	153,275	Total assets	3,719,841	3,908,212	3,987,531	4,066,907	4,168,410
Non interest expense	(63,033)	(60,982)	(60,982)	(62,081)	(63,323)	Interest earning assets	3,712,568	3,898,967	3,984,225	4,065,508	4,168,912
o/w Employee costs	(27,374)	(27,312)	(27,312)	(27,858)	(28,415)	Deposits	2,731,344	2,864,171	2,909,295	2,973,561	3,051,818
Pre-Prov. Profits	96,070	99,647	81,844	85,626	89,952	Borrowings	388,336	398,877	404,606	407,809	413,569
Provisions	(31,070)	(30,760)	(27,331)	(22,293)	(20,039)	Other liabilities	160,145	183,277	205,267	209,372	213,559
Adj. PBT	59,255	65,101	57,328	61,833	68,913	Total liabilities	3,279,826	3,446,325	3,519,169	3,590,741	3,678,946
Income taxes	(11,576)	(12,880)	(10,398)	(12,243)	(13,645)	Shareholder equity	443,810	464,201	466,271	470,800	482,210
Minority interest	(3,823)	(3,992)	(3,992)	(3,992)	(3,992)	Minority interests	20,549	22,793	25,072	27,580	30,337
Adj. Net profit	43,846	48,213	42,923	45,582	51,260	Total liabilities and Shareholder equity	3,744,184	3,933,319	4,010,512	4,089,121	4,191,494
PPOP per share	6.87	7.13	5.86	6.15	6.48	Interest bearing liabilities	3,119,680	3,263,048	3,313,901	3,381,369	3,465,387
Reported EPS	3.14	3.45	3.08	3.28	3.69	Book Value Per Share	31.76	33.21	33.46	33.89	34.71
Adj. EPS	3.14	3.45	3.08	3.28	3.69	Tangible Book Value Per Share	31.76	33.21	33.46	33.89	34.71
DPS	1.55	2.67	2.67	2.67	2.67	Asset Quality/Capital					
Diluted shares outstanding	13,976	13,976	13,955	13,913	13,892	FY24A	FY25A	FY26E	FY27E	FY28E	
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	Loan loss reserves/Loans	(6.4%)	(6.9%)	(7.0%)	(7.1%)	(7.1%)
Loans/Deposits	92.4%	88.2%	88.0%	88.1%	88.5%	NPLs/Loans	3.5%	3.4%	3.5%	3.5%	3.5%
Investment/Assets	9.8%	13.2%	15.2%	15.3%	15.3%	Loan loss reserves/NPLs	179.5%	192.2%	202.4%	204.0%	204.2%
Loan/Assets	71.5%	70.9%	69.2%	69.2%	69.5%	NPL y/y growth	(4.2%)	(2.2%)	2.9%	2.9%	2.9%
Customer deposits/Liabilities	83.3%	83.1%	82.7%	82.8%	83.0%	Tier 1 ratio	19.5%	20.2%	19.6%	19.4%	19.3%
LT debt/Liabilities	12.7%	11.7%	11.5%	11.4%	11.3%	CAR	21.4%	22.1%	21.5%	21.2%	21.1%
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	3.3%	2.8%	2.4%	2.4%	2.5%	Return on equity (ROE)	10.4%	10.6%	9.2%	9.7%	10.8%
Non interest income/Net revenue	25.1%	34.1%	33.7%	34.6%	34.9%	Return on assets (ROA)	1.2%	1.3%	1.1%	1.1%	1.2%
Non interest income/Avg. Assets	1.1%	1.4%	1.2%	1.3%	1.3%	Operating ROA	1.8%	1.8%	1.4%	1.6%	1.7%
Efficiency ratio	39.6%	38.0%	42.7%	42.0%	41.3%	Pre-Tax ROA	1.6%	1.7%	1.5%	1.5%	1.7%
Leverage ratio	11.1%	11.3%	11.1%	11.0%	11.1%	Pre-Provision ROA	2.6%	2.6%	2.1%	2.1%	2.2%
Revenue/Assets	4.3%	4.2%	3.6%	3.7%	3.7%	Tax rate	19.5%	19.8%	18.1%	19.8%	19.8%
RORWA	2.1%	2.3%	2.0%	2.0%	2.2%	Net loans y/y growth	5.1%	0.0%	1.4%	2.2%	3.2%
RWA	2,098,144	2,140,352	2,223,159	2,287,220	2,364,670	Assets y/y growth	1.8%	5.1%	2.0%	2.0%	2.5%
Avg. RWA	2,114,393	2,119,248	2,181,755	2,255,189	2,325,945	RWA y/y growth	(1.5%)	2.0%	3.9%	2.9%	3.4%
Avg. IEA	3,618,273	3,746,451	3,879,851	3,963,121	4,055,465	Deposits y/y growth	3.2%	4.9%	1.6%	2.2%	2.6%
Gross Loans	2,698,611	2,711,171	2,754,974	2,818,246	2,907,208	Net interest income y/y growth	5.0%	(11.2%)	(10.5%)	2.0%	3.4%
Avg. IBL	3,105,044	3,191,364	3,288,475	3,347,635	3,423,378	Revenues y/y growth	6.4%	1.0%	(11.1%)	3.4%	3.8%
LLR	(173,879)	(185,845)	(194,198)	(199,961)	(205,908)	Adj. EPS y/y growth	19.8%	10.0%	(10.8%)	6.5%	12.6%
NPLs	94,600	92,519	95,230	97,985	100,803	BVPS y/y growth	10.3%	4.6%	0.7%	1.3%	2.4%
P/BV (x)	1.1	1.1	1.1	1.0	1.0	IE assets/Assets	98.1%	98.2%	98.3%	98.4%	98.5%
Adj. P/E (x)	11.3	10.3	11.5	10.8	9.6	Margins (as % of Avg. Assets)	3.2%	2.7%	2.4%	2.4%	2.4%
Dividend yield	4.4%	7.5%	7.5%	7.5%	7.5%	LLP/Loans	(1.2%)	(1.1%)	(1.0%)	(0.8%)	(0.7%)
Dividend payout	49.2%	77.4%	86.8%	81.5%	72.4%	Equity/Assets	11.5%	11.9%	11.8%	11.6%	11.6%
						Cost/Assets	1.7%	1.6%	1.5%	1.5%	1.5%
						Assets/Equity	8.7	8.4	8.5	8.6	8.6

Source: Company reports and J.P. Morgan estimates.

Note: Bt in millions (except per-share data). Fiscal year ends Dec

▲ Neutral

Previous: Underweight

TISCO.BK, TISCO TB

Price (02 Apr 26):Bt113.50

▲ **Price Target (Dec-26):Bt105.00**

Prior (Dec-26):Bt100.00

APAC Banks

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.

Morgan Broking (Hong Kong) Limited

Quarterly Forecasts (FYE Dec)

Adj. EPS (Bt)	2025A	2026E	2027E
Q1	2.08	2.07	
Q2	2.06	2.16	
Q3	2.15	2.16	
Q4	2.02	2.04	
FY	8.32	8.44	9.22

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	92	79	66	46	22
Growth	27	16	51	44	48
Momentum	29	35	35	20	38
Quality	11	5	20	22	20
Low Vol	1	1	1	1	14

Tisco Financial Group PCL

High quality, and rate cut beneficiary; upgrade to N

Tisco has consistently delivered the best returns in the sector over the last decade. This is on the back of very limited growth, focus on AQ, costs and capital management. With macro conditions becoming more challenging, we expect the bank to deliver relatively better numbers, which should limit downside. Further, the lower rate environment should help Tisco's NIM, due to lower CASA. Accordingly, we upgrade the stock to Neutral.

Valuation

Table 49: Tisco: Valuation

	Core Net (Bt mn)	Core EPS (Bt)	P/E (x)	BVPS (Bt)	P/B (x)	Dividend (Bt)	Div Yld (%)	Core RoA (%)	Core RoRWA (%)	Core RoE (%)
2021	6,784	8.5	13.4	51.5	2.21	7.15	6.3%	2.6%	3.8%	16.8%
2022	7,222	9.0	12.6	53.4	2.12	7.75	6.8%	2.8%	4.0%	17.2%
2023	7,301	9.1	12.4	53.0	2.14	7.75	6.8%	2.6%	3.7%	17.1%
2024	6,901	8.6	13.2	53.8	2.11	7.75	6.8%	2.4%	3.3%	16.1%
2025	6,659	8.3	13.6	54.2	2.10	7.75	6.8%	2.3%	3.1%	15.4%
2026E	6,761	8.4	13.4	54.9	2.07	7.75	6.8%	2.3%	3.1%	15.5%
2027E	7,382	9.2	12.3	56.3	2.01	8.00	7.0%	2.5%	3.3%	16.6%
2028E	7,720	9.6	11.8	58.0	1.96	8.00	7.0%	2.5%	3.4%	16.9%
Price (Bt)		113.50	Number of shares (mn)			801	Market Cap (THB mn)			90,874
Normalised RoE			PB based Valuation			PE based Valuation				
NIM (on avg. assets)		4.76%	Risk-free rate			3.5%	Fair PE			11.2x
Non-IR/revenues		30.3%	Cost of capital			9.8%	12m Rolling EPS			Bt 8.9
Cost/income		44.5%	Long term growth			2.0%	PE based Jun-26 Fair Value			Bt 99.7
Operating RoA		3.79%	Fair PB			1.80x	Implied Value of Growth			
LLP/Loans		-1.00%	PV of Terminal Value			Bt 90.3	12m Rolling EPS			Bt 8.9
Net RoAA		2.38%	PV of Dividends			Bt 7.2	Capitalized Value			Bt 90.6
Equity/Assets		14.8%	PV of today's Fair Value			Bt 97.5	Value of Growth			Bt 22.9
Normalised RoE		16.1%	PB based Dec-26 Fair Value			Bt 107	Attributable to Growth			20.2%

Source: Company reports and J.P. Morgan estimates.

Annual Earnings

Table 50: Tisco: Annual P&L

Bt mn	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Interest Income	17,881	16,757	14,792	14,904	17,781	19,014	18,311	18,033	18,565	19,292
Interest Expense	(5,089)	(3,659)	(2,332)	(2,171)	(4,208)	(5,444)	(4,808)	(4,245)	(4,297)	(4,476)
Net Interest Income	12,792	13,098	12,460	12,734	13,572	13,570	13,502	13,788	14,267	14,816
Non-Interest Income	6,643	5,806	6,376	5,607	5,217	5,657	6,153	6,048	6,264	6,308
Net Fee income	6,185	5,146	5,615	5,081	4,867	4,971	5,000	5,300	5,512	5,677
Trading income	(17)	270	410	89	(24)	317	552	144	145	145
Other operating income	475	390	351	436	373	368	601	604	607	486
Total Revenues	19,436	18,904	18,836	18,341	18,789	19,226	19,655	19,836	20,531	21,124
Costs	(9,282)	(8,012)	(8,280)	(8,630)	(9,340)	(9,256)	(9,014)	(9,027)	(9,117)	(9,209)
PPOP	10,154	10,892	10,556	9,711	9,449	9,971	10,642	10,809	11,413	11,915
Loan loss provisions	(1,109)	(3,136)	(2,054)	(722)	(356)	(1,443)	(2,330)	(2,396)	(2,226)	(2,306)
Other provisions	11	(194)	(10)	(1)	(3.39)	67.94	(10)	16	16	16
Pre-Tax	9,056	7,562	8,492	8,988	9,090	8,595	8,302	8,429	9,203	9,625
Tax	(1,783)	(1,498)	(1,708)	(1,766)	(1,788)	(1,694)	(1,643)	(1,668)	(1,821)	(1,904)
Profit before minorities	7,273	6,064	6,785	7,222	7,302	6,902	6,659	6,762	7,382	7,721
Minorities and Extra Ordinary lter	(3)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)
Attributable Profit	7,270	6,063	6,784	7,222	7,301	6,901	6,659	6,761	7,382	7,720
Reported Profit	7,270	6,063	6,784	7,222	7,301	6,901	6,659	6,761	7,382	7,720

Source: Company reports and J.P. Morgan estimates.

Table 51: Tisco: Annual Dupont

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
NIM (% of avg. IEA)	4.22%	4.62%	4.84%	5.09%	4.95%	4.85%	4.82%	4.88%	4.94%	5.07%
IEA/Assets	100.8%	98.9%	99.2%	98.3%	98.7%	97.7%	97.8%	96.0%	96.0%	95.8%
Margins (% of avg. Assets)	4.26%	4.57%	4.80%	5.00%	4.88%	4.74%	4.72%	4.68%	4.74%	4.85%
Non-IR contribution	34.2%	30.7%	33.9%	30.6%	27.8%	29.4%	31.3%	30.5%	30.5%	29.9%
Non-IR/Avg. Assets	2.21%	2.02%	2.46%	2.20%	1.88%	1.98%	2.15%	2.05%	2.08%	2.07%
Revenue/Assets	6.47%	6.59%	7.26%	7.21%	6.76%	6.72%	6.87%	6.73%	6.82%	6.92%
Cost/Income	47.8%	42.4%	44.0%	47.1%	49.7%	48.1%	45.9%	45.5%	44.4%	43.6%
C/Assets	3.09%	2.79%	3.19%	3.39%	3.36%	3.23%	3.15%	3.06%	3.03%	3.02%
Pre-Provision ROA	3.38%	3.80%	4.07%	3.82%	3.40%	3.48%	3.72%	3.67%	3.79%	3.90%
LLP/Loans	-0.46%	-1.34%	-0.96%	-0.34%	-0.16%	-0.62%	-1.00%	-1.00%	-0.90%	-0.90%
Operating ROA	3.01%	2.64%	3.27%	3.53%	3.27%	3.00%	2.90%	2.86%	3.06%	3.15%
Pre-Tax ROA	3.01%	2.64%	3.27%	3.53%	3.27%	3.00%	2.90%	2.86%	3.06%	3.15%
Tax Rate	-19.7%	-19.8%	-20.1%	-19.6%	-19.7%	-19.7%	-19.8%	-19.8%	-19.8%	-19.8%
Core ROA	2.42%	2.11%	2.61%	2.84%	2.63%	2.41%	2.33%	2.29%	2.45%	2.53%
ROA	2.42%	2.11%	2.61%	2.84%	2.63%	2.41%	2.33%	2.29%	2.45%	2.53%
Core RoRWA	4.07%	3.27%	3.77%	3.97%	3.71%	3.33%	3.15%	3.10%	3.28%	3.36%
RoRWA	4.07%	3.27%	3.77%	3.97%	3.71%	3.33%	3.15%	3.10%	3.28%	3.36%
Equity/Assets	12.8%	13.7%	15.5%	16.5%	15.3%	14.9%	15.1%	14.8%	14.8%	15.0%
Core ROE	18.9%	15.4%	16.8%	17.2%	17.1%	16.1%	15.4%	15.5%	16.6%	16.9%
ROE	18.9%	15.4%	16.8%	17.2%	17.1%	16.1%	15.4%	15.5%	16.6%	16.9%

Source: Company reports and J.P. Morgan estimates.

Quarterly Earnings

Table 52: Tisco: Quarterly P&L

Baht Mn	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	4,774	4,744	4,749	4,746	4,589	4,585	4,620	4,517	4,517	4,480	4,498	4,539
Interest Expense	(1,378)	(1,357)	(1,364)	(1,345)	(1,261)	(1,257)	(1,192)	(1,100)	(1,096)	(1,048)	(1,045)	(1,056)
Net Interest Income	3,395	3,387	3,385	3,402	3,328	3,328	3,428	3,417	3,420	3,432	3,453	3,483
Non-Interest Income	1,307	1,550	1,402	1,397	1,352	1,465	1,845	1,492	1,463	1,495	1,517	1,574
Net Fee income	1,168	1,232	1,261	1,310	1,176	1,191	1,287	1,346	1,279	1,305	1,331	1,385
Trading income	46	220	41	10	69	110	365	8	42	42	32	28
Other operating income	93	98	100	77	107	165	192	137	142	148	154	160
Total Revenues	4,703	4,937	4,788	4,799	4,680	4,794	5,273	4,909	4,884	4,927	4,970	5,056
Costs	(2,263)	(2,356)	(2,292)	(2,345)	(2,242)	(2,190)	(2,286)	(2,295)	(2,169)	(2,176)	(2,216)	(2,466)
PPOP	2,440	2,582	2,495	2,454	2,438	2,604	2,986	2,614	2,714	2,751	2,754	2,591
Loan loss provisions	(281)	(405)	(308)	(449)	(386)	(559)	(830)	(555)	(649)	(593)	(599)	(555)
Other provisions	2	5	(51)	112	26	8	(8)	(36)	4	4	4	4
Pre-Tax	2,161	2,181	2,137	2,117	2,078	2,053	2,148	2,022	2,069	2,161	2,159	2,040
Tax	(428)	(428)	(423)	(415)	(409)	(402)	(425)	(407)	(410)	(428)	(428)	(403)
Profit before minorities	1,733	1,753	1,714	1,702	1,669	1,652	1,723	1,616	1,659	1,733	1,732	1,637
MI and EO	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)
Attributable Profit	1,733	1,753	1,713	1,702	1,669	1,651	1,723	1,616	1,659	1,733	1,732	1,637
Reported Profit	1,733	1,753	1,713	1,702	1,669	1,651	1,723	1,616	1,659	1,733	1,732	1,637

Source: Company reports and J.P. Morgan estimates.

Table 53: Tisco: Quarterly Dupont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	4.76%	4.88%	4.88%	4.93%	4.88%	4.75%	4.84%	4.82%	4.82%	4.81%	4.79%	4.74%
IEA/Assets	100%	99%	100%	99%	97%	99%	100%	99%	98%	98%	98%	99%
Margins (% of avg. Assets)	4.74%	4.81%	4.85%	4.86%	4.72%	4.69%	4.83%	4.77%	4.72%	4.71%	4.70%	4.70%
Non-IR contribution	27.8%	31.4%	29.3%	29.1%	28.9%	30.6%	35.0%	30.4%	30.0%	30.3%	30.5%	31.1%
Non-IR/Avg. Assets	1.82%	2.20%	2.01%	2.00%	1.92%	2.07%	2.60%	2.08%	2.02%	2.05%	2.06%	2.12%
Revenue/Assets	6.56%	7.02%	6.86%	6.86%	6.64%	6.76%	7.44%	6.85%	6.73%	6.76%	6.76%	6.82%
Cost/Income	48.1%	47.7%	47.9%	48.9%	47.9%	45.7%	43.4%	46.8%	44.4%	44.2%	44.6%	48.8%
C/Assets	3.16%	3.35%	3.29%	3.35%	3.18%	3.09%	3.22%	3.21%	2.99%	2.99%	3.01%	3.32%
Pre-Provision ROA	3.41%	3.67%	3.58%	3.51%	3.46%	3.67%	4.21%	3.65%	3.74%	3.78%	3.75%	3.49%
LLP/Loans	-0.48%	-0.69%	-0.53%	-0.78%	-0.67%	-0.96%	-1.43%	-0.95%	-1.10%	-1.00%	-1.00%	-0.92%
Operating ROA	3.02%	3.10%	3.06%	3.03%	2.95%	2.90%	3.03%	2.82%	2.85%	2.97%	2.94%	2.75%
Pre-Tax ROA	3.02%	3.10%	3.06%	3.03%	2.95%	2.90%	3.03%	2.82%	2.85%	2.97%	2.94%	2.75%
Tax Rate	-19.8%	-19.6%	-19.8%	-19.6%	-19.7%	-19.6%	-19.8%	-20.1%	-19.8%	-19.8%	-19.8%	-19.7%
ROA	2.42%	2.49%	2.46%	2.43%	2.37%	2.33%	2.43%	2.26%	2.29%	2.38%	2.36%	2.21%
RoRWA	3.37%	3.38%	3.30%	3.28%	3.21%	3.16%	3.32%	3.09%	3.10%	3.24%	3.24%	3.00%
Equity/Assets	15.1%	15.2%	14.8%	15.1%	15.6%	15.2%	14.7%	14.9%	14.4%	14.2%	14.4%	14.5%
Core ROE	16.0%	16.4%	16.6%	16.1%	15.2%	15.3%	16.5%	15.2%	15.8%	16.8%	16.4%	15.2%
ROE	16.0%	16.4%	16.6%	16.1%	15.2%	15.3%	16.5%	15.2%	15.8%	16.8%	16.4%	15.2%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	2.7%	0.0%	2.7%	14.6%
Rel	-13.7%	0.1%	-13.6%	-10.3%

Company Data

Shares O/S (mn)	801
52-week range (Bt)	116.50-95.00
Market cap (\$ mn)	2,786
Exchange rate	32.61
Free float (%)	82.0%
3M ADV (mn)	4.41
3M ADV (\$ mn)	15.2
Volatility (90 Day)	12
Index	SET
BBG ANR (Buy Hold Sell)	1 16 6

Key Metrics (FYE Dec)

Bt in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	13,502	13,788	14,267	14,816
Non interest income	6,153	6,048	6,264	6,308
Operating expenses	(9,014)	(9,027)	(9,117)	(9,209)
Adj. PPOP	10,642	10,809	11,413	11,915
Provision for loan losses	(2,330)	(2,396)	(2,226)	(2,306)
Adj. PBT	8,302	8,429	9,203	9,625
Adj. net income	6,659	6,761	7,382	7,720
Adj. EPS	8.32	8.44	9.22	9.64
BBG EPS	8.30	8.43	8.74	8.98
DPS	7.75	7.75	8.00	8.00
Loans	226,535	233,732	241,909	252,075
Deposits	211,323	218,248	221,798	223,107
Total Assets	290,702	298,558	303,678	306,714
Margins and Growth				
NIM	4.8%	4.9%	4.9%	5.1%
Ratios				
Loan/ Deposit ratio	107.2%	107.1%	109.1%	113.0%
NPL / Loans	2.3%	2.2%	2.1%	2.1%
Coverage	172.1%	180.4%	175.1%	169.4%
CET 1	17.1%	16.7%	16.7%	17.0%
Non-int. income/ Income	31.3%	30.5%	30.5%	29.9%
Cost/Income	45.9%	45.5%	44.4%	43.6%
LLP/Loans	(1.0%)	(1.0%)	(0.9%)	(0.9%)
ROA	2.3%	2.3%	2.5%	2.5%
ROE	15.4%	15.5%	16.6%	16.9%
Valuation				
Dividend yield	6.8%	6.8%	7.0%	7.0%
Adj. P/E	13.6	13.4	12.3	11.8
P/ BV	2.1	2.1	2.0	2.0

Summary Investment Thesis and Valuation

Investment Thesis

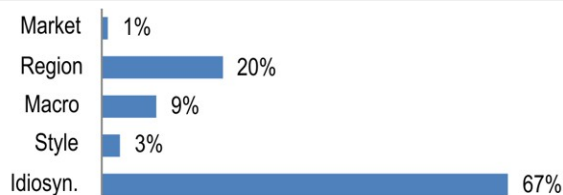
We are Neutral on Tisco

Tisco has delivered a 5% EPS CAGR, 17% ROE and ~75% average dividend payout over the last decade (cumulative dividends of 105% of market cap) despite no loan growth. This was attributable to the bank's best-in-class risk and capital management, reflected in ~7% dividend yields, which the market ascribed as fair. The mid-size bank's NII holds up amid the rate cut cycle with limited NIM compression (4.88% NIM in 2026). We forecast 2026 as the start of an EPS and ROE recovery and expect DPS of Bt7.75/8.0/8.0 in 2026/27/28. A shift in operating results (as well as a tougher macro) would warrant a higher fair dividend yield, in our view.

Valuation

Our Dec-26 PT of Bt105 is based on a two-stage DDM with a risk-free rate of 3.5%, a cost of capital of 9.8% and terminal growth of 2.0%. We use a fair P/BV multiple of 1.80x with a normalized RoE of 16.1%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.02	0.00
Region: Thailand	0.27	0.46
Macro:		
US 10 Year Yield	-0.15	0.27
JPM Forecast Revision EM	-0.07	-0.24
JP Morgan EMBI Global Spread	0.06	-0.23
Quant Styles:		
DivYld	0.11	0.10
Value	0.05	0.09
Quality	0.00	0.09

Investment Thesis, Valuation and Risks

Tisco Financial Group PCL *(Neutral; Price Target: Bt105.00)*

Investment Thesis

We are Neutral on Tisco.

- Tisco has delivered a 5% EPS CAGR, 17% ROE and ~75% average dividend payout over the last decade (cumulative dividends of 105% of market cap) despite no loan growth. This was attributable to the bank's best-in-class risk and capital management, reflected in ~7% dividend yields, which the market ascribed as fair. The mid-sized bank's NII holds up amid the rate cut cycle with limited NIM compression (4.88% NIM in 2026). We forecast 2026 as the start of an EPS and ROE recovery and expect DPS of Bt7.75/8.0/8.0 in 2026/27/28. A shift in operating results (as well as a tougher macro) would warrant a higher fair dividend yield, in our view.
- Tisco has been able to deliver consistent earnings growth over the past decade. This is despite meaningful shifts in the auto cycle, interest rate cycles and GDP growth. We expect loan growth to improve with 3% loan growth in 2026.
- A high concentration in the auto sector (62% of loan mix, including HP and title loans) exposes Tisco to idiosyncratic risks. This is weighing on Tisco's asset quality, driving our credit cost forecasts of 100bps over 2025-26.

Valuation

Our Dec-26 PT of Bt105 is based on a two-stage DDM with a risk-free rate of 3.5%, a cost of capital of 9.8% and terminal growth of 2.0%. We use a fair P/BV multiple of 1.80x with a normalized RoE of 16.1%.

Risks to Rating and Price Target

Upside risks include: (1) a significant pickup in auto sales volumes in Thailand; (2) the bank's ability to shift the mix in favor of auto-cash, used car HP and 2W HP higher than expected, along with maintaining steady asset quality; (3) higher-than-expected NIM; and (4) the delivery of high loan growth.

Downside risks include significant asset quality issues from auto-related loans as a result of high fuel prices.

Tisco Financial Group PCL: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	19,014	18,311	18,033	18,565	19,292	Deposits with banks	40,684	41,187	41,430	38,080	30,631
Interest expense	(5,444)	(4,808)	(4,245)	(4,297)	(4,476)	Net loans	223,714	226,535	233,732	241,909	252,075
Net interest income	13,570	13,502	13,788	14,267	14,816	PP&E	3,161	4,292	4,282	4,342	4,402
Non interest income	5,657	6,153	6,048	6,264	6,308	Net intangibles	914	778	731	708	686
o/w Fee income	-	-	-	-	-	LT investments	7,969	11,362	11,589	11,589	11,589
o/w Trading income	-	-	-	-	-	Other assets	3,550	4,517	4,698	4,886	5,081
Net revenues	19,226	19,655	19,836	20,531	21,124	Total assets	281,877	290,702	298,558	303,678	306,714
Non interest expense	(9,256)	(9,014)	(9,027)	(9,117)	(9,209)	Interest earning assets	280,853	288,328	296,443	300,984	303,395
o/w Employee costs	(6,238)	(6,121)	(6,121)	(6,183)	(6,244)	Deposits	206,537	211,323	218,248	221,798	223,107
Pre-Prov. Profits	9,971	10,642	10,809	11,413	11,915	Borrowings	18,741	22,650	23,224	23,813	24,418
Provisions	(1,443)	(2,330)	(2,396)	(2,226)	(2,306)	Other liabilities	13,554	13,352	13,153	12,957	12,764
Adj. PBT	8,595	8,302	8,429	9,203	9,625	Total liabilities	238,832	247,325	254,625	258,568	260,289
Income taxes	(1,694)	(1,643)	(1,668)	(1,821)	(1,904)	Shareholder equity	43,042	43,374	43,930	45,107	46,422
Minority interest	(0)	(0)	(0)	(0)	(0)	Minority interests	3	3	3	3	3
Adj. Net profit	6,901	6,659	6,761	7,382	7,720	Total liabilities and Shareholder equity	281,877	290,702	298,558	303,678	306,714
PPOP per share	12.45	13.29	13.50	14.25	14.88	Interest bearing liabilities	225,278	233,973	241,472	245,611	247,525
Reported EPS	8.62	8.32	8.44	9.22	9.64	Book Value Per Share	53.76	54.17	54.87	56.34	57.98
Adj. EPS	8.62	8.32	8.44	9.22	9.64	Tangible Book Value Per Share	53.76	54.17	54.87	56.34	57.98
DPS	7.75	7.75	7.75	8.00	8.00						
Diluted shares outstanding	801	801	801	801	801						
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	108.3%	107.2%	107.1%	109.1%	113.0%	Loan loss reserves/Loans	(3.7%)	(3.9%)	(4.0%)	(3.7%)	(3.5%)
Investment/Assets	2.5%	3.4%	3.9%	3.8%	3.8%	NPLs/Loans	2.4%	2.3%	2.2%	2.1%	2.1%
Loan/Assets	81.6%	81.7%	81.3%	82.2%	84.0%	Loan loss reserves/NPLs	172.2%	163.6%	176.3%	177.8%	172.3%
Customer deposits/Liabilities	86.5%	85.4%	85.7%	85.8%	85.7%	NPL y/y growth	4.6%	(1.7%)	0.0%	0.0%	0.0%
LT debt/Liabilities	9.1%	8.5%	9.1%	9.2%	9.3%	Tier 1 ratio	17.0%	17.1%	16.7%	16.7%	17.0%
						CAR	18.6%	19.0%	18.5%	18.6%	18.8%
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	4.9%	4.8%	4.9%	4.9%	5.1%	Return on equity (ROE)	16.1%	15.4%	15.5%	16.6%	16.9%
Non interest income/Net revenue	29.4%	31.3%	30.5%	30.5%	29.9%	Return on assets (ROA)	2.4%	2.3%	2.3%	2.5%	2.5%
Non interest income/Avg. Assets	2.0%	2.1%	2.1%	2.1%	2.1%	Operating ROA	3.0%	2.9%	2.9%	3.1%	3.1%
Efficiency ratio	48.1%	45.9%	45.5%	44.4%	43.6%	Pre-Tax ROA	3.0%	2.9%	2.9%	3.1%	3.2%
Leverage ratio	12.4%	12.8%	12.6%	12.7%	12.9%	Pre-Provision ROA	3.5%	3.7%	3.7%	3.8%	3.9%
Revenue/Assets	6.7%	6.9%	6.7%	6.8%	6.9%	Tax rate	19.7%	19.8%	19.8%	19.8%	19.8%
RORWA	3.3%	3.1%	3.1%	3.3%	3.4%						
						Net loans y/y growth	(0.5%)	1.3%	3.2%	3.5%	4.2%
RWA	209,130	213,896	222,662	227,999	231,812	Assets y/y growth	(3.0%)	3.1%	2.7%	1.7%	1.0%
Avg. RWA	207,195	211,513	218,279	225,331	229,905	RWA y/y growth	1.9%	2.3%	4.1%	2.4%	1.7%
Avg. IEA	279,642	280,034	282,812	288,950	292,322	Deposits y/y growth	(1.0%)	2.3%	3.3%	1.6%	0.6%
Gross Loans	232,200	235,779	243,424	251,314	261,175	Net interest income y/y growth	(0.0%)	(0.5%)	2.1%	3.5%	3.8%
Avg. IBL	225,278	233,973	241,472	245,611	247,525	Revenues y/y growth	2.3%	2.2%	0.9%	3.5%	2.9%
LLR	(8,486)	(9,244)	(9,692)	(9,406)	(9,100)	Adj. EPS y/y growth	(5.5%)	(3.5%)	1.5%	9.2%	4.6%
NPLs	5,464	5,371	5,371	5,371	5,371	BVPS y/y growth	1.4%	0.8%	1.3%	2.7%	2.9%
P/BV (x)	2.1	2.1	2.1	2.0	2.0	IE assets/Assets	97.7%	97.8%	96.0%	96.0%	95.8%
Adj. P/E (x)	13.2	13.6	13.4	12.3	11.8	Margins (as % of Avg. Assets)	4.6%	4.6%	4.5%	4.6%	4.7%
Dividend yield	6.8%	6.8%	6.8%	7.0%	7.0%	LLP/Loans	(0.6%)	(1.0%)	(1.0%)	(0.9%)	(0.9%)
Dividend payout	89.9%	93.2%	91.8%	86.8%	83.0%	Equity/Assets	14.9%	15.1%	14.8%	14.8%	15.0%
						Cost/Assets	3.2%	3.1%	3.1%	3.0%	3.0%
						Assets/Equity	6.7	6.6	6.7	6.8	6.7

Source: Company reports and J.P. Morgan estimates.

Note: Bt in millions (except per-share data). Fiscal year ends Dec

Neutral

TTB.BK, TTB TB

Price (02 Apr 26):Bt2.32

▲ **Price Target (Dec-26):Bt2.40**

Prior (Dec-26):Bt2.00

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 27E (Bt)	0.21	0.23	9.0%

Quarterly Forecasts (FYE Dec)

Adj. EPS (Bt)	2025A	2026E	2027E
Q1	0.05	0.05	
Q2	0.05	0.05	
Q3	0.05	0.06	
Q4	0.05	0.05	
FY	0.21	0.21	0.23

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	83	40	44	31	29
Growth	77	72	66	79	85
Momentum	33	55	31	25	35
Quality	72	51	55	75	70
Low Vol	5	7	14	46	70
ESGQ	23	23	8	-	-

TMBThanachart Bank PCL

Sharp improvement in capital management

TTB has managed the post-merger franchise well in terms of AQ, tech adoption, costs, fee income and capital management, in our view. Going forward, the bank is in the process of accelerating the capital management process via dividends and buyback. The commitment to buyback Bt35bn by 2028 will likely be surpassed, as the bank has excess capital, while RWA growth is low. Further, the 10% RoE target in the medium term implies faster improvement in leverage, which is more likely by increasing payout. Yet, despite these positives, we believe the stock will move up steadily over a period of time. The recent outperformance limits immediate upside, as buyback will be on pause till end of April. Accordingly, we increase our PT but maintain our Neutral rating.

Valuation

Table 54: TTB: Valuation

	Core Net (Bt mn)	Core EPS (Bt)	P/E (x)	BVPS (Bt)	P/B (x)	Dividend (Bt)	Div Yld (%)	Core RoA (%)	Core RoRWA (%)	Core RoE (%)
2022	13,667	0.14	16.4	2.26	1.03	0.07	3.1%	0.76%	1.13%	6.4%
2023	13,577	0.14	16.6	2.36	0.98	0.11	4.5%	0.74%	1.17%	6.1%
2024	16,180	0.17	13.9	2.44	0.95	0.13	5.6%	0.91%	1.44%	6.9%
2025	15,923	0.16	14.2	2.50	0.93	0.13	5.8%	0.92%	1.44%	6.6%
2026E	15,763	0.17	13.9	2.60	0.89	0.15	6.5%	0.92%	1.41%	6.6%
2027E	19,023	0.22	10.8	2.68	0.87	0.17	7.3%	1.11%	1.68%	8.2%
2028E	20,349	0.24	9.5	2.75	0.84	0.20	8.6%	1.18%	1.76%	9.0%

Price (Bt)	2.32	Number of shares (mn)	97,571	Market Cap (THB mn)	212,948
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Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	2.84%	Risk-free rate	3.5%	Fair PE	9.9x
Non-IR/revenues	25.6%	Cost of capital	10.1%	12m Rolling EPS	Bt 0.22
Cost/income	42.0%	Long term growth	0.0%	PE based Jun-26 Fair Value	Bt 2.17
Operating RoA	2.21%	Fair PB	0.84x	Implied Value of Growth	
LLP/Loans	-1.10%	PV of Terminal Value	Bt 1.99	12m Rolling EPS	Bt 0.2
Net RoAA	1.15%	PV of Dividends	Bt 0.14	Capitalized Value (Bt)	Bt 2.2
Equity/Assets	13.6%	PV of today's Fair Value	Bt 2.13	Value of Growth (Bt)	Bt 0.1
Normalised RoE	8.5%	PB based Dec-26 Fair Value	Bt 2.35	Attributable to Growth	6.4%
		Value of tax credit	Bt 0.05		
		PB based Dec-26 Fair Value	Bt 2.40		

Source: Company reports and J.P. Morgan estimates.

Annual Earnings

Table 55: TTB: Annual P&L

Bt mn	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Interest Income	39,837	72,321	64,240	65,627	79,134	82,783	72,097	64,814	65,526	67,372
Interest Expense	(12,972)	(18,515)	(13,240)	(14,010)	(21,926)	(26,331)	(21,460)	(16,986)	(16,868)	(17,969)
Net Interest Income	26,865	53,806	51,000	51,617	57,208	56,451	50,637	47,828	48,659	49,403
Non-Interest Income	12,956	15,541	14,537	13,708	13,754	12,948	15,040	15,833	16,698	17,701
Net Fee income	8,098	11,348	11,248	10,391	10,362	9,373	10,209	11,230	12,353	13,588
Trading income	3,462	2,404	1,662	1,699	1,718	2,014	2,324	1,970	1,975	1,980
Other operating income	1,396	1,789	1,626	1,617	1,674	1,561	2,508	2,633	2,370	2,133
Total Revenues	39,821	69,346	65,537	65,325	70,962	69,399	65,677	63,661	65,356	67,104
Costs	(19,746)	(32,173)	(30,937)	(29,697)	(30,752)	(29,432)	(29,449)	(28,325)	(28,325)	(29,458)
PPOP	20,075	37,173	34,600	35,628	40,210	39,967	36,228	35,336	37,031	37,646
Loan loss provisions	(10,337)	(24,831)	(21,514)	(18,353)	(22,199)	(19,852)	(16,485)	(15,775)	(13,446)	(12,424)
Other provisions	(579)	(4)	(282)	(255)	(527)	(140)	(84)	(100)	(100)	(100)
Pre-Tax	9,160	12,338	12,804	17,019	17,483	19,975	19,658	19,461	23,485	25,122
Tax	(1,658)	(2,223)	(2,327)	(3,352)	(3,906)	(3,795)	(3,735)	(3,698)	(4,462)	(4,773)
Profit before minorities	7,502	10,115	10,477	13,667	13,577	16,180	15,923	15,763	19,023	20,349
Attributable profit	7,502	10,112	10,474	13,667	13,577	16,180	15,923	15,763	19,023	20,349
One-off items	(280)	-	-	528	4,886	4,850	4,754	4,400	1,300	-
Reported Profit	7,222	10,112	10,474	14,195	18,463	21,030	20,677	20,163	20,323	20,349

Source: Company reports and J.P. Morgan estimates.

Table 56: TTB: Annual Dupont

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
NIM (% of avg. IEA)	2.81%	3.00%	2.97%	2.95%	3.24%	3.26%	3.04%	2.89%	2.92%	2.95%
IEA/Assets	69.5%	97.9%	96.4%	97.5%	96.8%	96.9%	96.7%	97.3%	97.1%	96.9%
Margins (% of avg. Assets)	1.95%	2.93%	2.86%	2.88%	3.13%	3.16%	2.94%	2.81%	2.84%	2.86%
Non-IR contribution	32.5%	22.4%	22.2%	21.0%	19.4%	18.7%	22.9%	24.9%	25.5%	26.4%
Non-IR/Avg. Assets	0.94%	0.85%	0.82%	0.76%	0.75%	0.72%	0.87%	0.93%	0.97%	1.02%
Revenue/Assets	2.90%	3.78%	3.68%	3.64%	3.89%	3.88%	3.81%	3.74%	3.81%	3.88%
Cost/Income	49.6%	46.4%	47.2%	45.5%	43.3%	42.4%	44.8%	44.5%	43.3%	43.9%
C/Assets	1.44%	1.75%	1.73%	1.66%	1.68%	1.65%	1.71%	1.66%	1.65%	1.71%
Pre-Provision ROA	1.46%	2.03%	1.94%	1.99%	2.20%	2.24%	2.10%	2.07%	2.16%	2.18%
LLP/Loans	-0.99%	-1.78%	-1.56%	-1.34%	-1.64%	-1.55%	-1.35%	-1.30%	-1.10%	-1.00%
Loan/Assets	75.6%	76.0%	77.5%	76.6%	74.1%	71.9%	70.9%	71.0%	71.4%	71.9%
Other Income/Assets	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Operating ROA	0.7%	0.7%	0.7%	1.0%	1.0%	1.1%	1.1%	1.1%	1.4%	1.5%
Pre-Tax ROA	0.67%	0.67%	0.72%	0.95%	0.96%	1.12%	1.14%	1.14%	1.37%	1.45%
Tax Rate	-18.1%	-18.0%	-18.2%	-19.7%	-22.3%	-19.0%	-19.0%	-19.0%	-19.0%	-19.0%
Minorities & Outside Int.	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Core ROA	0.55%	0.55%	0.59%	0.76%	0.74%	0.91%	0.92%	0.92%	1.11%	1.18%
ROA	0.53%	0.55%	0.59%	0.79%	1.01%	1.18%	1.20%	1.18%	1.19%	1.18%
Core RoRWA	0.81%	0.84%	0.87%	1.13%	1.17%	1.44%	1.44%	1.41%	1.68%	1.76%
RoRWA	0.78%	0.84%	0.87%	1.18%	1.59%	1.87%	1.87%	1.81%	1.79%	1.76%
Equity/Assets	10.7%	10.9%	11.7%	12.0%	12.3%	13.1%	14.0%	14.1%	13.6%	13.1%
Core ROE	5.1%	5.1%	5.0%	6.4%	6.1%	6.9%	6.6%	6.6%	8.2%	9.0%
ROE	4.9%	5.1%	5.0%	6.6%	8.2%	9.0%	8.6%	8.4%	8.7%	9.0%

Source: Company reports and J.P. Morgan estimates.

Quarterly Earnings

Table 57: TTB: Quarterly P&L

Bt mn	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	21,084	21,044	20,664	19,990	18,965	18,221	17,718	17,193	16,382	16,126	16,216	16,090
Interest Expense	(6,688)	(6,859)	(6,602)	(6,182)	(5,746)	(5,479)	(5,314)	(4,921)	(4,477)	(4,198)	(4,186)	(4,125)
Net Interest Income	14,396	14,185	14,062	13,809	13,219	12,742	12,404	12,272	11,905	11,928	12,030	11,965
Non-Interest Income	3,273	3,187	3,163	3,324	3,335	3,639	3,908	4,158	3,943	4,063	4,113	3,714
Net Fee income	2,454	2,209	2,242	2,467	2,348	2,252	2,608	3,001	2,701	2,782	2,865	2,881
Trading income	504	457	521	531	648	713	584	378	525	525	450	470
Other operating income	315	521	399	326	338	674	716	779	717	756	798	362
Total Revenues	17,670	17,372	17,225	17,133	16,553	16,381	16,312	16,431	15,848	15,991	16,143	15,679
Costs	(7,542)	(7,216)	(7,227)	(7,633)	(7,138)	(7,235)	(7,363)	(7,713)	(7,022)	(6,996)	(7,060)	(7,247)
PPOP	10,127	10,156	9,998	9,500	9,415	9,146	8,949	8,718	8,826	8,995	9,083	8,432
Loan loss provisions	(5,117)	(5,281)	(4,764)	(4,690)	(4,580)	(4,294)	(3,980)	(3,631)	(3,930)	(4,074)	(3,933)	(3,838)
Other provisions	(28)	6	(68)	(50)	41	(36)	(40)	(49)	(25)	(25)	(25)	(25)
Pre-Tax	4,982	4,881	5,166	4,759	4,876	4,816	4,929	5,037	4,870	4,896	5,125	4,569
Tax	(947)	(927)	(982)	(940)	(926)	(915)	(937)	(957)	(925)	(930)	(974)	(868)
Profit before minorities	4,036	3,954	4,185	3,820	3,949	3,901	3,993	4,080	3,945	3,966	4,151	3,701
Attributable profit	4,036	3,954	4,185	3,820	3,949	3,901	3,993	4,080	3,945	3,966	4,151	3,701
One-off items	1,298	1,402	1,046	1,105	1,147	1,103	1,305	1,200	1,100	1,100	1,100	1,100
Reported Profit	5,334	5,355	5,230	4,924	5,096	5,004	5,298	5,280	5,045	5,066	5,251	4,801

Source: Company reports and J.P. Morgan estimates.

Table 58: TTB: Quarterly Dupont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	3.28%	3.26%	3.26%	3.25%	3.19%	3.07%	2.97%	2.95%	2.92%	2.89%	2.87%	2.86%
IEA/Assets	97.3%	97.3%	97.0%	96.9%	97.1%	97.3%	97.2%	97.2%	97.1%	97.1%	97.1%	97.1%
Margins (% of avg. Assets)	3.19%	3.17%	3.17%	3.15%	3.10%	2.98%	2.89%	2.86%	2.84%	2.80%	2.79%	2.78%
Non-IR contribution	18.5%	18.3%	18.4%	19.4%	20.1%	22.2%	24.0%	25.3%	24.9%	25.4%	25.5%	23.7%
Non-IR/Avg. Assets	0.72%	0.71%	0.72%	0.76%	0.77%	0.85%	0.92%	0.98%	0.93%	0.95%	0.96%	0.87%
Revenue/Assets	3.91%	3.88%	3.88%	3.91%	3.87%	3.83%	3.80%	3.84%	3.76%	3.76%	3.75%	3.65%
Cost/Income	42.7%	41.5%	42.0%	44.6%	43.1%	44.2%	45.1%	46.9%	44.3%	43.7%	43.7%	46.2%
C/Assets	1.67%	1.61%	1.63%	1.74%	1.67%	1.69%	1.72%	1.80%	1.67%	1.64%	1.64%	1.69%
Pre-Provision ROA	2.24%	2.27%	2.25%	2.17%	2.20%	2.14%	2.09%	2.04%	2.10%	2.11%	2.11%	1.96%
LLP/Loans	-1.55%	-1.62%	-1.49%	-1.50%	-1.49%	-1.42%	-1.32%	-1.21%	-1.30%	-1.35%	-1.30%	-1.27%
Loan/Assets	72.8%	72.6%	72.2%	71.4%	70.8%	70.6%	70.5%	70.6%	70.8%	70.8%	70.7%	71.0%
Other Income/Assets	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Operating ROA	1.1%	1.1%	1.2%	1.1%	1.1%	1.1%	1.2%	1.2%	1.2%	1.2%	1.2%	1.1%
Pre-Tax ROA	1.11%	1.10%	1.16%	1.08%	1.15%	1.13%	1.14%	1.17%	1.17%	1.15%	1.19%	1.06%
Tax Rate	-19.0%	-19.0%	-19.0%	-19.7%	-19.0%	-19.0%	-19.0%	-19.0%	-19.0%	-19.0%	-19.0%	-19.0%
Minorities & Outside Int.	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Core ROA	0.90%	0.89%	0.94%	0.87%	0.93%	0.91%	0.93%	0.95%	0.94%	0.93%	0.96%	0.86%
ROA	1.18%	1.20%	1.18%	1.12%	1.20%	1.17%	1.23%	1.23%	1.20%	1.19%	1.22%	1.11%
Core RoRWA	1.43%	1.40%	1.46%	1.36%	1.47%	1.44%	1.44%	1.46%	1.45%	1.44%	1.48%	1.31%
RoRWA	1.88%	1.89%	1.83%	1.75%	1.89%	1.85%	1.92%	1.90%	1.85%	1.83%	1.87%	1.70%
Equity/Assets	12.8%	13.1%	13.3%	13.5%	13.9%	14.0%	14.1%	14.3%	14.3%	14.3%	14.3%	14.0%
Core ROE	7.0%	6.8%	7.1%	6.4%	6.7%	6.5%	6.6%	6.7%	6.6%	6.5%	6.7%	6.1%
ROE	9.3%	9.2%	8.9%	8.3%	8.6%	8.3%	8.8%	8.6%	8.4%	8.3%	8.5%	8.0%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	14.8%	0.9%	14.8%	16.6%
Rel	-1.6%	0.9%	-1.5%	-8.4%

Company Data

Shares O/S (mn)	91,788
52-week range (Bt)	2.38-1.74
Market cap (\$ mn)	6,530
Exchange rate	32.61
Free float (%)	54.1%
3M ADV (mn)	408.57
3M ADV (\$ mn)	26.7
Volatility (90 Day)	24
Index	SET
BBG ANR (Buy Hold Sell)	4 19 3

Key Metrics (FYE Dec)

Bt in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	50,637	47,828	48,659	49,403
Non interest income	15,040	15,833	16,698	17,701
Operating expenses	(29,449)	(28,325)	(28,325)	(29,458)
Adj. PPOP	36,228	35,336	37,031	37,646
Provision for loan losses	(16,485)	(15,775)	(13,446)	(12,424)
Adj. PBT	24,412	23,861	24,785	25,122
Adj. net income	20,677	20,163	20,323	20,349
Adj. EPS	0.21	0.21	0.23	0.24
BBG EPS	0.21	0.22	0.20	0.20
DPS	0.13	0.15	0.17	0.20
Loans	1,153,575	1,162,325	1,181,317	1,207,861
Deposits	1,269,509	1,279,538	1,294,877	1,314,013
Total Assets	1,701,966	1,706,458	1,719,850	1,735,178
Margins and Growth				
NIM	3.0%	2.9%	2.9%	3.0%
Ratios				
Loan/ Deposit ratio	90.9%	90.8%	91.2%	91.9%
NPL / Loans	3.2%	3.1%	2.9%	2.7%
Coverage	152.2%	157.1%	161.3%	156.6%
CET 1	17.5%	16.4%	15.6%	14.7%
Non-int. income/ Income	22.9%	24.9%	25.5%	26.4%
Cost/Income	44.8%	44.5%	43.3%	43.9%
LLP/Loans	(1.3%)	(1.3%)	(1.1%)	(1.0%)
ROA	1.2%	1.2%	1.2%	1.2%
ROE	8.6%	8.4%	8.7%	9.0%
Valuation				
Dividend yield	5.8%	6.5%	7.3%	8.6%
Adj. P/E	10.9	10.8	10.1	9.5
P/ BV	0.9	0.9	0.9	0.8

Summary Investment Thesis and Valuation

Investment Thesis

We are Neutral on TTB.

TTB has a high CET1 of 17.5%. With relatively better AQ and slower loan (and RWA) growth, the bank has announced a share buyback and guided for a higher payout of 60-70% on a steady state. We forecast a payout of 70-82% over 2026-28 (vs. 60% in 2025).

We expect positive revisions to Street DPS estimates for 2026/27/28 (JPMe Bt 0.15/0.17/0.20 for 2026/27/28). Importantly, this DPS level appears sustainable to us for at least the next five years.

Valuation

Our Dec-26 PT of Bt2.40 is based on our two-stage DDM valuation, with a risk-free rate of 3.5%, cost of capital of 10.1% and terminal growth of 0%. We use a fair P/BV multiple of 0.84x with a normalized core ROE of 8.5%.

Performance Drivers

Market	0%
Region	18%
Macro	6%
Style	5%
Idiosyn.	71%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.09	0.09
Region: Thailand	0.33	0.44
Macro:		
US 10 Year Yield	-0.05	0.21
JPM China A-shares Sentiment	-0.35	-0.21
JP Morgan EMBI Global Spread	-0.05	-0.09
Quant Styles:		
Momentum	0.26	0.24
Size	0.28	0.19
Quality	0.10	0.11

TMBThanachart Bank PCL (Neutral; Price Target: Bt2.40)

Investment Thesis

We are Neutral on TTB.

- TTB has a high CET1 of 17.5%. With relatively better AQ and slower loan (and RWA) growth, the bank has announced a share buyback and guided for a higher payout of 60-70% on a steady state. We forecast a payout of 70-82% over 2026-28 (vs. 60% in 2025).
- We expect positive revisions to Street DPS estimates for 2026/27/28 (JPMe Bt 0.15/0.17/0.20 for 2026/27/28). Importantly, this DPS level appears sustainable to us for at least the next three years.
- TTB has the lowest NIM sensitivity to policy rate cuts within D-SIB banks, which should be relatively positive in a rate cut cycle. However, slower growth is likely to keep PPoP under pressure.
- TTB is redoubling its efforts in consumer lending (payroll, credit cards, auto-cash and home equity), as well as fee businesses (car insurance, second-hand car platform, small-ticket MFs). These can help loans and fees, but come with the risk of higher provisions and operating costs.
- TTB has acquired Thanachart Securities, a securities firm, which appears logical to us in terms of size and product offerings. The bank closed the acquisition of Thanachart Securities with a total transaction value of Bt2.06 bn (or ~1x adjusted P/BV).

Valuation

Our Dec-26 PT of Bt2.40 is based on our two-stage DDM valuation, with a risk-free rate of 3.5%, cost of capital of 10.1% and terminal growth of 0%. We use a fair P/BV multiple of 0.84x with a normalized core ROE of 8.5%.

Risks to Rating and Price Target

Downside risks include: (1) slower-than-expected pace of buybacks; (2) slower-than-expected loan growth; and (3) higher-than-expected NPLs or credit costs, especially from the HP book.

Upside risks include: (1) sharp buyback acceleration; (2) the bank's ability to grow high-yield loans offsetting NIM compression; and (3) higher-than-expected dividend payout.

TMBThanachart Bank PCL: Summary of Financials

Income Statement						Balance Sheet					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	82,783	72,097	64,814	65,526	67,372	Cash and cash equivalents	0	0	0	0	0
Interest expense	(26,331)	(21,460)	(16,986)	(16,868)	(17,969)	Deposits with banks	303,371	194,032	180,463	165,275	144,186
Net interest income	56,451	50,637	47,828	48,659	49,403	Net loans	1,190,289	1,153,575	1,162,325	1,181,317	1,207,861
Non interest income	12,948	15,040	15,833	16,698	17,701	PP&E	30,627	31,475	31,789	32,107	32,428
o/w Fee income	9,373	10,209	11,230	12,353	13,588	Net intangibles	28,109	28,784	28,958	29,140	29,332
o/w Trading income	2,014	2,324	1,970	1,975	1,980	LT investments	175,315	269,388	277,470	285,794	294,368
Net revenues	69,399	65,677	63,661	65,356	67,104	Other assets	20,812	24,712	25,453	26,217	27,003
Non interest expense	(29,432)	(29,449)	(28,325)	(28,325)	(29,458)	Total assets	1,748,523	1,701,966	1,706,458	1,719,850	1,735,178
o/w Employee costs	(15,693)	(15,878)	(15,243)	(15,243)	(15,853)	Interest earning assets	1,727,982	1,676,459	1,679,728	1,689,521	1,699,973
Pre-Prov. Profits	39,967	36,228	35,336	37,031	37,646	Deposits	1,328,594	1,269,509	1,279,538	1,294,877	1,314,013
Provisions	(19,852)	(16,485)	(15,775)	(13,446)	(12,424)	Borrowings	119,431	113,305	115,078	117,377	119,723
Adj. PBT	24,825	24,412	23,861	24,785	25,122	Other liabilities	62,685	74,958	76,457	77,986	79,546
Income taxes	(3,795)	(3,735)	(3,698)	(4,462)	(4,773)	Total liabilities	1,510,710	1,457,772	1,471,073	1,490,241	1,513,282
Minority interest	(0)	0	0	0	0	Shareholder equity	237,812	244,194	235,385	229,609	221,896
Adj. Net profit	21,030	20,677	20,163	20,323	20,349	Minority interests	0	0	0	0	0
PPOP per share	0.41	0.37	0.38	0.42	0.45	Total liabilities and Shareholder equity	1,748,522	1,701,966	1,706,458	1,719,850	1,735,178
Reported EPS	0.22	0.21	0.21	0.23	0.24	Interest bearing liabilities	1,448,025	1,382,814	1,394,616	1,412,255	1,433,736
Adj. EPS	0.22	0.21	0.21	0.23	0.24	Book Value Per Share	2.44	2.50	2.60	2.68	2.75
DPS	0.13	0.13	0.15	0.17	0.20	Tangible Book Value Per Share	2.44	2.50	2.60	2.68	2.75
Diluted shares outstanding	97,251	97,486	94,115	88,159	83,159						
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	89.6%	90.9%	90.8%	91.2%	91.9%	Loan loss reserves/Loans	(4.7%)	(4.9%)	(4.9%)	(4.6%)	(4.2%)
Investment/Assets	10.2%	12.9%	16.0%	16.4%	16.8%	NPLs/Loans	3.1%	3.2%	3.1%	2.9%	2.7%
Loan/Assets	72.4%	71.4%	71.4%	71.8%	72.4%	Loan loss reserves/NPLs	153.2%	151.8%	154.6%	159.1%	159.0%
Customer deposits/Liabilities	87.9%	87.1%	87.0%	86.9%	86.8%	NPL y/y growth	(5.0%)	0.2%	(3.1%)	(6.4%)	(3.5%)
LT debt/Liabilities	8.6%	7.8%	7.8%	7.8%	7.9%	Tier 1 ratio	16.9%	17.5%	16.4%	15.6%	14.7%
						CAR	19.3%	19.5%	18.4%	17.6%	16.7%
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	3.3%	3.0%	2.9%	2.9%	3.0%	Return on equity (ROE)	9.0%	8.6%	8.4%	8.7%	9.0%
Non interest income/Net revenue	18.7%	22.9%	24.9%	25.5%	26.4%	Return on assets (ROA)	1.2%	1.2%	1.2%	1.2%	1.2%
Non interest income/Avg. Assets	0.7%	0.9%	0.9%	1.0%	1.0%	Operating ROA	1.1%	1.1%	1.1%	1.4%	1.5%
Efficiency ratio	42.4%	44.8%	44.5%	43.3%	43.9%	Pre-Tax ROA	1.4%	1.4%	1.4%	1.4%	1.5%
Leverage ratio	10.5%	11.2%	10.8%	10.4%	9.9%	Pre-Provision ROA	2.2%	2.1%	2.1%	2.2%	2.2%
Revenue/Assets	3.9%	3.8%	3.7%	3.8%	3.9%	Tax rate	15.3%	15.3%	15.5%	18.0%	19.0%
RORWA	1.9%	1.9%	1.8%	1.8%	1.8%						
						Net loans y/y growth	(6.5%)	(3.1%)	0.8%	1.6%	2.2%
RWA	1,105,962	1,107,513	1,126,263	1,143,700	1,162,569	Assets y/y growth	(4.2%)	(2.7%)	0.3%	0.8%	0.9%
Avg. RWA	1,123,698	1,106,738	1,116,888	1,134,981	1,153,135	RWA y/y growth	(3.1%)	0.1%	1.7%	1.5%	1.6%
Avg. IEA	1,731,226	1,668,408	1,657,392	1,664,230	1,674,603	Deposits y/y growth	(4.2%)	(4.4%)	0.8%	1.2%	1.5%
Gross Loans	1,249,296	1,213,039	1,221,795	1,238,452	1,261,419	Net interest income y/y growth	(1.3%)	(10.3%)	(5.5%)	1.7%	1.5%
Avg. IBL	1,490,966	1,415,419	1,388,715	1,403,435	1,422,995	Revenues y/y growth	(2.2%)	(5.4%)	(3.1%)	2.7%	2.7%
LLR	(59,007)	(59,464)	(59,470)	(57,135)	(53,558)	Adj. EPS y/y growth	13.5%	(1.9%)	1.0%	7.6%	6.1%
NPLs	38,976	39,066	37,853	35,425	34,194	BVPS y/y growth	3.4%	2.5%	3.7%	3.2%	2.6%
P/BV (x)	1.0	0.9	0.9	0.9	0.8	IE assets/Assets	96.9%	96.7%	97.3%	97.1%	96.9%
Adj. P/E (x)	10.7	10.9	10.8	10.1	9.5	Margins (as % of Avg. Assets)	3.1%	2.9%	2.8%	2.8%	2.8%
Dividend yield	5.6%	5.8%	6.5%	7.3%	8.6%	LLP/Loans	(1.5%)	(1.3%)	(1.3%)	(1.1%)	(1.0%)
Dividend payout	60.1%	63.2%	70.0%	73.7%	81.7%	Equity/Assets	13.1%	14.0%	14.1%	13.6%	13.1%
						Cost/Assets	1.6%	1.7%	1.7%	1.7%	1.7%
						Assets/Equity	7.6	7.2	7.1	7.4	7.7

Source: Company reports and J.P. Morgan estimates.

Note: Bt in millions (except per-share data). Fiscal year ends Dec

▼ Neutral

Previous: Overweight

CIMB.KL, CIMB MK

Price (02 Apr 26):RM7.59

▼ **Price Target (Dec-26):RM8.00**

Prior (Dec-26):RM9.30

APAC Banks

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (RM)	0.80	0.75	-5.7%
Adj. EPS - 27E (RM)	0.86	0.81	-6.5%

Quarterly Forecasts (FYE Dec)

Adj. EPS (RM)	2025A	2026E	2027E
Q1	0.18	0.18	
Q2	0.18	0.19	
Q3	0.19	0.19	
Q4	0.18	0.20	
FY	0.73	0.75	0.81

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	21	19	21	19	26
Growth	11	11	15	30	92
Momentum	61	67	59	36	67
Quality	5	11	13	51	82
Low Vol	42	40	32	30	67
ESGQ	3	26	15	7	23

CIMB Group Holdings

A quality franchise, but EM ASEAN cross-currents a near-term risk; downgrading to N

We believe CIMB is in the process of sharply improving the bank's operations, capital allocation, as well as the structure of revenue and profits. Moreover, Malaysia has a relatively resilient economy, which should help earnings. Yet, we worry that the bank's Indonesia franchise may need to slow down to manage the risks, while the capital release from Thailand may get delayed due to growth/inflation issues in that market. Hence, despite the positives, we expect the stock to stall in the near term. Accordingly, we reduce our PT and downgrade the stock to Neutral.

Valuation

Table 59: CIMB: Valuation

	Net Inc (RM mn)	EPS (RM)	P/E (x)	BVPS (RM)	P/B (x)	Dividend (RM)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)
2021	4,295	0.48	16.0	5.87	1.29	0.23	3.0%	0.77%	1.34%	8.3%
2022	5,440	0.53	14.3	5.99	1.27	0.26	3.4%	0.84%	1.67%	8.9%
2023	6,981	0.66	11.5	6.41	1.18	0.43	5.7%	1.00%	2.01%	10.7%
2024	7,728	0.72	10.5	6.46	1.18	0.47	6.2%	1.04%	2.11%	11.2%
2025	7,860	0.73	10.4	6.52	1.16	0.47	6.2%	1.02%	2.09%	11.3%
2026E	8,106	0.75	10.1	6.80	1.12	0.53	6.9%	1.02%	2.10%	11.3%
2027E	8,713	0.81	9.4	7.08	1.07	0.61	8.0%	1.05%	2.19%	11.6%
2028E	9,154	0.85	8.9	7.33	1.04	0.64	8.4%	1.06%	2.21%	11.8%
Price (RM)		7.59		Number of shares (mn)		10,787		Market Cap (RM mn)		81,875
Normalised RoE				PB based Valuation				PE based Valuation		
NIM (on avg. assets)		2.09%		Risk-free rate		4.3%		Fair PE		8.7x
Non-IR/revenues		28.8%		Cost of capital		11.5%		12m Rolling EPS		RM0.77
Cost/income		46.5%		Long term growth		4.6%		PE based Dec-26 Fair Value		RM6.7
Operating RoA		1.57%		Fair PB		1.00x		Implied Value of Growth		
LLP/Loans		-0.28%		PV of Terminal Value		RM6.2		12m Rolling EPS		RM0.8
Net RoAA		1.04%		PV of Dividends		RM1.0		Capitalized Value		RM6.7
Equity/Assets		9.0%		PV of today's Fair Value		RM7.2		Value of Growth		RM0.9
Normalised RoE		11.5%		PV of Dec-26 fair value		RM7.99		Attributable to Growth		12.3%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 2nd Apr, 2026.

Annual Earnings

Table 60: CIMB: Annual P&L

P&L (RM mn)	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Interest Income	24,561	26,467	23,328	21,694	25,396	34,283	36,569	35,290	35,577	37,105	38,511
Interest Expense	(12,316)	(13,342)	(10,171)	(7,286)	(9,767)	(18,939)	(20,465)	(19,068)	(19,135)	(19,817)	(20,507)
Net Interest Income	12,245	13,125	13,156	14,408	15,629	15,344	16,104	16,222	16,442	17,288	18,004
Fee income	2,245	2,218	1,749	2,067	2,206	2,234	2,349	2,380	2,643	2,930	3,151
Investment income	1,419	1,846	1,992	1,705	1,767	2,964	3,523	3,538	3,773	3,983	4,204
Other operating income	382	356	291	182	225	473	325	327	333	340	347
Non-Interest Income	4,046	4,419	4,033	3,955	4,198	5,670	6,197	6,245	6,750	7,253	7,702
Total Revenues	16,291	17,544	17,189	18,362	19,827	21,014	22,301	22,467	23,192	24,540	25,706
Costs	(8,656)	(9,507)	(8,977)	(8,937)	(9,346)	(9,865)	(10,420)	(10,627)	(10,778)	(11,250)	(11,743)
PPOP	7,635	8,037	8,212	9,426	10,482	11,149	11,881	11,840	12,414	13,291	13,963
Loan loss provisions	(1,433)	(1,639)	(5,342)	(2,614)	(1,953)	(1,534)	(1,369)	(1,382)	(1,367)	(1,435)	(1,521)
Impairment Loss	(127)	(63)	(1,456)	(544)	(209)	(57)	(135)	128	(60)	(60)	(60)
Associate	34	31	116	83	40	(17)	19	94	20	20	20
Pre-Tax	6,109	6,366	1,530	6,351	8,361	9,541	10,396	10,680	11,007	11,816	12,402
Tax	(1,537)	(1,611)	(384)	(1,515)	(2,778)	(2,379)	(2,477)	(2,652)	(2,733)	(2,934)	(3,079)
MI & EO	(80)	12	48	(97)	(153)	(181)	(191)	(169)	(169)	(169)	(169)
Net profits	4,492	4,768	1,194	4,739	5,429	6,981	7,728	7,860	8,106	8,713	9,154
Reported profits	5,584	4,560	1,194	4,295	5,440	6,981	7,728	7,860	8,106	8,713	9,154

Source: Company reports and J.P. Morgan estimates.

Table 61: CIMB: Annual DuPont

	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
NIM (% of avg. IEA)	2.50%	2.46%	2.32%	2.45%	2.51%	2.22%	2.21%	2.13%	2.17%	2.21%	2.23%
IEA/Assets	94.2%	96.5%	96.4%	96.2%	96.6%	98.8%	98.0%	99.4%	95.2%	94.3%	93.4%
Margins (% of avg. Asset)	2.35%	2.37%	2.24%	2.35%	2.43%	2.19%	2.16%	2.12%	2.07%	2.09%	2.08%
Non-IR contribution	24.8%	25.2%	23.5%	21.5%	21.2%	27.0%	27.8%	27.8%	29.1%	29.6%	30.0%
Non-IR/Avg. Assets	0.78%	0.80%	0.69%	0.65%	0.65%	0.81%	0.83%	0.81%	0.85%	0.88%	0.89%
Revenue/Assets	3.13%	3.17%	2.92%	3.00%	3.08%	3.00%	3.00%	2.93%	2.92%	2.96%	2.98%
Cost/Income	53.1%	54.2%	52.2%	48.7%	47.1%	46.9%	46.7%	47.3%	46.5%	45.8%	45.7%
C/Assets	1.66%	1.72%	1.53%	1.46%	1.45%	1.41%	1.40%	1.39%	1.36%	1.36%	1.36%
Pre-Provision ROA	1.47%	1.45%	1.40%	1.54%	1.63%	1.59%	1.60%	1.54%	1.56%	1.60%	1.62%
LLP/Loans	-0.43%	-0.46%	-1.45%	-0.70%	-0.50%	-0.36%	-0.31%	-0.31%	-0.30%	-0.30%	-0.30%
Loan/Assets	64.4%	64.6%	62.6%	60.8%	60.9%	60.5%	60.0%	59.0%	58.1%	58.3%	59.0%
Operating ROA	1.19%	1.16%	0.49%	1.11%	1.32%	1.37%	1.41%	1.36%	1.39%	1.43%	1.44%
Pre-Tax ROA	1.17%	1.15%	0.26%	1.04%	1.30%	1.36%	1.40%	1.39%	1.38%	1.43%	1.44%
Tax Rate	-25.2%	-25.3%	-25.1%	-23.9%	-33.2%	-24.9%	-23.8%	-24.8%	-24.8%	-24.8%	-24.8%
Core RoA	0.86%	0.86%	0.20%	0.77%	0.84%	1.00%	1.04%	1.02%	1.02%	1.05%	1.06%
Core RoRWA	1.51%	1.53%	0.37%	1.48%	1.67%	2.01%	2.11%	2.09%	2.10%	2.19%	2.21%
Equity/Assets	9.6%	9.7%	9.5%	9.4%	9.4%	9.3%	9.2%	9.1%	9.0%	9.0%	9.0%
Core RoE	9.0%	8.9%	2.1%	8.3%	8.9%	10.7%	11.2%	11.3%	11.3%	11.6%	11.8%
ROE	11.2%	8.5%	2.1%	7.5%	9.0%	10.7%	11.2%	11.3%	11.3%	11.6%	11.8%

Source: Company reports and J.P. Morgan estimates.

Quarterly Earnings

Table 62: CIMB: Quarterly P&L

P&L (RM mn)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	9,245	9,139	9,170	9,015	9,005	8,835	8,820	8,630	8,652	8,792	8,984	9,150
Interest Expense	(5,259)	(5,097)	(5,091)	(5,018)	(4,974)	(4,780)	(4,720)	(4,594)	(4,724)	(4,746)	(4,808)	(4,857)
Net Interest Income	3,986	4,042	4,079	3,997	4,031	4,055	4,100	4,036	3,928	4,046	4,175	4,293
Fee income	576	621	604	548	615	582	615	569	624	623	632	763
Investment income	923	875	1,001	724	848	851	1,056	783	940	990	952	891
Other operating income	143	64	58	60	6	114	177	30	61	79	95	98
Non-Interest Income	1,643	1,560	1,662	1,331	1,468	1,547	1,847	1,383	1,625	1,692	1,680	1,753
Total Revenues	5,629	5,603	5,742	5,328	5,499	5,602	5,948	5,419	5,553	5,738	5,855	6,046
Costs	(2,552)	(2,573)	(2,670)	(2,625)	(2,580)	(2,551)	(2,791)	(2,705)	(2,629)	(2,598)	(2,761)	(2,789)
PPOP	3,077	3,029	3,071	2,704	2,919	3,051	3,156	2,714	2,924	3,140	3,093	3,257
Loan loss provisions	(404)	(316)	(249)	(399)	(288)	(409)	(434)	(253)	(318)	(346)	(348)	(354)
Impairment Loss	(99)	17	(94)	41	(23)	4	103	44	(12)	(12)	(12)	(24)
Associate	(0)	(0)	3	17	19	1	17	57	5	5	5	5
Pre-Tax	2,573	2,730	2,731	2,362	2,627	2,648	2,843	2,563	2,599	2,787	2,738	2,883
Tax	(590)	(721)	(657)	(509)	(599)	(717)	(720)	(614)	(644)	(691)	(679)	(718)
MI & EO	(47)	(48)	(43)	(53)	(54)	(42)	(44)	(29)	(43)	(43)	(43)	(41)
Reported profits	1,936	1,961	2,030	1,800	1,973	1,889	2,078	1,919	1,912	2,053	2,017	2,124

Source: Company reports and J.P. Morgan estimates.

Table 63: CIMB: Quarterly Dupont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	2.18%	2.22%	2.23%	2.16%	2.16%	2.15%	2.08%	2.10%	2.04%	2.07%	2.10%	2.13%
IEA/Assets	98.0%	96.9%	98.2%	98.6%	97.8%	98.2%	102.1%	98.7%	98.5%	99.0%	99.5%	100.0%
Margins (% of avg. Asset)	2.14%	2.15%	2.19%	2.13%	2.12%	2.11%	2.12%	2.07%	2.01%	2.05%	2.09%	2.13%
Non-IR contribution	29.2%	27.9%	29.0%	25.0%	26.7%	27.6%	31.1%	25.5%	29.3%	29.5%	28.7%	29.0%
Non-IR/Avg. Assets	0.88%	0.83%	0.89%	0.71%	0.77%	0.80%	0.95%	0.71%	0.83%	0.86%	0.84%	0.87%
Revenue/Assets	3.02%	2.99%	3.09%	2.84%	2.89%	2.91%	3.07%	2.78%	2.84%	2.91%	2.93%	2.99%
Cost/Income	45.3%	45.9%	46.5%	49.3%	46.9%	45.5%	46.9%	49.9%	47.3%	45.3%	47.2%	46.1%
C/Assets	1.37%	1.37%	1.44%	1.40%	1.35%	1.33%	1.44%	1.39%	1.35%	1.32%	1.38%	1.38%
Pre-Provision ROA	1.7%	1.6%	1.7%	1.4%	1.5%	1.6%	1.6%	1.4%	1.5%	1.6%	1.5%	1.6%
LLP/Loans	-0.37%	-0.29%	-0.23%	-0.36%	-0.25%	-0.36%	-0.39%	-0.22%	-0.28%	-0.30%	-0.30%	-0.30%
Loan/Assets	59.2%	59.1%	59.2%	59.3%	59.2%	58.4%	58.0%	57.9%	58.1%	58.1%	57.9%	57.9%
Other Income/Assets	-0.05%	0.01%	-0.05%	0.03%	0.00%	0.00%	0.06%	0.05%	0.00%	0.00%	0.00%	-0.01%
Operating ROA	1.4%	1.4%	1.5%	1.2%	1.4%	1.4%	1.4%	1.3%	1.3%	1.4%	1.4%	1.4%
Pre-Tax ROA	1.38%	1.45%	1.47%	1.26%	1.38%	1.38%	1.47%	1.32%	1.33%	1.41%	1.37%	1.43%
Tax Rate	-22.9%	-26.4%	-24.1%	-21.5%	-22.8%	-27.1%	-25.3%	-24.0%	-24.8%	-24.8%	-24.8%	-24.9%
Core RoA	1.04%	1.04%	1.09%	0.96%	1.04%	0.98%	1.07%	0.99%	0.98%	1.04%	1.01%	1.05%
Core RoRWA	2.13%	2.15%	2.25%	1.98%	2.11%	2.00%	2.19%	2.00%	1.99%	2.12%	2.05%	2.16%
Equity/Assets	9.1%	9.1%	9.1%	9.1%	9.1%	9.1%	9.1%	9.1%	9.0%	9.0%	9.0%	9.0%
Core RoE	11.4%	11.4%	11.9%	10.6%	11.4%	10.8%	11.8%	10.9%	10.9%	11.5%	11.2%	11.7%
ROE	11.4%	11.4%	11.9%	10.6%	11.4%	10.8%	11.8%	10.9%	10.9%	11.5%	11.2%	11.7%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	-8.0%	-4.4%	-6.3%	6.3%
Rel	-9.1%	-4.3%	-8.0%	-5.0%

Company Data

Shares O/S (mn)	10,805
52-week range (RM)	8.95-6.16
Market cap (\$ mn)	20,365
Exchange rate	4.03
Free float (%)	69.5%
3M ADV (mn)	18.99
3M ADV (\$ mn)	38.7
Volatility (90 Day)	24
Index	FBMKLCI - FTSE BURSA MALAYSIA KLCI
BBG ANR (Buy Hold Sell)	17 3 0

Key Metrics (FYE Dec)

RM in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	16,222	16,442	17,288	18,004
Non interest income	6,245	6,750	7,253	7,702
Operating expenses	(10,627)	(10,778)	(11,250)	(11,743)
Adj. PPOP	11,840	12,414	13,291	13,963
Provision for loan losses	(1,382)	(1,367)	(1,435)	(1,521)
Adj. PBT	10,680	11,007	11,816	12,402
Adj. net income	7,860	8,106	8,713	9,154
Adj. EPS	0.73	0.75	0.81	0.85
BBG EPS	0.73	0.77	0.81	0.87
DPS	0.47	0.53	0.61	0.64
Loans	444,920	463,002	486,115	515,308
Deposits	477,755	500,377	525,702	554,025
Total Assets	778,724	812,148	845,450	881,550
Margins and Growth				
NIM	2.1%	2.2%	2.2%	2.2%
Ratios				
Loan/ Deposit ratio	93.1%	92.5%	92.5%	93.0%
NPL / Loans	1.7%	1.7%	1.7%	1.7%
Coverage	103.2%	102.6%	101.1%	99.7%
CET 1	-	-	-	-
Non-int. income/ Income	27.8%	29.1%	29.6%	30.0%
Cost/Income	47.3%	46.5%	45.8%	45.7%
LLP/Loans	(0.3%)	(0.3%)	(0.3%)	(0.3%)
ROA	1.0%	1.0%	1.1%	1.1%
ROE	11.3%	11.3%	11.6%	11.8%
Valuation				
Dividend yield	6.2%	6.9%	8.0%	8.4%
Adj. P/E	10.4	10.1	9.4	8.9
P/ BV	1.16	1.12	1.07	1.04

Summary Investment Thesis and Valuation

Investment Thesis

We are Neutral on CIMB.

- The bank is steadily delivering on the Forward 30 target by growing top-line growth and managing cost lines (CoF, opex, and provisions) to achieve higher through-the-cycle RoA, with improved payouts leading to optimized leverage and higher RoE.
- Key strategies include prioritizing deposit collection over loans, broadening fee collection, re-architecting processes to reduce costs, and reallocating capital towards higher RoRWA geographies and businesses. These initiatives, along with structural reforms in Malaysia, position the bank to achieve 11.3-11.8% RoE and 3-7% EPS growth over the next three years.

Valuation

Our Dec-26 PT of RM8.0 is based on a two-stage DDM methodology using the following valuation assumptions: RFR of 4.3%, CoE of 11.5%, normalized RoE of 11.5% and terminal growth of 4.6%.

Performance Drivers

Market	16%
Region	51%
Macro	0%
Style	1%
Idiosyn.	33%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.26	0.40
Region: Malaysia	0.77	0.78
Macro:		
Generic 1st 'CO' Future	-0.54	-0.29
Emerging Economies CPI(YoY)	-0.32	-0.16
JPM Global Equity Sentiment	0.15	0.13
Quant Styles:		
Quality	0.05	-0.11
DivYld	0.25	0.07
Growth	-0.16	-0.06

Investment Thesis, Valuation and Risks

CIMB Group Holdings *(Neutral; Price Target: RM8.00)*

Investment Thesis

We are Neutral on CIMB.

- The bank is steadily delivering on the Forward 30 target by growing top-line growth and managing cost lines (CoF, opex, and provisions) to achieve higher through-the-cycle RoA, with improved payouts leading to optimized leverage and higher RoE.
- Key strategies include prioritizing deposit collection over loans, broadening fee collection, re-architecting processes to reduce costs, and reallocating capital towards higher RoRWA geographies and businesses. These initiatives, along with structural reforms in Malaysia, position the bank to achieve 11.3-11.8% RoE and 3-7% EPS growth over the next three years.
- We are forecasting credit costs of ~30bps over 2026-28E (last 10Y avg 60bps), on the back of shifts in underwriting and portfolio prioritization.
- Management sees CET1 level of 14.5-15% as appropriate in the current operating environment, which suggests steady capital management.
- The bank paid a special dividend of 7sen in 3Q25 (RM 760mn), in-line with its guidance to return RM2bn of capital by 2027.
- The bank has among the strongest corporate relationships and holds top-tier positions in MYR ECM and DCM markets. This positions CIMB well for a rebound in corporate credit issuance.
- Over the next few years, Bank Niaga (about a fifth of group RWA) can potentially be a source of faster growth for the group. Yet, in the next few quarters, we believe the risk of tighter system liquidity may lead to slower growth as well as weaker AQ.

Valuation

Our Dec-26 PT of RM8.0 is based on a two-stage DDM methodology using the following valuation assumptions: RFR of 4.3%, CoE of 11.5%, normalized RoE of 11.5% and terminal growth of 4.6%.

Risks to Rating and Price Target

Upside risks to our rating and price target include: 1) a meaningful increase in the payout ratio (or special) which drives higher RoE; 2) write-back in net provisions vs. JPMe credit costs of 27bps this year; and 3) better ability to manage CoF, especially as rates move lower, driving higher-than-expected NIM.

Downside risks include: 1) weaker-than-expected loan growth; 2) NIM compression due to more intense competition in Malaysia and overseas markets; 3) potential AQ issues, especially in Indonesia; and 4) a value eroding deal.

CIMB Group Holdings: Summary of Financials

Income Statement					Balance Sheet				
	FY25A	FY26E	FY27E	FY28E		FY25A	FY26E	FY27E	FY28E
Interest income	35,290	35,577	37,105	38,511	Cash and cash equivalents	0	0	0	0
Interest expense	(19,068)	(19,135)	(19,817)	(20,507)	Deposits with banks	41,059	50,111	58,833	64,205
Net interest income	16,222	16,442	17,288	18,004	Net loans	444,920	463,002	486,115	515,308
Non interest income	6,245	6,750	7,253	7,702	PP&E	2,093	2,176	2,263	2,353
o/w Fee income	2,380	2,643	2,930	3,151	Net intangibles	8,059	7,898	7,740	7,585
o/w Trading income	3,538	3,773	3,983	4,204	LT investments	244,364	249,251	249,251	249,251
Net revenues	22,467	23,192	24,540	25,706	Other assets	38,229	39,709	41,248	42,847
Non interest expense	(10,627)	(10,778)	(11,250)	(11,743)	Total assets	778,724	812,148	845,450	881,550
o/w Employee costs	0	0	0	0	Interest earning assets	730,343	762,364	794,198	828,764
Pre-Prov. Profits	11,840	12,414	13,291	13,963	Deposits	477,755	500,377	525,702	554,025
Provisions	(1,382)	(1,367)	(1,435)	(1,521)	Borrowings	135,259	139,304	140,361	141,483
Adj. PBT	10,680	11,007	11,816	12,402	Other liabilities	94,002	97,734	101,615	105,650
Income taxes	(2,652)	(2,733)	(2,934)	(3,079)	Total liabilities	707,017	737,415	767,678	801,158
Minority interest	(169)	(169)	(169)	(169)	Shareholder equity	70,361	73,386	76,425	79,045
Adj. Net profit	7,860	8,106	8,713	9,154	Minority interests	1,347	1,347	1,347	1,347
PPOP per share	1.10	1.15	1.23	1.29	Total liabilities and Shareholder equity	778,724	812,148	845,450	881,550
Reported EPS	0.73	0.75	0.81	0.85	Interest bearing liabilities	613,014	639,681	666,063	695,508
Adj. EPS	0.73	0.75	0.81	0.85	Book Value Per Share	6.52	6.80	7.08	7.33
DPS	0.47	0.53	0.61	0.64	Tangible Book Value Per Share	6.40	6.68	6.96	7.20
Diluted shares outstanding	10,787	10,787	10,787	10,787					
Balance Sheet Gearing	FY25A	FY26E	FY27E	FY28E	Asset Quality/Capital	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	93.1%	92.5%	92.5%	93.0%	Loan loss reserves/Loans	(1.8%)	(1.7%)	(1.8%)	(1.7%)
Investment/Assets	30.3%	31.0%	30.1%	28.9%	NPLs/Loans	1.7%	1.7%	1.7%	1.7%
Loan/Assets	59.0%	58.1%	58.3%	59.0%	Loan loss reserves/NPLs	104.3%	102.9%	101.8%	100.3%
Customer deposits/Liabilities	67.6%	67.9%	68.5%	69.2%	NPL y/y growth	(18.7%)	2.9%	7.1%	6.9%
LT debt/Liabilities	19.1%	19.0%	18.6%	18.0%	Tier 1 ratio	14.9%	15.4%	15.4%	15.3%
					CAR	18.0%	18.4%	18.3%	18.2%
Ratio Analysis (%)	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY25A	FY26E	FY27E	FY28E
Net interest margin	2.1%	2.2%	2.2%	2.2%	Return on equity (ROE)	11.3%	11.3%	11.6%	11.8%
Non interest income/Net revenue	27.8%	29.1%	29.6%	30.0%	Return on assets (ROA)	1.0%	1.0%	1.1%	1.1%
Non interest income/Avg. Assets	0.8%	0.8%	0.9%	0.9%	Operating ROA	1.4%	1.4%	1.4%	1.4%
Efficiency ratio	47.3%	46.5%	45.8%	45.7%	Pre-Tax ROA	1.4%	1.4%	1.4%	1.4%
Leverage ratio	7.4%	7.5%	7.5%	7.5%	Pre-Provision ROA	1.5%	1.6%	1.6%	1.6%
Revenue/Assets	2.9%	2.9%	3.0%	3.0%	Tax rate	24.8%	24.8%	24.8%	24.8%
RORWA	2.1%	2.1%	2.2%	2.2%					
RWA	383,157	389,831	405,816	423,144	Net loans y/y growth	0.6%	4.1%	5.0%	6.0%
Avg. RWA	376,459	386,494	397,823	414,480	Assets y/y growth	3.1%	4.3%	4.1%	4.3%
Avg. IEA	762,691	757,020	781,622	806,849	RWA y/y growth	3.6%	1.7%	4.1%	4.3%
Gross Loans	452,956	471,226	494,784	524,450	Deposits y/y growth	1.2%	4.7%	5.1%	5.4%
Avg. IBL	607,456	626,348	652,872	680,786	Net interest income y/y growth	0.7%	1.4%	5.1%	4.1%
LLR	(8,036)	(8,224)	(8,669)	(9,141)	Revenues y/y growth	0.7%	3.2%	5.8%	4.7%
NPLs	7,786	8,013	8,578	9,172	Adj. EPS y/y growth	1.1%	3.1%	7.5%	5.1%
P/BV (x)	1.16	1.12	1.07	1.04	BVPS y/y growth	1.0%	4.3%	4.1%	3.4%
Adj. P/E (x)	10.4	10.1	9.4	8.9	IE assets/Assets	99.4%	95.2%	94.3%	93.4%
Dividend yield	6.2%	6.9%	8.0%	8.4%	Margins (as % of Avg. Assets)	2.2%	2.1%	2.1%	2.1%
Dividend payout	64.8%	70.0%	75.0%	75.0%	LLP/Loans	(0.3%)	(0.3%)	(0.3%)	(0.3%)
					Equity/Assets	9.1%	9.0%	9.0%	9.0%
					Cost/Assets	1.4%	1.4%	1.4%	1.4%
					Assets/Equity	11.0	11.1	11.1	11.1

Source: Company reports and J.P. Morgan estimates.

Note: RM in millions (except per-share data). Fiscal year ends Dec

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